

NEW OR TRANSFER LIQUOR LICENSE OR PERMIT APPLICATION

FOR LIQUOR DIVISION USE ONLY

Customer #:		
Trf from:		
Reviewer:	Initials	Date
Agent:		/ /
Chief:		/ /

To be completed by City/County Clerk

License

Fees

Annual Fee: \$ 1500.00

Prorated Fee: \$ _____

Transfer Fee: \$ _____

Publishing Fee: \$ 100.00Publishing Fee Direct Billed to Applicant: ☐Local License #: R 318788Date filed with clerk: 1 / 31 / 22Advertising Dates: (2 Weeks) 3/31/22 & 4/7/22Hearing Date: 4/11/22

License Term: 1 Month 1 Day 1 Year Through 3 Month 31 Day 23 Year

LICENSING AUTHORITY: Begin publishing promptly. As W.S. 12-4-104(d) specifies: **NO LICENSING AUTHORITY SHALL APPROVE OR DENY THE APPLICATION UNTIL THE LIQUOR DIVISION HAS CERTIFIED THE APPLICATION IS COMPLETE.**

Applicant: Vitamin Cottage Natural Food Markets, Inc.Trade/Business Name (dba): Natural GrocersBuilding to be licensed/Building Address: 1851 Dell Range Blvd.

Number & Street

Cheyenne

Wyoming

82009

Laramie

City

State

Zip

County

Local Mailing Address: 1851 Dell Range Blvd.

Number & Street or P.O. Box

Cheyenne

Wyoming

82009

City

State

Zip

Local Business Telephone Number: (307) 635-3800

Fax Number: () _____

Business E-Mail Address: legal@naturalgrocers.com**FILING FOR**☒ NEW LICENSE☐ TRANSFER OF LOCATION☐ TRANSFER OWNERSHIP

FORMERLY HELD BY: _____

FILING IN (CHOOSE ONLY ONE)☒ CITY OF: Cheyenne, WY☐ COUNTY OF: _____☐ ASSIGNMENT LETTER ATTACHED**FILING AS (CHOOSE ONLY ONE)**☐ INDIVIDUAL☐ PARTNERSHIP☐ LP/LLP☐ LLC☒ CORPORATION☐ LTD PARTNERSHIP☐ ORGANIZATION☐ OTHER _____**TYPE OF LICENSE OR PERMIT (CHOOSE ONLY ONE)****RETAIL LIQUOR LICENSE**☐ ON-PREMISE ONLY (BAR)☒ OFF-PREMISE ONLY (PACKAGE STORE)☐ COMBINATION ON/OFF PREMISE (BOTH BAR & PACKAGE STORE)
☐ RESTAURANT LIQUOR LICENSE
☐ RESORT LIQUOR LICENSE
☐ BAR AND GRILL
LIMITED RETAIL (CLUB)
☐ VETERANS CLUB
☐ FRATERNAL CLUB
☐ GOLF CLUB
☐ SOCIAL CLUB
☐ MICROBREWERY☐ WINERY☐ DISTILLERY SATELLITE☐ WINERY SATELLITE☐ COUNTY RETAIL/SPECIAL MALT BEVERAGE PERMIT**SPECIAL DESIGNATIONS**☐ CONVENTION FACILITY☐ CIVIC CENTER/EVENT CENTER/ PUBLIC AUDITORIUM☐ GOLF CLUB☐ GUEST RANCH☐ RESORTTo Assist the Liquor Division with scheduling inspections: **OPERATIONAL STATUS**☒ FULL TIME (e.g. Jan through Dec)☐ SEASONAL/PART-TIME☐ NON-OPERATIONAL/PARKED

(specify months of operation)

from January to December

DAYS OF WEEK (e.g. Mon through Sat)

from Sunday to Saturday

HOURS OF OPERATION (e.g. 10a - 2a)

from 8:00am to Sun: 7:06pm
Mon-Sat: 9:04pm

ALL APPLICANTS MUST COMPLETE QUESTIONS 1-4**1. BUILDING OWNERSHIP:** Does the applicant? W.S. 12-4-103(a)(iii)

- (a) **OWN** the licensed building? ☐ YES (own)
- (b) **LEASE** the licensed building? (Lease must be through the term of the liquor license) ☒ YES (lease)

If Yes, please submit a copy of the lease and indicate:

- (i) When the lease expires, located on page 2 paragraph 1(i) of lease.
- (ii) Where the **Sales** provision for alcoholic or malt beverages is located, on page 4 paragraph "o" (clause vii) of lease.
(MUST contain a provision for SALE OF ALCOHOLIC or MALT BEVERAGES.)

2. To operate your liquor business, have you assigned, leased, transferred or contracted with any other person (entity) to operate and assert total or partial control of the license and the licensed building? W.S. 12-4-601(b) ☐ YES ☒ NO

3. Does any manufacturer, brewer, rectifier, wholesaler, or through a subsidiary affiliate, officer, director or member of any such firm: W.S. 12-5-401, 12-5-402, 12-5-403

- (a) Hold any interest in the license applied for? ☐ YES ☒ NO
- (b) Furnish by way of loan or any other money or financial assistance for purposes hereof in your business? ☐ YES ☒ NO
- (c) Furnish, give, rent or loan any equipment, fixtures, interior decorations or signs other than standard brewery or manufacturer's signs? ☐ YES ☒ NO
- (d) If you answered **YES** to any of the above, explain fully and submit any documents in connection there within:

4. Does the applicant have any interest or intent to acquire an interest in any other liquor license issued by this licensing authority? W.S. 12-4-103(b) ☐ YES ☒ NO

If "YES", explain: _____

5. BAR AND GRILL LICENSE OR RESTAURANT LICENSE:

Have you submitted a valid food service permit or application? W.S. 12-4-413(a) ☐ YES ☐ NO

6. RESORT LICENSE:

Does the resort complex:

- (a) Have an actual valuation of at least one million dollars, or have you committed or expended at least one million dollars (\$1,000,000.00) on the complex, excluding the value of the land? W.S. 12-4-401(b)(i) ☐ YES ☐ NO
- (b) Include a restaurant and a convention facility which will seat at least one hundred (100) persons? W.S. 12-4-401(b)(ii) ☐ YES ☐ NO
- (c) Include motel, hotel or privately owned condominium, town house or home accommodations approved for short term occupancy with at least one hundred (100) sleeping rooms? W.S. 12-4-401(b)(iii) ☐ YES ☐ NO
- (d) If no on question (c), have a ski resort facility open to the general public in which you have committed or expended not less than 10 million dollars (\$10,000,000.00)? W.S. 12-4-401(b)(iv) ☐ YES ☐ NO
- (e) Are you contracting/leasing the food and beverage services? W.S. 12-4-403(b)
1. If Yes, have you submitted a copy of the food and beverage contract/lease? ☐ YES ☐ NO

7. MICROBREWERY LICENSE:

Will the license be held in conjunction with another liquor license? W.S. 12-4-412(b)(iii) ☐ YES ☐ NO

- (a) If "YES", please specify type: ☐ RETAIL ☐ RESTAURANT ☐ RESORT

☐ BAR AND GRILL ☐ WINERY

- (b) Do you self distribute your products? W.S. 12-2-201(a) ☐ YES ☐ NO
(Requires wholesale malt beverage license with the Liquor Division)

8. WINERY LICENSE:

Will the license be held in conjunction with another liquor license? W.S. 12-4-412(b)(iii) ☐ YES ☐ NO

- (a) If "YES", please specify type: ☐ RETAIL ☐ RESTAURANT ☐ RESORT

☐ BAR AND GRILL ☐ MICROBREWERY

1111

9. LIMITED RETAIL (CLUB) LICENSE:

FRATERNAL CLUBS W.S. 12-1-101(a)(iii)(B)

- (a) Has the fraternal organization been actively operating in at least thirty-six (36) states? ☐ YES ☐ NO
- (b) Has the fraternal organization been actively in existence for at least twenty (20) years? ☐ YES ☐ NO

10. LIMITED RETAIL (CLUB) LICENSE:

VETERANS CLUBS W.S. 12-1-101(a)(iii)(A):

- (a) Does the Veteran's organization hold a charter by the Congress of the United States? ☐ YES ☐ NO
- (b) Is the membership of the Veteran's organization comprised only of Veterans and its duly organized auxiliary? ☐ YES ☐ NO

11. LIMITED RETAIL (CLUB) LICENSE:

GOLF CLUBS W.S. 12-1-101(a)(iii)(D)/W.S. 12-4-301(e):

- (a) Do you have more than fifty (50) bona fide members? ☐ YES ☐ NO
- (b) Do you own, maintain, or operate a bona fide golf course together with clubhouse? ☐ YES ☐ NO
- (c) Are you a political subdivision of the state that owns, maintains, or operates a golf course? ☐ YES ☐ NO
1. Are you contracting/leasing the food and beverage services? W.S. 12-5-201(g) ☐ YES ☐ NO
2. If Yes, have you submitted a copy of the food and beverage contract/lease? ☐ YES ☐ NO

12. LIMITED RETAIL (CLUB) LICENSE:

SOCIAL CLUBS W.S. 12-1-101(a)(iii)(E)/W.S. 12-4-301(b):

- (a) Do you have more than one hundred (100) bona fide members who are residents of the county in which the club is located? ☐ YES ☐ NO
- (b) Is the club incorporated and operating solely as a nonprofit organization under the laws of this state? ☐ YES ☐ NO
- (c) Is the club qualified as a tax exempt organization under the Internal Revenue Service? ☐ YES ☐ NO
- (d) Has the club been in continuous operation for a period of not less than one (1) year? ☐ YES ☐ NO
- (e) Has the club received twenty-five dollars (\$25.00) from each bona fide member as Recorded by the secretary of the club and are club members at the time of this application in good standing by having paid at least one (1) full year in dues? ☐ YES ☐ NO
- (f) Does the club hold quarterly meetings and have an actively engaged membership carrying out the objectives of the club? ☐ YES ☐ NO
- (g) Have you filed a true copy of your bylaws with this application? ☐ YES ☐ NO
- (h) Has at least fifty one percent (51%) of the membership signed a petition indicating a desire to secure a Limited Retail Liquor License? (Petition Attached) ☐ YES ☐ NO

13. If applicant is filing as an Individual, Partnership or Club: W.S. 12-4-102(a)(ii) & (iii)

Each individual, partner or club officer must complete the box below.

True and Correct Name	Date of Birth	Residence Address No. & Street City, State & Zip DO NOT LIST PO BOXES	Residence Phone Number	Have you been a DOMICILED resident for at least 1 year and not claimed residence in any other state in the last year?	Have you been Convicted of a Felony Violation?	Have you been Convicted of a Violation Relating to Alcoholic Liquor or Malt Beverages?
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐

(If more information is required, list on a separate piece of paper and attach to this application.)

14. If the applicant is a Corporation, Limited Liability Company, Limited Liability Partnership or Limited Partnership: W.S. 12-4-102(a)(iv) & (v)

Each stockholder holding, either jointly or severally, ten percent (10%) or more of the outstanding and issued capital stock of the corporation, limited liability company, limited liability partnership, or limited partnership, and every officer, and every director must complete the box below.

True and Correct Name	Date of Birth	Residence Address No. & Street City, State & Zip <i>DO NOT LIST PO BOXES</i>	Residence Phone Number	No. of Years in Corp or LLC	% of Corporate Stock Held	Have you been Convicted of a Felony Violation?	Have you been Convicted of a Violation Relating to Alcoholic Liquor or Malt Beverages?
Kemper Isely	4/28/1962	3 Random Road Cherry Hills Village, CO 80113	303-906-3722	1977	0%	YES ☐ NO ☒	YES ☐ NO ☒
Zephyr Isely	5/05/1949	14380 Crabapple Road Golden CO 80401	303-906-3822	1969	0%	YES ☐ NO ☒	YES ☐ NO ☒
Heather Isely	1/08/1966	145 Hudson Street Denver, CO 80220	303-377-8893	1998	0%	YES ☐ NO ☒	YES ☐ NO ☒
Elizabeth Isely	1/01/1955	750 Kearney Street Denver, CO 80220	303-906-0152	1998	0%	YES ☐ NO ☒	YES ☐ NO ☒
Henry Todd Dissinger	1/08/1958	620 11th Street #205 Golden, CO 80401	303-638-6985	2015	0%	YES ☐ NO ☒	YES ☐ NO ☒
						YES ☐ NO ☐	YES ☐ NO ☐

(If more information is required, list on a separate piece of paper and attach to this application)

REQUIRED ATTACHMENTS:

☒ A statement indicating the financial condition and financial stability of the applicant W.S. 12-4-102(a)(vi).

☒ Attach any lease agreements (especially for resort/political subdivisions leasing out food & beverage services) W.S. 12-4-103 (a)(iii)/W.S. 12-4-403(b)/W.S. 12-4-301(e).

(N/A) ☐ If transferring a license from one ownership to another, a form of assignment from the current licensee to the new applicant authorizing the transfer W.S. 12-4-601(b).

OATH OR VERIFICATION

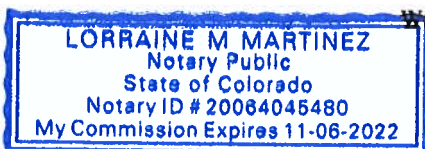
(Requires signatures by **ALL** Individuals, **ALL** Partners, **ONE (1)** LLC Member, or **TWO (2)** Corporate Officers or Directors except that if all the stock of the corporation is owned by **ONE (1)** individual then that individual may sign and verify the application upon his oath, or **TWO (2)** Club Officers.) W.S. 12-4-102(b)

*Under penalty of perjury, and the possible revocation or cancellation of the license,
I swear the above stated facts, are true and accurate.*

COLORADO
STATE OF ~~WYOMING~~)
) SS.
COUNTY OF JEFFERSON)

Signed and sworn to before me on this 26th day of January, 2022 that the facts alleged in the foregoing instrument are true by the following:

1) <u>Kemper Isely</u> (Signature)	Kemper Isely (Printed Name)	Co-President Title
2) <u>Henry Todd Dissinger</u> (Signature)	Henry Todd Dissinger (Printed Name)	Chief Financial Officer Title
3) _____ (Signature)	_____ (Printed Name)	_____ Title
4) _____ (Signature)	_____ (Printed Name)	_____ Title
5) _____ (Signature)	_____ (Printed Name)	_____ Title
6) _____ (Signature)	_____ (Printed Name)	_____ Title



Witness my hand and official seal:

Lorraine M. Martinez
Signature of Notary Public

(2/21)
(SEAL)

My commission expires: November 6th, 2022



January 27, 2022

VIA UPS NEXT DAY

Cheyenne City Council
2101 O'Neil Avenue
Cheyenne, WY 82001

Re: Retail Liquor License Application of Vitamin Cottage Natural Food Markets, Inc., dba Natural Grocers ("Natural Grocers"), for premises at 1851 Dell Range Blvd., Cheyenne, WY 82009

To the Members of the Cheyenne City Council:

Natural Grocers is pleased to present its application for a Retail Liquor License for the City's consideration. We are excited at the prospect of bringing our selection of natural, organic and, when possible, local, alcoholic beverage options to the Cheyenne community.

Natural Grocers has been operating in Cheyenne for over a decade. Over the years we have built a loyal customer base that values our affordable, highest quality natural and organic grocery items, vitamins and supplements. This coming August, we are excited to relocate our existing store to 1851 Dell Range Blvd., Cheyenne, WY 82009.

With approximately 30% more sales floor area, our relocated Cheyenne location will allow us to offer new products and services to the community, including a dedicated education center for nutrition education and other community events. We anticipate employing more than ten additional staff at this store. With competitive pay and excellent benefits, our new store will offer economic benefits and opportunities to the Cheyenne community.

In recent years, our company has begun offering a curated selection of alcoholic beverages in select markets. Our natural, organic and local alcoholic beverage options set us apart from other retailers, and are greatly valued by our customers. Our floor plan for the relocated Cheyenne store would include floor space for beer, wine, hard seltzers and hard kombucha products. Should we receive a Retail Liquor License for this location, as a one-stop shop for our customers' grocery and alcoholic beverage needs, we believe our store will be a destination for the community, and will benefit neighboring businesses in the area. Based on experience, we anticipate the larger new store, with revenues generated from the sale of alcoholic beverages, would substantially increase our tax base and be a further benefit to the community. As a responsible vendor who would offer products only for off-premises consumption, our store would not present issues of safety, noise, over-parking, and similar problems that may be typical of other licensed establishments.

As additional background on our company, Natural Grocers was established in 1955 by Margaret and Philip Isely, parents of the company's current leadership. They started the business by going door-to-door in Golden, Colorado, selling whole-grain bread and sharing nutrition information with their community members. Over the years, Natural Grocers has grown from a "mom and pop" business to a publicly traded, 160+ store chain with over 3,000 employees. Our success as a company is based on our commitment to our

“founding five principles”: providing nutrition education to the communities we serve; offering highest quality natural and organic groceries, supplements, vitamins, and body care products; offering our products at Always AffordableSM Pricing; service to our communities; and commitment to our employees.

As a responsible, experienced retailer with an excellent reputation in the Cheyenne community, we appreciate the City Council’s consideration of our application for a Retail Liquor License.

If you have any questions or concerns, please do not hesitate to contact the undersigned.

Very truly yours,

**VITAMIN COTTAGE NATURAL
FOOD MARKETS, INC.**



Jonathan Dhillon, General Counsel

STATE OF WYOMING
Office of the Secretary of State

I, EDWARD A. BUCHANAN, SECRETARY OF STATE of the STATE OF WYOMING, do hereby certify that according to the records of this office,

Vitamin Cottage Natural Food Markets, Inc.

is a

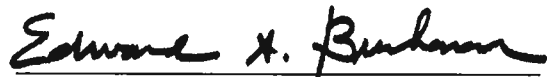
Profit Corporation

formed or qualified under the laws of Colorado did on **July 8, 2010**, comply with all applicable requirements of this office. Its period of duration is Perpetual. This entity has been assigned entity identification number **2010-000586841**.

This entity is in existence and in good standing in this office and has filed all annual reports and paid all annual license taxes to date, or is not yet required to file such annual reports; and has not filed an Application for Certificate of Withdrawal.

I have affixed hereto the Great Seal of the State of Wyoming and duly generated, executed, authenticated, issued, delivered and communicated this official certificate at Cheyenne, Wyoming on this 26th day of January, 2022 at 12:28 PM. This certificate is assigned ID Number 049482138.




Secretary of State

Notice: A certificate issued electronically from the Wyoming Secretary of State's web site is immediately valid and effective. The validity of a certificate may be established by viewing the Certificate Confirmation screen of the Secretary of State's website <https://wyobiz.wyo.gov> and following the instructions displayed under Validate Certificate.

LEASE

BY AND BETWEEN

**EL DEL RANGE LLC, TERRA WEST LLC, TIMOTHY B. SITTEMA and MICHAEL
BULLOCK**

collectively, jointly and severally, “Landlord”

AND

**VITAMIN COTTAGE NATURAL FOOD MARKETS, INC.
a Colorado Corporation**

as “Tenant”

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EXHIBITS

Exhibit A.....	Legal Description, Site Plan, Building Location and Premises Location
Exhibit B	Work Letter
Exhibit C	Memorandum of Lease
Exhibit D.....	Landlord's Release and Waiver
Exhibit E	Tenant's Sample Signs
Exhibit F	Subordination, Attornment and Non-Disturbance Agreement
Exhibit G.....	Rent Commencement Date Memorandum
Exhibit H.....	Covenant Documents
Exhibit I.....	Option to Renew
Exhibit J.....	Rules and Regulations
Exhibit K.....	Intentionally Deleted
Exhibit L	Tenant Improvement Allowance

LEASE

THIS SHOPPING CENTER LEASE (this "Lease") is made as of this 21 day of September, 2021, by and between Landlord and Tenant.

WITNESSETH:

In consideration of the mutual covenants and promises of the parties, it is hereby agreed as follows:

1. Basic Lease Provisions

In addition to the terms which are defined throughout this Lease, the following defined terms are used in this Lease:

a. "**Additional Rent**" shall mean any sum of money that this Lease requires Tenant to pay in addition to Minimum Rent.

b. "**Building**" shall mean the building located at 1851 Dell Range Blvd., Cheyenne, WY 82009, containing the Premises constructed or to be constructed on a portion of the real property described in Exhibit A.

c. **Intentionally Deleted.**

d. "**Covenant Documents**" shall mean those documents if any, listed in Exhibit H which is incorporated herein by this reference, as such documents may be amended, supplemented or superseded from time to time.

e. "**Effective Date**" shall mean the date upon which mutually executed counterparts of this Lease are signed by the last signatory hereto.

f. "**Extension Term**" has the meaning specified in Exhibit I.

g. "**Force Majeure**" shall apply whenever a period of time is provided in this Lease for either party to do or perform any act or thing (except for the payment of monies by Tenant), there shall be excluded from the computation of such period of time any delays due to strikes, riots, acts of God, governmental orders, pandemics, shortages of labor or any cause or causes, whether or not similar to those enumerated, beyond a party's reasonable control or the reasonable control of its agents, servants, employees and any contractor engaged by them to perform work in connection with this Lease.

h. "**Hazardous Substances**" as used in this Lease shall mean any product, substance, chemical, material or waste whose presence, nature, quantity and/or intensity of existence, use, manufacture, disposal, transportation, spill, release or effect, either by itself or in combination with other materials, is: (a) potentially injurious to the public health, safety or welfare, the environment, the Premises or the Building and any improvements located thereon;

or, (b) regulated or monitored by any applicable Governmental Authorities; or (c) a basis for potential liability of Landlord to any governmental agency or third party under any applicable environmental statute or common law theory. Hazardous Substance shall also include, but not be limited to: asbestos (in any form); hydrocarbons; petroleum products; gasoline; crude oil; or any products or by products thereof; "Hazardous Substances," or "toxic substances" as defined in the Comprehensive Environmental Response, Compensation and Liability Act of 1980, as amended, the Hazardous Substances Transportation Act, as amended, the Resource Conservation and Recovery Act, as amended, the Federal Clean Water Act, as amended or "Hazardous Substances" or "toxic substances" as defined under any other federal, state or local environmental law, regulation, ordinance, rule or law, whether existing as of the date hereof, previously enforced or subsequently enacted ("**Environmental Laws**").

i. "**Initial Lease Term**" shall mean a period of one hundred eighty-five (185) full months beginning on the Ready for Occupancy Date; *provided, that* the last day of the Initial Lease Term shall be extended if and to the extent necessary to make it the same as the last day of a Lease Year.

j. "**Landlord's Address**" shall mean:

c/o Timothy B. Sitterma
3824 Pomfret Lane
Charlotte, NC 28211

c/o Mike Bullock
PO Box 3434
Englewood CO 80155

c/o John Eliot
288 Clayton Street, Suite 203
Denver, CO 80206

k. "**Lease Commencement Date**" shall mean the Ready for Occupancy Date.

l. "**Lease Year**" shall initially mean the period beginning on the Ready for Occupancy Date and ending at 12:00 midnight local time on the last day of the last month of the seventeenth (17th) consecutive full calendar month thereafter. After such initial period, Lease Year shall mean a period of twelve (12) consecutive full calendar months commencing on the first day of the first month following the first Lease Year, and each anniversary thereof.

m. **"Minimum Rent"** shall mean the minimum rent for the Premises (including the extension terms specified below) payable in monthly installments (plus a prorated minimum rent payment for any partial month of occupancy prior to the commencement of the first full calendar month of the Initial Lease Term) payable as follows:

Initial Lease Term

Minimum Rent Per Sq. Ft of Rentable Area	Annual Minimum Rent	Monthly Minimum Rent (BEGINNING ON RENT COMMENCEMENT DATE)	Lease Year
\$9.75	\$226,248.75	\$18,854.06	1-10
\$10.25	\$237,857.25	\$19,820.94	11-15

First Extension Term

Minimum Rent Per Sq. Ft of Rentable Area	Annual Minimum Rent	Monthly Minimum Rent	Lease Year
\$11.28	\$261,636.38	\$21,803.03	16-20

Second Extension Term

Minimum Rent Per Sq. Ft of Rentable Area	Annual Minimum Rent	Monthly Minimum Rent	Lease Year
\$12.40	\$287,800.01	\$23,983.33	21-25

Third Extension Term

Minimum Rent Per Sq. Ft of Rentable Area	Annual Minimum Rent	Monthly Minimum Rent	Lease Year
\$13.64	\$316,580.01	\$26,381.67	26-30

Fourth Extension Term

Minimum Rent Per Sq. Ft of Rentable Area	Annual Minimum Rent	Monthly Minimum Rent	Lease Year
\$15.01	\$348,238.02	\$29,019.83	31-35

Fifth Extension Term

Minimum Rent Per Sq. Ft of Rentable Area	Annual Minimum Rent	Monthly Minimum Rent	Lease Year

\$16.51

\$383,061.82

\$31,921.82

36-40

All Minimum Rent is “NNN” or “Net-Net-Net” meaning that Tenant will directly pay for all costs to repair and maintain the Premises, except any and all expenses incurred in connection with Landlord’s obligations as provided for herein which are expressly at Landlord’s sole cost and expense, and excepting those costs which are specifically covered or reimbursed by third party warranties. All such third-party warranties which relate to items which Tenant is required to maintain and repair pursuant to this Lease shall be assigned to and inure to the benefit of Tenant to the extent assignable (or, if same are not assignable, Landlord shall use good faith, commercially reasonable efforts to enforce such warranties upon Tenant’s request). Tenant shall also be responsible for Real Estate Taxes and insurance charges, as set forth herein.

n. **“Notice”** shall mean written notice from one party to the other in accordance with the provisions of this Lease.

o. **“Permitted Use”** shall mean the operation of a natural food grocery store which includes any or all of the following, all to the extent permitted by applicable governmental authorities: (i) the sale of foods, vitamins and supplements, including the wholesale and retail sale of natural whole and prepared foods, canned goods and groceries, frozen and fresh vegetables, meats and sandwiches, dairy products, products of massage therapists, books and other reading materials, (ii) the operation of a juice bar, delicatessen, coffee bar and/or bakery and kiosks carrying the products of third party vendors, (iii) the sale of products customarily carried by large wholesale and retail natural food stores such as Whole Foods and Vitamin Shoppe, (iv) the offering of therapeutic or “chair” massages, (v) the operation of kiosks in the Premises carrying products typical of those contained in a natural food grocery store by third-party vendors; except that any such kiosk will not violate any restrictions in place at the time that this Lease is executed by all parties, (vi) lectures on various subjects, (vii) the sale of packaged alcohol and alcoholic beverages for off-site consumption and conducting tastings, samplings or similar events incidental to the sale of such alcohol and alcoholic beverages, and/or (viii) the operation of a container farm facility for agricultural, horticultural, educational and retail purpose (hereafter, the **“GardenBox”**) as more particularly described in Article 8 below.

p. **“Premises”** shall mean the land described on Exhibit A, as well as all improvements thereon. Without limiting the foregoing, the Premises includes the entire Building.

q. **“Intentionally Deleted.”**

r. **“Ready for Occupancy”** shall mean the first business day following the date that is the later of: (i) the date Tenant has obtained all building, signage and other permits necessary for it to begin Tenant’s Work; or (ii) the date Tenant takes possession of the Premises to begin Tenant’s Work with the understanding that Tenant will take possession on the later of the date which is (a) five (5) business days of the date defined by clause (i) of this subsection r, or (b) June 1, 2022. Tenant shall deliver its plans for Tenant’s Work designed by a licensed architect and supervised by Tenant (**“Tenant’s Plans”**) to Landlord within one hundred twenty (120) days of the Effective Date. Thereafter Landlord and Tenant agree to commercially reasonably cooperate to ensure that Tenant’s Plans are mutually approved by each Party. Landlord shall

review Tenant's Plans within fifteen (15) days of the date of delivery. If any changes are to be made or are suggested by Landlord, Landlord will deliver the same to Tenant who shall have fifteen (15) days to make such changes or discuss the same with Landlord. This shall continue until Tenant's Plans have been mutually approved by Landlord and Tenant. Thereafter Tenant agrees that it will submit Tenant's Plans to the proper authority within sixty (60) days of such approval and Tenant shall thereafter diligently pursue the completion of all changes required by the proper authority. If the permits have not been issued within one hundred eighty (180) days from submittal, Landlord shall have the option to obtain from Tenant a detailed accounting of Tenant's efforts to secure the permits to such date. After receiving such an accounting, should Landlord identify a commercially reasonable means of expediting the permit process, Tenant shall promptly undertake such means. If the permits have not issued within two hundred and forty days (240) from submittal, then either party may terminate this Lease by providing the other with express written notice within ten (10) business days of the 240th day. Upon termination this Lease shall have no further effect except for those provisions which expressly survive such termination. Notwithstanding the foregoing to the contrary, if Tenant commences Tenant's Work even though Tenant has not obtained all building, signage and other permits necessary for it to begin Tenant's Work, the milestone described in clause (i) above shall be deemed to have occurred on the date on which Tenant commenced Tenant's Work.

s. **"Ready for Occupancy Date"** and or **"Delivery Date"** shall be the first business day following the date that Landlord delivers the Premises, Ready for Occupancy, as more specifically defined in Article 1.r. above and Article 4. below.

t. **"Real Estate Taxes"** shall mean any form of real estate tax or assessment, general, special, ordinary or extraordinary, and any license fee, commercial rental tax, improvement bond or bonds, levy or tax (other than inheritance, personal income or estate taxes) imposed upon the Building or Premises by any authority having the direct or indirect power to tax, including any city, state or federal government, or any school, agricultural, sanitary, fire, street, drainage, or other improvement district thereof, levied against the Building or Premises. Notwithstanding the foregoing, or any provision in this Lease to the contrary, Real Estate Taxes as defined herein shall not include (unless assessed as a replacement or substitution of Real Estate Taxes): (i) any gift or inheritance tax; (ii) any transfer or similar tax incurred as a result of the sale of the Building or Premises; (iii) any excise or similar tax; (iv) any tax on profits earned by Landlord in the operation of the Building or the Premises; (v) any capital levies; (vi) any excise tax; and, (vii) any late charges, fees or penalties assessed against the Building or Premises except in the event of Tenant's failure to timely pay Real Estate Taxes. Notwithstanding the foregoing, Tenant will pay any Real Estate Tax attributable solely to Tenant's operations.

u. **"Rent"** shall mean collectively the Minimum Rent and Additional Rent.

v. **"Rentable Area"** shall mean 23,205 square feet.

w. **"Rent Commencement Date"** shall mean the date that is five (5) full months following the Ready for Occupancy Date. If said date is other than the first day of a month, then Tenant will pay a prorated proportion of Minimum Rent and Additional Rent (each based on the number of days in said month) to the end of said month, and the Rent Commencement Date will

be the first day of the month that follows (e.g., if the Ready for Occupancy Date occurred June 15, 2022, the Rent Commencement Date would occur December 1, 2022, with Tenant paying a prorated proportion of Minimum Rent and Additional Rent from November 16, 2022 – November 30, 2022).

x. **Intentionally Deleted.**

y. **"Tenant"** shall mean Vitamin Cottage Natural Food Markets, Inc., a Colorado corporation d/b/a *Natural Grocers by Vitamin Cottage*®. Tenant will operate under the name *Natural Grocers by Vitamin Cottage* or by such other trade name as it shall be using at any time during the Initial Lease Term or any Extension Term.

z. **"Tenant's Address"** shall mean:

12612 W. Alameda Parkway
Lakewood, Colorado 80228
Attn: Kemper Isely, Co-President

With a copy to: leases@naturalgrocers.com (as to all Real Estate Tax bills and any other item charged as Additional Rent by Landlord).

2. PREMISES, QUIET ENJOYMENT, AND LANDLORD ASSURANCES

a. Landlord does hereby lease to Tenant, and Tenant does hereby lease from Landlord, the Premises. The legal description of the land on which the Building is located is described in Exhibit A, attached hereto and made a part hereof. The boundaries and location of the Premises are outlined in red or crosshatched on the Site Plan attached hereto as Exhibit A and made a part hereof.

b. This Lease shall also be subject to the Covenant Documents recorded relative to the Premises provided that in the event of a conflict between the covenant documents contained in this Lease and any amendment to such Covenant Documents made effective on or subsequent to the Effective Date, the terms of this Lease shall prevail, and further provided that Landlord shall not agree to any amendment, modification, alteration or cancellation of such Covenant Documents without Tenant's prior written approval if the same would materially adversely alter any term, covenant or condition of this Lease which is to Tenant's benefit, which approval will not be unreasonably withheld, conditioned, or delayed.

c. Landlord represents and warrants that Tenant shall at all times during the term of this Lease, enjoy non-exclusive cross access for ingress and egress by vehicular and pedestrian traffic between and among the Premises, Building, and any other contiguous real property with which the Premises or Building shares ingress and egress and to which the Covenant Documents apply.

d. To induce Tenant to execute this Lease, and in consideration thereof, Landlord represents and warrants as follows that as of the Delivery Date:

i. Landlord shall have good and marketable title to the Building and Premises free of all liens, encumbrances, easements, restrictions, rights, and conditions of record or known to Landlord, except: (1) as set forth in the Covenant Documents; or (2) those which do not restrict Tenant's Permitted Use in any material way; or (3) those that are no more restrictive than the rules and obligations expressly set forth in this Lease or the Covenant Documents. Landlord has provided Tenant with a copy of the Covenant Documents prior to the Effective Date;

ii. To Landlord's actual knowledge, there are no restrictions or other legal impediments either imposed by law (including applicable zoning and building ordinances) or by any other instrument that would prevent the use of the Premises for the Permitted Use;

iii. Landlord has not received notice nor has Landlord any knowledge of any violation of any law, regulation, ordinance, order, or other requirement of any governmental authority having jurisdiction over or affecting any part of the Building or Premises. If at any time during the term of this Lease (a) applicable law shall render the Building or Premises unusable, for a period of ninety (90) or more consecutive days, for the retail sale of (x) natural or organic groceries, including fresh or frozen foods/fruits/vegetables, or (y) vitamins or nutritional supplement, and (b) Tenant delivers to Landlord a certification from an officer of Tenant, with reasonable supportive documentation, that Tenant's gross sales have declined by 20% or more on account of such law then Tenant (as compared to the same period for the preceding year), without waiving any other benefits Tenant may have on account thereof, may terminate this Lease by giving Landlord Notice thereof; and

iv. Landlord agrees to indemnify Tenant from and against any and all loss and damage, including any court costs or reasonable attorney fees that may be incurred by Tenant on account of any failure or defect in Landlord's title or right to enter into this Lease.

e. Subject to Tenant paying the Rent herein provided and performing all the covenants and conditions of this Lease on its part to be performed, Landlord and Landlord's successors and assigns, covenant and warrant that Tenant shall and may at all times during the term of this Lease peaceably and quietly have, hold and enjoy the Premises and Building without disturbance from Landlord or anyone claiming under Landlord.

3. TERM

The Initial Lease Term of this Lease shall commence on the Lease Commencement Date and shall terminate at 12:00 midnight local time on the last day of the Initial Lease Term. When the Rent Commencement Date has been established, a Rent Commencement Date Memorandum attached hereto as Exhibit G and made a part hereof, shall be executed by Landlord and Tenant.

4. DELIVERY DATE

a. Landlord shall deliver possession of the Premises to Tenant free and clear of all liens and encumbrances for labor and materials on June 1, 2022 (the "**Delivery Deadline**"). If

Landlord fails to deliver possession of the Premises to Tenant in the condition required by this Lease by the Delivery Deadline, then, for each day of delay thereafter, Tenant shall be entitled to a credit of two (2) days of free Rent against Rent due until delivery is made. Notwithstanding any other provisions of this Lease to the contrary, Tenant shall have the right to terminate this Lease without further obligation to Landlord in the event Landlord fails to deliver possession of the Premises in the condition required by this Lease by August 1, 2022, by giving written notice to Landlord of such termination at any time after such failure but prior to the date on which Landlord delivers the Premises to Tenant in accordance with this Lease. Notwithstanding anything in this Lease to the contrary, Tenant shall not be required to accept possession of the Premises prior to June 1, 2022.

b. Notwithstanding anything to the contrary in this Lease, from the Ready for Occupancy Date to the Rent Commencement Date, Tenant shall have no obligation to pay Minimum Rent or Additional Rent, but all other terms of this Lease shall be in effect during such period. Any entry by Tenant upon or occupancy of the Building and Premises prior to the Rent Commencement Date shall be at Tenant's sole risk.

c. Landlord shall deliver to Tenant the "Tenant Improvement Allowance" as more fully described in Exhibit L.

5. RENT

a. Commencing on the Rent Commencement Date and throughout the Initial Lease Term and any Extension Term, Tenant covenants and agrees to pay to Landlord as rent for the Premises, the Minimum Rent set forth in Article 1 and any Additional Rent described in this Lease.

b. Unless otherwise permitted hereunder or by other agreement between Landlord and Tenant, every installment of Minimum Rent and Additional Rent shall be payable without setoff, abatement or deduction, without notice or demand, in advance, on or before the first business day of each calendar month during the Initial Lease Term and any Extension Term. Minimum Rent, Additional Rent and all other rent and charges for any period during the Initial Lease Term or any Extension Term which is for less than one full month shall be prorated based upon the actual number of days of the month involved. Minimum Rent and Additional Rent shall be paid at Landlord's Address or at such other address or addresses as Landlord may from time to time designate by Notice in writing.

c. Tenant intends to make electronic payments, and Landlord agrees, at least fifteen (15) days prior to the Rent Commencement Date, to furnish Tenant with the routing and other information necessary to make such electronic payments. In the event Tenant pays Rent by electronic means using the information Landlord provides to Tenant, then Tenant shall not be deemed to be late on such payment so long as such payment is initiated on or prior to the first business day of the month. In the event Tenant pays Rent by means of a check mailed through the United States Postal Service and such envelope is postmarked and placed in the United States mail, first class postage, prepaid, and properly addressed to Landlord no later than the first business day of the month in which such payment is due, then Tenant shall not be deemed to be

late on such payment to the extent it arrives after the first business day of the month. If Tenant fails to timely pay any Rent, interest will accrue on such unpaid amount at one percent (1%) per month; provided, for the avoidance of doubt, Tenant will not be deemed to have failed to timely pay any Rent so long as the Rent payment was postmarked, or initiated, on or prior to the first business day of the month, as more particularly described in this Section 5.c.

d. The parties acknowledge that, as of the Effective Date, the Landlord is comprised of multiple entities as tenants-in-common. At any time that Landlord is composed of more than one person or entity, the following provisions shall apply:

i. Any obligation under this Lease for Tenant to pay Landlord any amount of Rent will be completely and unconditionally satisfied by payment of such amount by Tenant to the party herein named as Landlord, at the address for such party given in Section 1.j, or such other single address designated by not less than thirty (30) days' prior written notice to Tenant signed by all parties comprising Landlord, or to the ACH recipient provided by Landlord to Tenant. The parties comprising Landlord shall be solely responsible for distributing their respective shares of such payments between themselves. The parties comprising Landlord shall resolve any dispute they might have between themselves under this Lease or any other agreement regarding any amount paid or payable to Landlord under this Lease or the performance of any obligation owed to Landlord under this Lease and shall not join Tenant in any such dispute or interfere with, delay, limit or otherwise adversely affect any of the rights or remedies of Tenant under this Lease in any way.

ii. Not more than one (1) party shall be designated to act on behalf of Landlord for all matters pursuant the Lease which require the Tenant to obtain the consent of Landlord. As of the date of the Effective Date, and until written notice to Tenant signed by all parties comprising Landlord, the party shall be: El Del Range LLC (c/o John Eliot).

6. OPTION TO RENEW.

Tenant will have the option to renew the Lease subject to the terms of Exhibit I.

7. CONDITION OF THE PREMISES

a. Landlord hereby warrants that on the Ready for Occupancy Date the plumbing and electrical systems serving the Building and the Premises will be operational.

b. If the roof or structural components of the Building at any time during the Initial Lease Term and any Extension Term do not meet with codes as required by applicable regulations of governing authorities (and any such failure is not attributable to the Tenant's Work or Tenant's alterations or Tenant's specific manner of using the Premises (contrasted with retail use generally), and if required by such authorities, such failure will be brought up to code at Landlord's expense. If Landlord fails to proceed with such work diligently and continuously until completion then Tenant may, after thirty (30) days written notice to Landlord and Landlord's failure to diligently and continuously recommence such work and pursue the same to completion, proceed with such work itself and apply the cost of same against succeeding rental

obligations due hereunder. Landlord shall be responsible for paying any and all fines or penalties assessed by any governmental authority during the term of this Lease as a result, or arising out, of any Landlord failure set forth in this Article 7.b., except as provided in the immediately succeeding paragraph. If the failure to meet code regarding the roof or structure of the Building is as a result of the Tenant's Work or Tenant's alterations or Tenant's specific manner of using the Premises (contrasted with retail use generally), Tenant will be required to complete the same within a commercially reasonable time period. If Tenant fails to timely complete such work, then Landlord shall be permitted to complete the same, and Tenant will be required to reimburse Landlord for such work.

c. Subject to any other provision of this Lease, the Premises are being delivered in "as-is" and "where-is" condition except that Landlord: (i) will mitigate at its sole cost and expense any environmental issues existing as of the Ready for Occupancy Date, including the remediation of any Hazardous Substances existing as of the Ready for Occupancy Date, to the extent required by applicable governmental authorities; (ii) will mitigate any pest, rodent, or similar infestation problem (if any) in, on, or around the exterior of the Premises existing as of the Ready for Occupancy Date; (iii) will maintain and repair the roof of the Building as set forth in this Lease; (iv) will (as between Landlord and Tenant), at Landlord's sole cost and expense, remove from the Building, Premises, and Shopping Center pylon/monument signs to which Tenant has signage rights, any existing signage for the prior tenant (Barnes & Noble), such removal to be completed within a reasonable period following turnover of the Premises from such prior tenant to Landlord; and (v) will warrant for twelve (12) months from the Ready for Occupancy Date the operation in good working order and condition of the HVAC system (other than any systems installed by Tenant) and all components of the plumbing and electrical systems (other than any items installed by Tenant). After expiration of said twelve (12) month warranty period, any warranties that are assignable as to mechanical equipment held by Landlord shall be assigned to Tenant to the extent assignable (or, if not assignable, enforced by Landlord on Tenant's behalf).

d. Intentionally Deleted.

e. Landlord shall, within thirty (30) days of the Rent Commencement Date, deliver to Tenant copies of all applicable warranties, along with an assignment of such warranties to the extent assignable (or, if not assignable, enforced by Landlord on Tenant's behalf) and to the extent related to Tenant's repair, maintenance and replacement obligations in this Lease.

f. Any existing service contracts and manufacturer's warranties for any roof top units will be delivered by Landlord to Tenant.

g. Except for any ongoing warranties granted by this Article or this Lease, and except by occupying the Premises to complete the Tenant's Work and install fixtures, facilities or equipment; by occupying the Premises following the Ready for Occupancy Date, Tenant shall be deemed conclusively to have acknowledged that the Building and Premises are in the condition required by the Work Letter attached hereto as Exhibit B.

8. USE AND GOING DARK

a. Tenant shall have the right to use and occupy the Premises only for the Permitted Use described in Article 1.

b. So long as Tenant is operating the Permitted Use and is not in default under this Lease beyond any applicable period of notice and cure, Landlord covenants and agrees that, during the Initial Lease Term and any Extension Term, no additional property that Landlord, directly or indirectly, may now or hereafter own or control, and which is contiguous, or which is within five hundred (500) feet of any boundary of, the Premises, will be used by a grocery, nutritional supplements and/or produce store excluding incidental sales (the "Exclusive Use"). In the event Landlord violates the Exclusive Use and is unable to cure the same pursuant to the preceding sentence, then Minimum Rent (but not Additional Rent) shall abate and, in lieu thereof, Tenant will pay 1/2 Minimum Rent (plus Additional Rent) ("Alternative Minimum Rent") for the period of time during which such violation continues. If any such violation continues for more than eighteen (18) full calendar months after the payment of Alternative Minimum Rent commences ("Correction Deadline"), then Tenant, at its sole discretion, shall have the one-time right to either: (i) terminate this lease by giving thirty (30) days written notice of termination delivered to Landlord within thirty (30) days after the Correction Deadline, or (ii) automatically revert to full Minimum Rent effective as of the expiration of the Correction Deadline. This notwithstanding, in the event another occupant or tenant leasing space from Landlord in the restricted area violates the Exclusive Use without Landlord's permission or consent (a "Rogue Tenant"), Tenant shall deliver written notice of such violation to Landlord and Landlord shall cause such tenant to cease violation of the Exclusive Use, which may include seeking injunctive relief to enjoin or restrain such tenant from violating the Exclusive Use, during which time Landlord shall not be deemed to be in violation of its obligations under this Lease. As used in this Lease, "incidental sales" shall mean sales generated from not more than 150 square feet of shelf space, which shelf space may be used for the relevant prohibited use.

Notwithstanding the foregoing, in the event that a future mortgagee of Landlord, acting solely as a lender and not as a real property owner, succeeds to Landlord's interest and rights under this Lease through foreclosure, deed in lieu of foreclosure, or other legal means similar to foreclosure, this Section 8(b) shall not be breached on account of Landlord's mortgagee or Landlord's mortgagee's successor owning, prior to the date on which such Landlord's mortgagee or Landlord's mortgagee's successor succeeds to Landlord's interest and rights under this Lease, an existing property that otherwise would violate the terms of this Section 8(b). Further, in the event Landlord conveys all or a portion of the Property to an unrelated third party, and, at the time of such conveyance, such unrelated third party owns real property that would violate the terms of this Section 8(b), such successor landlord shall not be deemed in violation of the restrictions set forth herein as a result of such existing real property (provided that any such successor landlord shall be bound by the restrictions contained herein as to any real property acquired or developed within the foregoing area following such successor landlord's acquisition of the Property).

c. The following limitations shall apply to Tenant's operation of the Premises:

i. The Permitted Use shall not include any use which violates any applicable laws, or any restriction or restrictive use included in the Covenant Documents as of the Effective Date.

ii. Tenant shall not commit any waste or permit any nuisance upon the Building or Premises or overload the floors thereof, or conduct any auction, fire, bankruptcy, liquidation, or going-out-of-business sales upon the Building Premises without first obtaining the written consent of Landlord. Tenant shall not permit anything to be done in or around the Building or Premises that would increase Landlord's Insurance.

iii. Tenant shall open for business as a fully stocked and staffed prototypical *Natural Grocers by Vitamin Cottage* store for at least one (1) day during the first Lease Year. Tenant will operate its business in a first class and reputable manner. Tenant shall be open for business during its normal and usual hours, which are Mondays through Saturdays 8:00 a.m. to 9:04 p.m. and Sundays 8:00 a.m. to 7:06 p.m.; provided, however, that Tenant may change the hours of operation in its reasonable discretion, so long as such hours of operation are typical for retail stores that are similar to the operation of a business for the Permitted Use.

iv. Tenant shall keep the Premises well-lit and in a neat and clean condition throughout the Initial Lease Term and any Extension Term.

d. Notwithstanding the foregoing, or anything in this Lease to the contrary, so long as Tenant is not in default under this Lease beyond applicable cure periods, Tenant shall have the option in its sole discretion to discontinue its operations in the Premises ("**Go Dark Option**") by providing at least sixty (60) days prior written notice to Landlord ("**Go Dark Notice**") of the date on which Tenant intends to cease operations ("**Go Dark Date**"). So long as Tenant continues to timely pay the Minimum Rent, Additional Rent and other fees due under this Lease, Tenant shall not be deemed in default hereunder as a result of discontinuing its operations in connection with exercise of the Go Dark Option. Notwithstanding the foregoing, if Tenant exercises the Go Dark Option and does not resume operations within ninety (90) days from the Go Dark Date, Landlord shall have the option to terminate this Lease by providing written notice to Tenant ("**Go Dark Termination Notice**") at any time following the end of such ninety (90) day period; and as a result, this Lease shall terminate thirty (30) days following delivery thereof (the "**Go Dark Termination Date**").

In the event Landlord delivers the Go Dark Termination Notice in accordance with the terms and conditions set forth herein: (i) Tenant shall continue to pay all Minimum Rent and Additional Rent through the Go Dark Termination Date; (ii) Tenant shall surrender possession of the Premises as of the Go Dark Termination Date in accordance with the provisions of this Lease; (iii) this Lease shall terminate as of the Go Dark Termination Date as if the Go Dark Termination Date were the date originally stipulated for the expiration of the Term; and (iv) nothing herein shall relieve Tenant of any obligations which accrued hereunder prior to the Go Dark Termination Date. If Tenant discontinues its operations in the Premises, but fails to continue to make payments as described herein, then Tenant shall be in default of this Lease and Landlord shall be entitled to exercise all rights and remedies provided in this Lease.

e. At all times and from time to time during the Term, Tenant shall have the right, at no additional cost to Tenant except as herein provided, to place and operate the GardenBox in an area within the exterior of the Building, with the exact location to be agreed upon by the parties working together in good faith, provided: (i) prior to placement of the GardenBox, Tenant shall have received all governmental approvals required to permit the placement and use of the GardenBox; (ii) Tenant shall pay all costs associated with the placement, use, maintenance, insurance and removal of the GardenBox; and (iii) the size of the GardenBox shall not exceed 40' x 10' x 10'. Landlord agrees to cooperate in good faith with Tenant in obtaining any approvals required in connection with the GardenBox, and in connecting the GardenBox to necessary utilities. Tenant shall have the exclusive use and control of the GardenBox at all times during the Term, for any legal purpose including, without limitation, agricultural, horticultural, educational, and retail purposes. No additional Rent shall be required in connection with the GardenBox.

9. UTILITIES

a. From and after the Ready for Occupancy Date and at all times during the Initial Lease Term and any Extension Term, Tenant covenants and agrees to pay, prior to delinquency, the costs and charges for all utilities, including but not limited to gas, propane, electricity, water, sewer, telephone and trash service used and consumed by Tenant, its employees, agents, servants, customers and other invitees, and to the extent possible shall contract for the same in its own name and on separate meters. If Tenant fails to pay any such charges, Landlord may, at its option, pay the same for and on Tenant's account, in which event Tenant shall promptly reimburse Landlord therefor, together with interest at one percent (1%) per month from the date of expenditure until paid. Interruption or impairment of any such utility or related service, caused by or necessitated by repairs, improvements, or by hazards beyond the control of Landlord, shall not give rise to a right or cause of action against Landlord in damages or otherwise. Notwithstanding the foregoing, if through the fault of Landlord or Landlord's agents, employees or contractors any utility service to the Premises is interrupted as a result of which Tenant is unable to fully operate the Premises for the Permitted Use for more than three (3) consecutive days, then beginning on the fourth (4th) consecutive day of such interruption and failure by Tenant to operate, and continuing for so long as such interruption and failure continue, all Rent shall abate in full and Tenant shall have no liability for the same.

b. Landlord represents and warrants that the Premises is furnished with stubs for all utilities including water, sewer, gas, telephone and electricity. Throughout the Term, Landlord agrees that it shall cooperate in good faith with Tenant (at no expense to Landlord) should Tenant desire to upgrade its telecommunications, internet, broadband and/or similar systems from time to time.

10. REPAIRS AND MAINTENANCE

a. Except for Landlord's obligations as set forth at Section 10.f below and at Article 7 above, from and after the Ready for Occupancy Date Tenant shall maintain, replace, repair and keep all portions of the Premises, which include but are not limited to all exterior areas of the Premises, interior wall surfaces from the face of any wall studs inward, doors, door hardware, plumbing, electrical and mechanical equipment which exclusively serve the Premises, in good order, operating condition and repair. Tenant shall also maintain, repair and replace (as needed)

all Tenant signage, trade fixtures, improvements, and equipment in good order, operation, condition, and repair. Tenant will keep the Premises in a clean, sanitary and safe condition in accordance with all directions, rules and regulations of any health officers, building inspectors or other proper officers of the governmental agencies in the county in which the Building is located; and such other local, state or federal governmental authorities with jurisdiction over the Building (collectively, the "**Governmental Authorities**"). Tenant shall permit no injury to the Building or Premises, and shall, at its own cost and expense, replace with glass of the same or better quality any damaged or broken glass, including plate glass or other breakable materials used in structural portions of any interior or exterior windows and doors on the Premises.

b. Tenant shall dispose of all its trash and waste materials at Tenant's own expense.

c. Tenant shall, at its own cost and expense, replace any light bulbs, frames, ballasts, and accessory parts thereof on the Premises that may be broken or damaged during the Initial Lease Term and any Extension Term.

d. Tenant shall, at its sole cost and expense, contract directly with a janitorial service provider of Tenant's choice, to provide janitorial services for the Premises at the hours and on the days required by Tenant.

e. In addition to other rights and remedies available to Landlord pursuant to this Lease, if Tenant fails to perform Tenant's obligations under this Article 10, Landlord may enter upon the Premises after forty-five (45) days' prior written Notice to Tenant (except in the case of an emergency, in which case no Notice shall be required), perform such obligations on Tenant's behalf, and put the Premises in good order, condition and repair, at Tenant's expense, together with an administration fee equal to ten percent (10%) of the cost of such work. Notwithstanding the foregoing, in the event Tenant commences any repair or maintenance as required hereunder during said 45-day period, but is unable to complete the same using commercially reasonable efforts, Tenant will be permitted to complete such repair or maintenance so long as Tenant is diligently pursuing completion of the same.

f. Landlord covenants and agrees, at its expense to keep, maintain and replace, as necessary, the foundation, roof and structural components of the Building in good condition and repair. Landlord shall also keep the exterior of the Building in a sealed condition at Landlord's expense. Tenant shall reimburse Landlord for costs of the foregoing to the extent damaged due to negligence or misuse by Tenant or Tenant's contractors, agents, employees or invitees.

g. Upon termination of the Lease, Tenant agrees to leave the Premises in good condition and broom-clean, allowance being made for ordinary wear and tear. Tenant agrees to remove at the end of the term of this Lease any and all Trade Fixtures installed by Tenant; any such items not removed by Tenant within thirty (30) days of the date this Lease terminates shall become the property of Landlord and remain upon the Premises, subject to the terms of Exhibit D attached hereto, and provided that Tenant shall reimburse Landlord for all reasonable costs incurred by Landlord in removing and discarding same.

11. EXTERIOR AREAS

a. Tenant shall have the exclusive right and free use of the exterior areas of the Premises, subject to rights of the owners and occupants of the adjacent parcel to use driveways on the Premises to the extent set forth in Covenant Documents.

b. Except to the extent required by law, Landlord shall not erect, construct, or install or allow to be erected, constructed, or installed any subsequent signage, buildings or other improvements (either permanent or temporary in nature) or make any changes to the Building or Premises which would materially obstruct or diminish the general proximity of the parking field to Tenant's front door, materially diminish the size of the parking field or number of parking spaces available to Tenant, materially diminish signage, visibility of, or the access to the Premises or otherwise materially interfere with the traversing of vehicular and/or pedestrian traffic from nearby public roadways. Notwithstanding anything in this Lease to the contrary, Landlord and Tenant acknowledge that applicable legal requirements may require that the current primary access into the Premises be modified to a "right in, right out" access, and that any such change shall not constitute a breach of this Lease or modify the parties' rights and obligations under this Lease.

12. TAXES

a. Tenant shall pay, before delinquency, all property taxes, and assessments on the furniture, fixtures, equipment, and other property of or being used by Tenant at any time situated on or installed in the Premises. If, at any time during the term of this Lease, any of the foregoing items are assessed as a part of the real property of which the Premises are a part, Tenant shall pay to Landlord, before delinquent and upon demand, the amount of such additional taxes as may be levied against said real property by reason thereof.

b. Commencing on the Rent Commencement Date, and during the term of this Lease, Tenant shall pay Real Estate Taxes directly to the applicable taxing authority. Landlord shall deliver copies of tax bill(s) to Tenant promptly after receipt, but in any event no later than thirty (30) days before the same are required to be paid. Tenant's obligation to pay said taxes and assessments for any partial tax fiscal year during the term of the Lease hereof shall be prorated.

c. Tenant shall have the right, in good faith and at its sole cost and expense, and upon posting adequate security to protect Landlord, to contest the amount or legality of any of said personal or Real Estate Taxes and assessments on or attributable to the Premises and/or the personal property located therein, including the right to apply for the reduction thereof. Landlord shall cooperate fully with Tenant in connection therewith; provided, however, that Tenant shall prosecute any such contest with due diligence and shall forthwith, upon the final determination thereof, pay the amount of said taxes, or the portion thereof which Tenant is obligated to pay hereunder, together with any interest, penalties, costs, and charges which may be payable in connection therewith.

d. If any of said personal or Real Estate Taxes or assessments on or attributable to the Premises are to be paid in installments, Landlord agrees to execute and join with Tenant in

the execution of any application or other instrument which may be necessary to permit the payment thereof in the maximum legally permissible number of installments; and in such event, Tenant's obligation to pay taxes and assessments under this Lease shall be determined on an installment basis.

e. Without limiting the generality of anything else contained herein, in no event shall Tenant be liable hereunder for or be required to pay any income, profit, excise or franchise taxes, or taxes with respect to the rent received by Landlord under this Lease, or upon the right of Landlord to receive such rent or to do business, or any tax, assessment, or governmental imposition in replacement or substitution of the foregoing unless the same is an imposition in replacement or substitution of Real Estate Taxes.

f. If at any time during the term of this Lease or any extension thereof, there shall be levied or assessed in substitution of Real Estate Taxes, in whole or in part, a tax assessment or governmental imposition (other than a general gross receipts or income tax) on the rents received from the Premises or the rents reserved herein, and said tax, assessment or governmental imposition shall be imposed upon Landlord, Tenant shall pay same as provided herein, but only to the extent that such new tax, assessment or governmental imposition is a substitute for Real Estate Taxes previously imposed. In addition, if at any time during the term of this Lease or any extension thereof, if any assessment (either general or special) is levied upon or assessed against the Premises or any part thereof, Tenant's obligation under this Article to pay such assessment, or any installment thereof, will extend only to that portion of the total assessment, or any installment thereof, calculated by multiplying the total amount assessed for such installment thereof by a fraction, the numerator of which shall be the number of Lease Years remaining (beginning with the Lease Year in which such levy or assessment is made) in the Initial Lease Term and any Extension Terms of this Lease, and the denominator of which shall be the number of years for which the assessments apply so that the assessment shall be prorated for time.

13. INSURANCE

a. From and after the Ready for Occupancy Date (or Tenant's sooner occupancy of the Premises), and continuing throughout the Initial Lease Term and any Extension Term, Tenant shall carry and maintain the following insurance, all without co-insurance (collectively, "**Tenant's Insurance**"):

i. Property damage insurance normally and usually carried by owners of similar properties in the location of the Building and, covering all portions of the Building and Premises insuring against loss or damage by fire or other casualty covered by a so-called "all risk," "multi-peril," or "special form" policy, in such amounts, from companies, and on such terms and conditions as sufficient to protect the Building and Premises for its replacement value;

ii. Property insurance covering Tenant's property and all personal property, goods and merchandise, fixtures, improvements, alterations, wall coverings, floor coverings, window coverings, signs, decorations, furniture, furnishings, equipment, lighting, ceilings, heating, ventilation and air conditioning equipment, roof top refrigeration, satellite communications equipment and interior plumbing against all risks of direct physical loss for the

full replacement value thereof. Replacement value is understood to mean the cost to replace without deduction for depreciation. Tenant shall also carry business interruption insurance in an amount as will properly reimburse Tenant for losses attributable to Tenant's inability to use fully or obtain access to the Premises sufficient to cover twelve (12) months of business operations.

iii. Commercial general liability insurance providing coverage for bodily injury and property damage, with a combined single limit coverage of not less than \$1,000,000 per occurrence, two million dollars (\$2,000,000) policy aggregate, and including contractual liability coverage.

iv. Worker's compensation insurance insuring against and satisfying Tenant's obligations and liabilities under the worker's compensation laws of the state in which the Premises is located.

v. Tenant may also obtain umbrella or excess liability insurance.

vi. Plate glass insurance sufficient to discharge Tenant's obligations in this Lease.

b. It is expressly understood and agreed that the foregoing minimum limits of Tenant's Insurance coverage shall not limit the liability of Tenant for its acts or omissions as provided in this Lease. Tenant's Insurance shall be issued by an insurance company of recognized standing, licensed and authorized to do business in the state in which the Building is located, and having a Best's Insurance Guide rating of at least A:XV. Tenant's Insurance (other than any policy of worker's compensation insurance) will name Landlord and such other persons or firms as Landlord specifies from time to time as additional insureds, except that if the addition or other persons or firms requested by Landlord increases the premium for the same or decreases the coverage, Landlord shall pay for such increased premium over and above the amount that would have been payable had such persons or firms not been added and shall have the option to choose between decreased coverage or withdrawing the requirement that such other persons or firms be named.

Original or copies of original policies (together with copies of the endorsements naming Landlord, and any others specified by Landlord as additional insureds) and evidence of the payment of all premiums of such policies will be delivered to Landlord prior to the Lease Commencement Date and on each anniversary thereof should Landlord request the same from Tenant. All public liability and property damage liability policies maintained by Tenant will contain a provision that Landlord and any other additional insureds will be entitled to recover under such policies for any loss sustained by them, their agents, and employees as a result of the acts or omissions of Tenant.

Tenant's Insurance will provide that it may not be terminated or amended except after thirty (30) days' prior written Notice to Landlord. Tenant's Insurance shall be written as primary policies, not contributing with and not supplemental to coverage that Landlord may carry.

g. To the fullest extent permitted by the insurers, Landlord and Tenant each waive any and all rights to recover against the other or against the officers, directors, shareholders, partners,

joint venturers, employees, agents, customers, invitees or business visitors of such other party, for any loss or damage to such waiving party arising from any cause which is covered or required to be covered by the insurance which is required to be carried by such party or which is covered by any other insurance actually carried by such party, to the extent of the limits of such policy. Landlord and Tenant, from time to time, shall cause their respective insurers to issue appropriate endorsements to all policies of insurance carried in connection with the Premises, which endorsements waive such insurer's subrogation rights under such policies against the beneficiaries of this waiver. The intent of this Article 13 is to insure that the insurance coverage for the party that is primarily responsible to cover any such loss is the party whose insurance is the primary and only coverage for such loss.

14. ALTERATIONS

a. Tenant shall not make alterations or additions to the exterior or to the structural, mechanical, plumbing, or electrical systems of the Premises without the express written permission of Landlord, which consent shall not be unreasonably withheld, conditioned or delayed. Notwithstanding the foregoing, Landlord acknowledges that as part of the Tenant's Work, Tenant will be installing roof top or ground-mounted enclosed refrigeration equipment which will service its coolers and freezers in a location specified by Landlord; provided, however, any roof top equipment must be screened in a manner reasonably acceptable to Landlord and must comply with the Covenant Documents and all Governmental Authorities, and such activities may not void Landlord's roof warranty. The same shall be deemed to be Tenant's property which shall be removed by Tenant at the expiration of the Initial Lease Term and any Extension Term or earlier termination of the Lease. Tenant shall use Landlord's then-current roof contractor for purposes of (i) placement of the refrigeration equipment and any piercing of the roof membrane in order to facilitate the installation thereof, and (ii) removal of the refrigeration equipment and repair/restoration of the roof membrane to its original weather-resistant condition (determined as of the Ready for Occupancy Date), ordinary wear and tear excepted. Notwithstanding anything in this Lease to the contrary, Tenant shall be responsible for its roof penetrations and any problems arising from such penetrations including any repairs to interior portions of the Premises.

b. Tenant shall make alterations or additions to the interior of the Premises, only after first delivering to Landlord the plans and specifications therefor and obtaining Landlord's written consent, which consent will not be unreasonably withheld, conditioned or delayed. Landlord's approval of any Tenant plans, specifications or drawings under this Lease shall create no liability for Landlord for their completeness, design sufficiency, or compliance with Governmental Authorities or applicable codes or laws. Tenant shall promptly pay for the costs of all such alterations and additions regardless of the cost, and shall indemnify Landlord against liens, costs, damages, and expenses incurred by Landlord in connection therewith, including any attorneys' fees incurred by Landlord if Landlord shall be joined in any action or proceeding involving such work. Landlord may, at its option, pay sums due in order to release such liens, in which event any such sums paid by Landlord shall be due to Landlord by Tenant as Additional Rent, upon demand. Under no circumstance shall Tenant commence any such work until Landlord has been provided with certificates evidencing that all the contractors and

subcontractors performing such work have in full force and effect adequate worker's compensation insurance as required by Governmental Authorities.

c. All alterations and additions done before Tenant first opens for business, shall be completed by Tenant in accordance with Exhibit B. All consents given by Landlord in reference to such improvements shall be deemed conditioned upon: (i) Tenant acquiring all applicable permits required by any Governmental Authorities; (ii) the furnishing of copies of such permits together with a copy of the plans and specifications for the alteration to Landlord prior to commencement of the work thereon and prior to the submission for approval to any Governmental Authorities having jurisdiction; and (iii) the compliance by Tenant with all conditions of said permits in a prompt and expeditious manner.

d. After Tenant opens for business to the public, Tenant will not require Landlord's consent to make alterations to the Premises that cost \$100,000 or less, do not affect the Building structure or systems and for which: (i) Tenant first provides written notice to Landlord to permit it to post notices upon the Building and Premises permitted by this Lease; (ii) Tenant obtains any permits required by any Governmental Authority; (iii) Tenant undertakes such alterations in a commercially reasonable fashion; and (iv) Tenant provides Landlord with "as-built" plans (if applicable) upon the completion of the alterations. In the event any remodeling, improvements, fixturing or modification to the Premises by Tenant results in or causes the Building to be subject to any modified compliance with any laws, rules or regulations then Tenant shall pay for and reimburse Landlord for all costs or expenses, including management costs, reasonably necessary to bring any part or all of the Building into compliance therewith.

e. Within five (5) days after notifying Landlord of any planned erection, construction, alteration, removal, addition, repair or other improvement, Landlord may post, and Tenant shall keep posted until completion of such work, in a conspicuous place upon the doors providing entrance to the Building and Premises, notices of non-responsibility as permitted by Governmental Authorities, stating that Landlord's interests in the Building and Premises shall not be subject to any lien for such work.

f. Any alterations done by Tenant at any time shall be done in a good and workmanlike manner, with good and sufficient materials, and be in compliance with all Governmental Authorities. Tenant shall promptly upon completion thereof furnish Landlord with as built plans and specifications therefor and copies of any approvals given by any applicable Governmental Authorities.

g. Landlord acknowledges and agrees that all furniture, trade fixtures, equipment, machinery, cabinetwork, check-out counters, wiring used to serve the check-out counters, roof-top or ground-based refrigeration equipment, coolers, chillers, walk-in or reach-in refrigeration equipment, wiring used to service any checkout counters or compressors, movable partitions, signs, and any personal property bearing any of Tenant's trade names or trademarks, whether registered or unregistered, and all other items of personal property which Tenant utilizes to conduct its business which may be installed in or upon the Building or Premises at Tenant's cost (whether or not reimbursed by Landlord as a construction cost) (collectively, the "**Trade Fixtures**") shall not be deemed to become a part of the Building or Premises, and whether or not

they become a component part of the Building or Premises, the Trade Fixtures are and shall remain the property of Tenant and shall be treated as moveable trade fixtures for the purpose of this Lease. Tenant, at its own cost and expense, may install, place, reinstall or replace upon the Building, or remove from the Building, any such Trade Fixtures. Any replacement or additional Trade Fixtures shall not become the property of Landlord but shall remain Tenant's property the same as the original Trade Fixtures. All Trade Fixtures shall be removed by Tenant at the termination of this Lease. Tenant shall repair all damage to the Building and Premises caused by any such removal. If Tenant fails to timely perform such removal obligations or if Landlord repairs any damage caused by such removal and not repaired by Tenant as herein provided, then the costs and expenses thereof incurred by Landlord may be recovered by Landlord from Tenant. Trade Fixtures will exclude those items which constitute essential building systems (such as base lighting, electrical, plumbing, mechanical, ceiling, bathroom fixtures, HVAC, etc.) and all fire-safety items, flooring, water heaters, interior walls, partitions, and doors, additional utility work (if applicable), grease trap (if applicable), and parapet/facade renovation (if applicable), which such items are or shall become part of the real property. Notwithstanding the foregoing to the contrary, to the extent any Trade Fixtures remain in or about the Premises or Building following the expiration or termination of the Lease, Landlord may retain or dispose of same at Tenant's expense.

h. Landlord acknowledges and agrees that Tenant's Trade Fixtures may be leased from an equipment lessor and that Tenant may execute and enter into an equipment lease with respect to such Trade Fixtures. Landlord shall execute and deliver a document substantially in the form of the Landlord's Release and Waiver attached hereto as Exhibit D and made a part hereof.

i. Tenant may install, operate and maintain rooftop satellite communication equipment ("**Satellite Equipment**") on the roof of the Building above the Premises for use by Tenant; provided, however, Tenant shall be required to utilize Landlord's roofing contractor to the extent required to preserve any applicable roof warranties with respect to any work relating to the puncture or penetration of the roof or attaching any items to the roof. Tenant shall be solely responsible for the installation of the Satellite Equipment and shall, as a condition to installing and maintaining the Satellite Equipment and at Tenant's sole cost and expense, secure all necessary consents and approvals from all applicable governmental authorities to construct, operate, and maintain the Satellite Equipment. Tenant agrees to locate all cables and other equipment and facilities connecting the Satellite Equipment to the Building and Premises in locations reasonably designated by Landlord. Tenant agrees to indemnify, defend, and hold harmless Landlord from and against all losses, damages, costs and expenses arising from or relating to the installation, maintenance, and repair of the Satellite Equipment, and the Satellite Equipment shall be considered part of the Building for purposes of Tenant's maintenance, indemnity, and insurance obligations under this Lease. All such equipment shall be installed and maintained by Tenant in good repair and working condition, in accordance with applicable laws, ordinances, rules, and regulations and in compliance with the requirements of the insurers of the Building. Tenant shall pay all taxes of any kind or nature whatsoever levied upon the Satellite Equipment and all charges, expenses and other costs of any nature whatsoever relating to the installation, ownership, maintenance and operation of the Satellite Equipment. The installation and operation of the Satellite Equipment shall not interfere with the safety or operation of the

Building. Upon expiration or earlier termination of this Lease, Tenant shall remove all of the Satellite Equipment and shall be responsible for the repair, painting, and/or replacement of the building surface to which the Satellite Equipment is attached.

j. Subject to Tenant's compliance with applicable legal requirements, Tenant will be permitted to install and maintain, one or more each of: cart corrals; outdoor bicycle racks, and, picnic, or similar tables all at locations to be determined by Tenant. Tenant is permitted to use the area adjacent to the front of and entrance to the Premises for outside sales and displays.

15. SIGNS AND PARKING

a. Subject to local codes and laws, Tenant shall have the right, at its sole cost and expense, to: (i) erect and maintain within the interior of the Premises professionally produced signs and advertising matter customary or appropriate in the conduct of Tenant's business and (ii) install to the exterior any temporary, professionally produced sign in connection with its store opening and, thereafter, special promotional events from time to time, provided all signs must comply with applicable law and the Covenant Documents. Tenant shall repair and restore any damage caused to the Building or Premises from such temporary sign or attachment thereof, upon removal.

b. All of Tenant's exterior signage shall strictly comply with the requirements of the Covenant Documents and all Governmental Authorities and shall be subject to prior review and written approval by Landlord, which shall not be unreasonably withheld, conditioned or delayed.

c. In addition to the above, to the extent permitted by applicable law, Landlord agrees that Tenant shall be entitled to: (i) full and exclusive use of both sides of every existing pylon sign and/or monument sign serving the Premises on-site; (ii) a sign on the front of the Building; (iii) a sign on the rear side of the Building; and (iv) full and exclusive use of any other monument, pylon or other sign that may in the future, be erected within or for the benefit of the Premises or Building. Tenant shall pay all costs of causing its signs to be fabricated (if and as applicable), installed, and maintained, and such signs shall be similar to the samples shown in Exhibit E. Landlord shall assist Tenant in getting the maximum signage on the Building allowed by the Law.

d. Except to the extent required by law, Landlord shall have no right to alter or move any of Tenant's signage during the Term. Upon expiration or earlier termination of this Lease, Tenant shall remove such signage and repair any damage to the Building fascia resulting from the installation or removal of Tenant's signage.

e. Notwithstanding anything to the contrary in this Lease, but subject to the rights and privileges granted in the Covenant Documents, Tenant and its employees, representatives, customers, invitees, subtenants, licensees, and concessionaires shall have the exclusive right, and unrestricted free use, of all parking spaces in and around the Premises. Landlord shall make no change to the parking areas without Tenant's prior written approval, to be given or withheld in Tenant's sole discretion. Tenant shall have the right, without the further consent or approval of Landlord, to designate one (1) or more the parking spaces upon the Premises for use by third-

party delivery and/or order fulfillment companies or for any other parking purpose permitted by law.

16. COMPLIANCE WITH PUBLIC LAW AND GOVERNMENTAL AUTHORITIES

a. Tenant agrees that it will comply with all applicable Covenant Documents, Governmental Authorities, and public laws that affect the Building and Premises or the Permitted Use.

b. As a condition precedent to Landlord's delivery of the Building and the Premises, on the Ready for Occupancy Date Landlord warrants to Tenant that the Building and Premises, in their state existing on the Ready for Occupancy Date, do not violate any covenants or restrictions of record, or any applicable building code, regulation or ordinance in effect or as issued by any Governmental Authorities.

17. HAZARDOUS SUBSTANCES

a. Tenant hereby agrees that: (i) no activity will be conducted in the Premises that will produce any Hazardous Substance, except for such activities that are part of the ordinary course of Tenant's business (the "Permitted Activities") provided said Permitted Activities comply and are documented in accordance with all Environmental Laws; and, (ii) the Building and Premises will not be used in any manner for the storage of any Hazardous Substances except for the temporary storage of such materials that are used in the ordinary course of Tenant's business (the "Permitted Materials") provided that such Permitted Materials are properly stored in a manner and location meeting all Environmental Laws with notice to and right to inspect by Landlord.

b. Tenant hereby agrees to indemnify and hold harmless Landlord, its directors, officers, employees, agents and any assignees, or successors to Landlord's interest in the Building and their directors, officers, employees, and agents, from and against any and all losses, claims, damages, penalties, and liability (including all out-of-pocket litigation costs and the reasonable fees and expenses of counsel) incurred as a result of Tenant's (including Tenant's contractors, agents, employees and invitees except, as to invitees, Tenant shall be responsible only for actions of such invitees during such time as such invitees may be within the Premises) use or misuse of any Hazardous Substance. Such damages include: (i) all foreseeable and all unforeseeable consequential damages, directly or indirectly arising out of the use, generation, storage, release or disposal of Hazardous Substances by Tenant, its agents or employees on the Premises; and (ii) including, without limitation, the cost of any required or necessary repair, cleanup, or detoxification and the preparation of any closure or other required plans, following the Ready for Occupancy Date, to the full extent that such action is attributable, directly or indirectly, to the presence or use, generation, storage, release, threatened release, or disposal of Hazardous Substances by Tenant, its agents or employees.

c. Landlord hereby represents and warrants that, other than as set forth on the Phase I Environmental Site Assessment for the Building dated August 30, 2021: (i) the Building and

Premises do not contain any known Hazardous Substances such as asbestos; and (ii) there are no violations of any federal, state, or local Environmental Laws, rules, regulations, or orders relating to industrial hygiene or to environmental conditions, on, under, or about the Building and Premises. Landlord further covenants and agrees that the Building and Premises are not now and will not be as of the Ready for Occupancy Date subject to the effects of a Hazardous Substance which requires remediation.

d. Landlord hereby agrees to indemnify and hold harmless Tenant, its directors, officers, employees, agents and any assignees, or successors to Tenant's interest in this Lease and their directors, officers, employees, and agents, from and against any and all losses, claims, damages, penalties, and liability (including all out-of-pocket litigation costs and the reasonable fees and expenses of counsel) incurred as a result of Landlord's (including Landlord's contractors, agents, employees and invitees except, as to invitees, Landlord shall be responsible only for actions of such invitees during such time as such invitees may be in the Premises or the Building): (i) use or misuse of any Hazardous Substance outside of the Building; (ii) use or misuse of any Hazardous Substance on the Building or Premises prior to the Ready for Occupancy Date; or (iii) the discovery of any Hazardous Substance such as asbestos in the Building or Premises as of the Ready for Occupancy Date. Such damages include: (i) all foreseeable and all unforeseeable consequential damages, directly or indirectly arising out of the use, generation, storage, release, or disposal of Hazardous Substances; and (ii) including, without limitation, the cost of any required or necessary repair, cleanup, or detoxification and the preparation of any closure or other required plans, to the full extent that such action is attributable, directly or indirectly, to the presence or use, generation, storage, release, threatened release, or disposal of Hazardous Substances by Landlord, its agents or employees in the Building or Premises.

e. Landlord acknowledges and agrees that Tenant is not responsible for any environmental condition affecting the Premises that existed or occurred on or before the Ready for Occupancy Date, unless caused by Tenant and Tenant acknowledges and agrees that Landlord is not responsible for any environmental condition affecting the Premises that existed or occurred on or after the Ready for Occupancy Date, unless caused by Landlord. In the event Hazardous Substances are present in the Building or the Premises due to the acts of any party other than Tenant preceding the Ready for Occupancy Date, and/or future remediation work is required to remove and/or monitor the Hazardous Substances caused to be present by any party other than Tenant prior to the Ready for Occupancy Date, Landlord shall have the right (but not the obligation) to remediate such Hazardous Substances to the extent required by applicable laws. If (i) Landlord elects not to remediate such Hazardous Substances as set forth in the preceding sentence and (ii) the presence, remediation and monitoring of such Hazardous Substances commercially materially and adversely affects the operation of Tenant's business for in excess of thirty (30) consecutive days, or commercially materially jeopardizes the health of Tenant's employees and/or customers, Tenant, upon Notice delivered to Landlord within sixty (60) days after Tenant becoming aware of the existence of such Hazardous Substances, shall have the right to terminate this Lease, in which event this Lease will be of no further force and effect or, at Tenant's option, receive a full abatement of Rent and other payment obligations hereunder if Tenant closes its business to the public, and such abatement shall continue until the earlier to occur of reopening for business or the date such Hazardous Substances are removed or

remediated to the satisfaction of applicable governmental authorities, as documented by such authorities.

18. INDEMNIFICATION, WAIVER AND RELEASE

a. Unless the same is caused by the gross negligence or willful misconduct of Landlord, its employees, agents, contractors, or those acting on behalf of Landlord in which case this subparagraph a. will not apply, Tenant will neither hold nor attempt to hold Landlord or its employees or agents liable for, and Tenant will indemnify and hold harmless Landlord, its employees and agents from and against any and all demands, claims, causes of action, fines, penalties, damage (including consequential damages), liabilities, judgments and expenses (including, without limitation, attorneys' fees) incurred in connection with or arising from:

i. the use or occupancy or manner of use or occupancy of the Premises by Tenant or any person claiming under Tenant;

ii. any activity, work, or thing done, permitted, or suffered by Tenant in or about the Building or Premises;

iii. any acts, omissions or negligence of Tenant or any person claiming under Tenant, or the contractors, agents, employees, invitees or visitors of Tenant or any such person; or,

iv. any breach, violation or nonperformance by Tenant or any person claiming under Tenant or the employees, agents, or contractors of Tenant of any term, covenant or provision of this Lease or any law, ordinance or governmental requirement of any kind.

If any action or proceeding is brought against Landlord or its employees by reason of any such claim for which Tenant has indemnified Landlord, Tenant, upon Notice from Landlord, will defend the same, at Tenant's expense, with counsel reasonably satisfactory to Landlord.

b. Unless the same is caused by the negligence of Landlord, its employees, agents, contractors or those acting on behalf of Landlord, in which case this subparagraph b. will not be applicable, and except for any liability assumed by Landlord pursuant to this Lease, Tenant, as a material part of the consideration to Landlord for this Lease waives and releases all claims against Landlord, its employees, agents or contractors with respect to all matters for which Landlord has disclaimed liability pursuant to the provisions of this Lease.

c. Except as concerns losses paid by insurance as to which Tenant has waived or is required hereunder to have waived the right of subrogation, Landlord shall indemnify and save Tenant harmless from any liability for damages (including reasonable attorneys' fees) arising out of the negligence, gross negligence, or willful misconduct (as the case may be pursuant to the terms of this Lease), of Landlord, its employees, agents, contractors, or those who are acting on behalf of Landlord.

d. Except if caused by the gross negligence or willful misconduct of Landlord, its

employees, agents, contractors, or those who are acting on behalf of Landlord, Landlord shall not be responsible to Tenant, nor required to save Tenant harmless from any loss or damage which may be occasioned by or through the acts or omissions of persons occupying any other portion of the Building.

e. In addition, unless the loss is caused by the gross negligence or willful misconduct of Landlord, its employees, agents, contractors, or those acting on behalf of Landlord, or unless it occurs during any warranty period granted to Tenant under this Lease, Tenant shall not hold or attempt to hold Landlord liable for any injury or damage, either proximate or remote, occurring through or caused by fire, water, or any repairs or alterations to the Building or Premises otherwise; or liable for any injury or damage occasioned by defective wiring or breakage or stoppage of plumbing or sewage upon the Building or Premises, whether said breakage or stoppage results from freezing, or otherwise. All property kept, stored, or maintained in the Building and Premises shall be so kept, stored, or maintained at the risk of Tenant only.

f. Neither Tenant nor Landlord shall be liable for consequential damages or special damages under any circumstances under this Lease. All liability of Landlord for damages for breach of any covenant, duty or obligation of Landlord shall be satisfied only out of the interest of Landlord in the Building and Premises that exists at the time that any such liability accrues. Upon any transfer or assignment of the real estate upon which the Building and Premises exists, Landlord shall be fully released from any or all liability to Tenant which accrued on or after the date of the transfer or assignment hereunder, and such assignee shall be substituted as Landlord hereunder, provided notice is given to Tenant of such transfer.

19. DAMAGE BY FIRE OR OTHER CASUALTY

a. If the Building or Premises is damaged by fire or other casualty, Tenant, using the services of a competent licensed architect who has substantial experience in the design and build-out of similar commercial locations, shall give Landlord Notice as to whether the Building or Premises, with the exercise of reasonable diligence, can or cannot be made fit for occupancy within 270 days from the occurrence of such casualty ("**Repair Period**"). If the Repair Period will exceed 270 days, then for a period of sixty (60) days after the Notice, either party may terminate the Lease by providing Notice to the other party. If there is damage to the Building or Premises as described herein, and if the Lease is not terminated by Landlord or Tenant, or if the Repair Period will not exceed 270 days, then this Lease shall remain in full force and effect, and the parties waive any provisions of any law to the contrary. Thereafter, Tenant will diligently pursue the completion of any repairs and alterations necessary to restore the structural portion of the Building and Premises to its prior condition (collectively, the "**Repair Work**"). The date that Tenant has completed all of its Repair Work and is ready to deliver the Building and Premises Ready for Occupancy shall be referred to as the "**Repair Ready for Occupancy Date**." Upon delivery on the Repair Ready for Occupancy Date, Tenant also will diligently pursue the completion of all of the Tenant's Work. From the Repair Ready for Occupancy date, Tenant shall have no more than ninety (90) days within which to complete Tenant finish and be open for business.

b. If the Building or Premises are damaged to any extent by any casualty and, on the date of such casualty, the remainder of the Initial Lease Term and any Extension Term is less than 12 months (and Tenant fails to exercise, within sixty (60) days following the date of such casualty, any remaining option to extend the Initial Lease Term), then either Landlord or Tenant may, at that party's option terminate the Lease provided that such casualty renders (or in Tenant's good faith, commercially reasonable opinion would render) the Premises untenable for more than 60 days. If not terminated, then Tenant will diligently pursue the completion of any repairs and alterations necessary to restore the structural portion of the Building and Premises to its prior condition, and thereafter Tenant also shall diligently pursue the repair of damage to Tenant's Work. If either party gives Notice to terminate the Lease, then the Lease will terminate on the last day of such notice period and thereafter, the parties will have no further rights or obligations as to each other under the Lease. In the event of any such termination, Tenant shall assign to Landlord all insurance proceeds payable as a result of such casualty, which obligation shall survive the termination of this Lease; provided, any such proceeds shall be exclusive of the unamortized cost of improvements made by or on behalf of Tenant to the Premises or Building, which proceeds shall belong to Tenant.

c. All insurance proceeds payable under any casualty insurance policy procured and maintained by either party shall be used for the purpose of making repairs as described hereunder, with the understanding that the proceeds of each shall nonetheless be payable solely to the party that obtained the insurance and/or its mortgagee with the provision that such proceeds shall be made available for repair and restoration.

20. EMINENT DOMAIN

a. If any part of the Building or Premises is condemned or taken by any authority ("Taking Authority") having the power to exercise such rights (a "Taking"), or if Landlord shall convey or lease any part of the Building or Premises to a Taking Authority in settlement of a threat of a Taking, this Lease shall terminate as of the date possession is taken upon: (i) a total Taking; or (ii) a partial Taking if in Tenant's sole but commercially reasonable opinion the remainder of the Building or Premises are not commercially reasonably suitable for the normal operation of Tenant's business.

b. In the event of a partial Taking which does not terminate this Lease, Landlord shall make the repairs and alterations necessary to restore the structural portion of the remainder of the Building and Premises to its prior condition. From and after the date of the partial Taking, the Minimum Rent shall be equitably abated in proportion to the area of the Building or Premises taken.

c. Tenant shall be entitled to any portion of the award paid by the Taking Authority for Tenant's moving costs and the value of the unexpired portion of the then current term and any remaining Extension Term, and for the value of any leasehold alterations or improvements that have been made by Tenant. Notwithstanding the foregoing, if necessary, upon Tenant's request, Landlord shall pursue on Tenant's behalf and expense a separate claim for reimbursement from the Taking Authority for moving expenses, goodwill, and for removal of trade fixtures or other personal property owned by Tenant or other damages suffered if its claim

is permitted by law.

21. SUBORDINATION, ATTORNMENT AND ESTOPPEL LETTER

a. This Lease is and shall be subject and subordinate to: (i) the Covenant Documents; and (ii) the lien of any first mortgage or deed of trust which may now or hereafter encumber the Building. Subject to Landlord's performance of the obligations to Tenant set forth in this Article 21, and the delivery of appropriate non-disturbance agreements (as described below), Tenant agrees to subordinate this Lease and all of the rights of Tenant hereunder to the lien of any mortgage or mortgages now or hereafter placed on the Building and Premises, provided, and only if the mortgagee named in any such mortgage agrees in writing to recognize this Lease in the event of foreclosure of such mortgage or sale under such trust deed so long as Tenant is not in default under this Lease beyond any applicable periods for notice and cure.

b. Notwithstanding the provisions of this Article, if this Lease is in full force and effect and so long as no uncured "Tenant Event of Default" (as more fully described in Article 22 below) has occurred, Tenant's right of possession to the Premises and other rights arising out of this Lease shall not be affected or disturbed by the mortgagee in the exercise of any of its rights under such mortgage or the note secured thereby, nor shall Tenant be named as a party defendant to any foreclosure of the lien of mortgage (unless required by law to be named), nor in any other way be deprived of its rights under this Lease.

c. In the event Landlord has a lender, mortgagee, lienholder or lessor who owns a leasehold interest in the Building, or the land thereunder, Landlord agrees to obtain from such lender, mortgagee, lienholder and/or lessor prior to any lien attaching to the Building or the land thereunder, a subordination, non-disturbance and agreement, in recordable form, from same, in substantially the same form as the Subordination, Attornment and Non-Disturbance Agreement attached hereto as Exhibit F and made a part hereof by reference for all purposes ("SNDA"). In the event Landlord fails to deliver a SNDA as set forth hereunder, then this Lease shall not be subordinate to any such future lien, mortgage, or refinancing. Tenant shall not unreasonably object to any changes, modifications, or alterations in the SNDA, or the use of a lender's form, provided Tenant's rights hereunder remain substantially the same as described in this Article 21. Tenant shall deliver an SNDA to Landlord as set forth above within fifteen (15) business days following request therefor. No SNDA Fee (as hereafter defined) shall apply to the first SNDA requested by Landlord in any 36-month period during the Lease Term. For each subsequent SNDA requested by Landlord in such 36-month period, Landlord shall pay Tenant an amount equal to Three Hundred Dollars (\$300.00) (the "SNDA Fee") within thirty (30) days after the SNDA is provided (the "SNDA Fee Deadline") and, if Landlord fails to pay the SNDA Fee by the SNDA Fee Deadline, then Tenant may offset the SNDA Fee against the next payment becoming due from Tenant to Landlord hereunder or otherwise.

d. Tenant shall, within fifteen (15) days following request by Landlord execute, acknowledge and deliver to Landlord and/or its mortgagee, a form of estoppel letter certifying that this Lease is unmodified and in full force and effect or, if there have been modifications, that the same is in full force and effect as modified and stating the modifications ("Estoppel Certificate"). Each Estoppel Certificate shall state the dates to which the rent and other charges

have been paid in advance, if any, and whether or not, to the best knowledge of the signer of such Estoppel Certificate, Landlord is in default in the performance of any covenant, agreement or condition contained in this Lease, if applicable, specifying each such default of which the signer may have knowledge, and such other commercially reasonable factual information as may be reasonably requested, it being intended that any such statement delivered hereunder may be relied upon by third parties not a party to this Lease. Tenant's failure to deliver such Estoppel Certificate shall be deemed to establish conclusively such matters as are requested in the Estoppel Certificate request, but shall not be a default under this Lease; but Tenant will be assessed a fine of Two Hundred Fifty Dollars (\$250) per month for each month that it fails to deliver such Estoppel Certificate. No Estoppel Fee (as hereafter defined) shall apply to the first Estoppel Certificate requested made by Landlord in any 36-month period during the Lease Term. For each subsequent Estoppel Certificate requested by Landlord in such 36-month period, Landlord shall pay Tenant an amount equal to One Hundred Dollars (\$100.00) (the "Estoppel Fee") within thirty (30) days after the Estoppel Certificate is provided (the "Estoppel Fee Deadline") and, if Landlord fails to pay the Estoppel Fee by the Estoppel Fee Deadline, then Tenant may offset the Estoppel Fee against the next payment becoming due from Tenant to Landlord hereunder or otherwise. In no event shall Tenant be required to provide Estoppel Certificate prior to the date possession of the Premises is delivered.

22. TENANT DEFAULT AND REMEDIES

a. There shall be a "Tenant Event of Default" if:

i. subject to Article 5, (x) Tenant fails to pay any Minimum Rent or material Additional Rent within five (5) days after due (provided, however, as to the first two (2) instances of a missed payment in each calendar year, Tenant shall not be considered in default until written notice is provided to Tenant and ten (10) days pass after such notice); or (y) Tenant fails to pay any other undisputed monetary amount due hereunder within thirty (30) days after the giving of Notice thereof by Landlord, provided such Notice expressly states that the failure to pay within such 30-day period will constitute a Tenant Event of Default;

ii. Tenant defaults in the performance or observance of any material covenant or agreement of this Lease (other than a default involving the payment of money), which default is not cured within thirty (30) days after the giving of Notice thereof by Landlord; provided, however, that Tenant shall not be deemed to be in default if Tenant has commenced curing the default within the thirty (30) day period, and thereafter diligently pursues the completion of such cure; or

iii. there is any sale of Tenant's interest in the Premises created by this Lease which is made under court execution or similar process, or if Tenant is adjudicated bankrupt or insolvent, or if a receiver or trustee shall be appointed for its business or property and if such receiver or trustee is not removed within ninety (90) days, or if an arrangement with its creditors shall be approved by a court under the United States Bankruptcy Code, or if Tenant shall make an assignment for the benefit of creditors, or if, in any manner, Tenant's interest under this Lease shall pass involuntarily to another by operation of law.

b. Upon the occurrence of any Tenant Event of Default and after the giving of a five (5) day written Notice (except where expressly provided for in this Lease or applicable law), Landlord may do any one or more of the following:

i. Elect to terminate this Lease by giving thirty (30) days prior Notice of such election to Tenant. In such an event Landlord may then reenter the Premises, after proper notice and the application of process of law, and remove Tenant and all other persons and property from the Premises, and store such property in a public warehouse or elsewhere at the cost and for the account of Tenant. In such an event, Landlord shall be permitted to recover damages for any Minimum Rent, Additional Rent and Pro Rata Share not paid by Tenant prior to said termination date, and for any other damages (excepting any lost future revenue, losses for the reserved rents, or other losses based on, or to be calculated using the term remaining under the Lease, except that damages shall include Minimum Rent and Additional Rent payable by Tenant under the Lease following such termination, to be paid as and when the same would otherwise become due under the Lease but only until such time as a successor tenant takes possession of the premises based on the breach of the Lease prior to the termination date; and thereafter, this Lease will terminate, and the parties will have no further rights as to each other; or;

ii. Without terminating the Lease, elect to immediately terminate Tenant's possession of the Premises. Thereafter, and after proper notice and the application of process of law, Landlord may enter into and upon the Premises or any part thereof and repossess the same. Tenant covenants and agrees that notwithstanding any such re-entry by Landlord, it shall pay and be liable for (on the days originally fixed herein for the payment thereof) amounts equal to the several installments of Rent and other charges reserved as they would, under the terms of this Lease, become due if Landlord had not re-entered as aforesaid, together with all reasonable costs, fees, and expenses, including but not limited to, reasonable attorneys' fees, costs and expenses incurred by Landlord in pursuit of its remedies hereunder; or in renting the Premises to others from time to time, and whether the Premises be relet or remain vacant in whole or in part or for a period less than the remainder of the term, or for the whole thereof, but in the event the Premises are relet by Landlord or Tenant, Tenant shall be entitled to a credit in the net amount of rent received by Landlord in reletting, after deduction of all reasonable expenses incurred in reletting the Premises and in collecting the rent in connection therewith.

c. In the event of a Tenant Event of Default as set forth in subparagraph b. above, Landlord shall use its good faith commercially reasonable efforts to relet the Premises or any part therefore, for such term and on such terms and conditions as Landlord, in its reasonable discretion, may determine. Landlord agrees, at the reasonable cost of Tenant, to take reasonable efforts to relet the Premises, specifically including: (i) putting "For Rent" signs on the Building or in the Premises; and (ii) hiring a real estate broker who shall exercise due diligence in leasing the Premises.

d. Except as specifically limited in subparagraph a. of this Article, Landlord's pursuit of any of the foregoing remedies shall not preclude pursuit of any other remedies provided in this Lease, or any other remedies provided by law, nor shall pursuit of any remedy herein provided constitute a forfeiture or waiver of any rent due to Landlord hereunder or of any

damage accruing to Landlord by reason of the violation of any of the terms, provisions and covenants herein contained. Forbearance by Landlord to enforce one or more of the remedies herein provided upon the occurrence of a Tenant Event of Default shall not be deemed or construed to constitute a waiver of such Tenant Event of Default. Notwithstanding anything in this Lease to the contrary, Landlord shall use all reasonable efforts to mitigate any and all damages that it may sustain as a result of Tenant Event of Default.

23. LANDLORD DEFAULT AND REMEDIES

a. Each of the following events shall constitute a "**Landlord Event of Default**" under this Lease:

i. Landlord shall fail or refuse to pay any sum of money payable hereunder when due, and the failure or refusal continues for thirty (30) days after Notice thereof is given by Tenant to Landlord; or

ii. Landlord shall fail or refuse to comply with any material term, provision, or covenant of this Lease, other than provisions for the payment of money, and does not cure the failure or refusal within thirty (30) days after Notice thereof is given by Tenant to Landlord (provided, however, that Landlord shall not be deemed to be in default if Landlord has commenced curing the default within thirty (30) days and thereafter diligently pursues the completion of such cure).

b. Upon the occurrence of any Landlord Event of Default, Tenant shall have the option to pursue any one or more of the following remedies without any Notice or demand whatsoever:

i. Cure the Landlord Event of Default and in connection therewith pay or incur reasonable expenses. Notwithstanding the foregoing, Tenant shall not have such right to cure a Landlord Event of Default in the event Landlord or its mortgagee takes action to cure such default within the cure period therein provided, but is unable, by reason of the nature of the work involved, to cure the same within such period, provided Landlord or mortgagee (whoever commences such work) continues such work thereafter diligently and brings to completion without unnecessary delays. Additionally, Tenant shall have the right to remedy any default of an emergency nature, in the event Landlord or mortgagee fails to commence to cure any default creating an emergency situation promptly upon being given notice which is reasonable under the circumstances, and Tenant shall have the right to remedy such a default without notice (if the giving of notice is not reasonably practicable) in the event of an emergency imminently endangering the property or health of any person. All sums so expended or obligations incurred by Tenant in connection with the foregoing shall be paid by Landlord to Tenant upon demand, and if Landlord fails to reimburse Tenant, Tenant may, in addition to any other right or remedy that Tenant may have, deduct such amount together with interest accruing at the rate of twelve percent (12%) per annum from subsequent installments of Minimum Rent hereunder which becomes due to Landlord; or

ii. If such Landlord Event of Default materially impairs Tenant's ability to

conduct business from the Premises for a period exceeding thirty (30) consecutive days (or such longer period of time as may be reasonably necessary provided Landlord has commenced the cure within such thirty (30) day period and is using continuous good faith efforts to cure it), to terminate this Lease upon thirty (30) days' Notice delivered to Landlord within sixty (60) days after such Landlord Event of Default; provided, however, if such default shall be cured by Landlord prior to the termination date set forth in the Notice, this Lease shall not terminate and shall continue in full force and effect, provided further that Tenant shall receive a day-for-day abatement of Rent for any day Tenant's ability to conduct business from the Premises is materially impaired.

c. Pursuit of any of the foregoing remedies shall not preclude pursuit of any other remedies provided in this Lease or any other remedies provided by law, nor shall pursuit of any remedy herein provided constitute a forfeiture or waiver of any damage accruing to Tenant by reason of the violation of any of the terms, provisions, and covenants herein contained. Forbearance by Tenant to enforce one or more of the remedies herein provided upon the occurrence of a Landlord Event of Default shall not be deemed or construed to constitute a waiver of such or future Landlord Event of Default.

24. ASSIGNMENT, SUBLETTING AND OWNERSHIP

a. Tenant shall have the right to sublet all or any portion of the Premises or Building or both without Landlord's consent. Subject to the terms of subparagraph c. below, Tenant, for itself, its successors and assigns, covenants that it shall not assign this Lease or any interest herein without the prior written consent of Landlord which consent will not be unreasonably withheld, conditioned or delayed. No assignment or subletting by Tenant shall relieve the original Tenant or any subsequent transferor of any obligations under this Lease or alter, modify or amend any provision of this Lease.

b. Subject to subparagraph c. below, no assignment, sublease, occupancy, or collection will be deemed a waiver of the provisions of this Article for any subsequent transfer, or as a release of Tenant from the further performance by Tenant of its covenants in this Lease.

c. Notwithstanding anything contained in this Lease to the contrary, Tenant may assign this Lease to any of the following (each, a "**Permitted Transfer**"): (i) any parent, subsidiary, affiliate or entity controlling, controlled by, or under common control with Tenant; (ii) any successor in interest to Tenant as a result of any merger, consolidation, reorganization, or government action; (iii) any successor in interest to Tenant as a result of any initial public offering by Tenant, or the sale of Tenant's stock on a nationally recognized exchange; or (iv) a purchaser of all or substantially all of the business, stock or assets of Tenant; provided that in all such instances the transferee has a Tangible Net Worth equal to or greater than \$200,000,000.00. Permitted Transfers also include any initial public offering by Tenant and the sale of Tenant's stock on a nationally recognized exchange. Tenant shall give Landlord thirty (30) days prior written notice of a proposed Permitted Transfer together with all documents to be executed to effectuate the Permitted Transfer, but Landlord's consent shall not be required. Any transferee must expressly assume all obligations as Tenant under this Lease upon consummation of the Permitted Transfer, on a form reasonably acceptable to Landlord. Notwithstanding the

foregoing, in the event Tenant is contractually prohibited from notifying Landlord of a Permitted Transfer prior to its consummation, then Tenant shall provide such notice to Landlord within ten (10) days of the consummation of the Permitted Transfer.

As used above, “**Tangible Net Worth**” means the excess of total assets over total liabilities, in each case as determined in accordance with generally accepted accounting principles consistently applied (“**GAAP**”), excluding, however, from the determination of total assets all assets which would be classified as intangible assets under GAAP including goodwill, licenses, patents, trademarks, trade names, copyrights, and franchises.

d. Tenant will remain directly and primarily liable for all liabilities and obligations hereunder, notwithstanding any Permitted Transfer or any other transfer of this Lease. Notwithstanding anything to the contrary contained herein, in no event shall Tenant be permitted to use a series or one or more Permitted Transfers to “Spin-off” this Lease to independent third parties without obtaining Landlord’s prior written consent. By way of example, Tenant shall not assign this Lease to an affiliate whose assets consist solely of this Lease and the rights granted herein, and thereafter sell the stock of such affiliate to an independent third party, the result of which would otherwise be two, independent Permitted Transfers would in such case become a transfer of this Lease to an independent third party, and is prohibited by the terms of this Lease.

e. Landlord shall not withhold its consent to Tenant’s request for consent to a specific assignment if all of the following conditions are satisfied:

i. The proposed transferee satisfies Landlord’s then-current credit standards for tenants of the Building and, in Landlord’s opinion using commercially reasonable criteria, has the financial strength and stability to perform all Tenant’s obligations under this Lease as and when they fall due.

ii. The proposed transferee’s use of the Premises is: (A) lawful; (B) not in conflict with any exclusive rights or covenants not to compete in favor of any other tenant or proposed tenant of the Building; and (C) not likely to cause an increase in the insurance premiums for insurance policies applicable to the Building.

iii. The proposed transferee demonstrates to the reasonable satisfaction of Landlord that its principals and operators have a good reputation in the business community.

iv. At the time of the proposed transfer, there is no Tenant Event of Default under this Lease which has not been cured.

v. The transfer will not otherwise have or cause a commercially material adverse impact on the Building.

f. If Tenant requests Landlord’s consent to a specific assignment, Tenant shall submit in writing to Landlord: (i) the name and address of the proposed assignee; (ii) a counterpart of the proposed agreement of assignment; (iii) reasonably satisfactory information as to the nature and character of the business of the proposed assignee and the nature of its proposed use of the space; and (iv) banking, financial or other credit information reasonably

sufficient to enable Landlord to determine the financial responsibility and character of the proposed assignee. Landlord shall have twenty (20) business days from the date of receipt of such information in which to determine whether or not Landlord's consent shall be granted.

g. In no event may Tenant use the Premises as or for (i) a massage parlor; (ii) a so-called "head shop" or facility for the sale, rental, distribution or display of drug paraphernalia such as roach clips, bongos, water pipes, coke spoons, cigarette wrapping papers, pipes and/or syringes; (iii) a facility for the sale, rental, display or distribution of pornographic, lewd, sexually explicit or so-called adult material; (iv) an off-track betting parlor, bowling alley, billiard parlor, pool room, game room, amusement arcade or gaming hall; (v) an automobile body shop, truck stop, junk yard or motor vehicle dismantling operation; (vi) a recycling facility; (vii) the sale, rental or storage of motor vehicles; (viii) booths for the sale of fireworks; (ix) churches, temples or other houses of religious worship; (x) any establishment conducting games of chance; (xi) a pawn shop; (xii) a rehabilitation center for physical, mental or substance abuse rehabilitation or treatment; (xiii) a funeral home or funeral parlor; (xiv) offices, except as may be incidental to a retail operation; (xv) any residential, production, manufacturing, industrial or storage use of any kind or nature; (xvi) check cashing services; (xvii) a "tattoo parlor" or "piercing parlor," so called; (xviii) the outdoor housing of animals; (xix) a cocktail lounge, bar, tavern, or nightclub; or (xx) any illegal use or any use prohibited by any recorded document affecting the Premises.

25. CONTINGENCIES

a. After the Effective Date, the continuation of this Lease and the performance under it by Landlord and Tenant is specifically contingent upon the occurrence of the following no later than the date which is fifteen (15) days after the Effective Date, or such other date as is specified below (if any):

i. Landlord has certified that the Premises meet all zoning requirements necessary to permit Tenant to operate the Permitted Use without first having to obtain a zoning variation or other zoning change;

ii. Landlord has certified that the Premises are free of any known Hazardous Substances, and Landlord has completed: (x) a so called "Phase I" environmental study, and (y) a so called "Asbestos Survey", both affirming such representation and both conducted no earlier than 36 months prior to the Effective Date, and Landlord has provided the foregoing documents to Tenant;

iii. Landlord shall have delivered to Tenant a current title report for the Premises, and Tenant shall, in its sole and absolute discretion, find such report satisfactory; and

iv. Landlord shall certify to Tenant that the Building measures at least 23,000 square feet of rentable area.

b. If the contingencies above are not true, or are not timely met, then in Tenant's sole discretion: (i) after providing Landlord written notice ("Contingency Notice") within ten (10) calendar days of the passage of the deadline set forth in subsection a., Tenant may terminate

this Lease by providing written notice thereof to Landlord during such ten (10) day period, and Landlord will reimburse Tenant for the out-of-pocket costs and expenses that it incurred from the Effective Date to the date the Contingency Notice is received (such reimbursement to be capped at \$50,000), and thereafter the parties will have no further rights or duties to each other; or (ii) Tenant may agree to extend the deadline for a period to be mutually agreed upon between Landlord and Tenant. If Landlord and Tenant are unable to reach an agreement as to any extension of a deadline pursuant to the above, then upon Notice from either party to the other, this Lease will terminate, Landlord will reimburse Tenant for the out-of-pocket costs and expenses that it incurred from the Effective Date to the date of any such notice (such reimbursement to be capped at \$50,000), and thereafter the parties will have no further rights or duties to each other.

26. CONFIDENTIALITY

a. As used in this Lease, "**Confidential Information**" means (i) all information, whether tangible or intangible and in whatever form or medium, disclosed in connection with this Lease that a reasonable and prudent business person would consider to be confidential or proprietary; (ii) information that is marked or identified by the party disclosing it (the "**Disclosing Party**") as confidential or proprietary; (iii) the existence, terms, and conditions of this Lease and that certain letter of intent (the "**Letter of Intent**") dated January 19, 2021 between Landlord's authorized representative and Craddock Commercial Real Estate, LLC; and (iv) Tenant's interest in the Premises.

b. Confidential Information shall not include any information that (i) is publicly available, or becomes publicly available, other than as a result of the wrongful disclosure by the party receiving it (the "**Receiving Party**"); (ii) is rightfully received from a third party without a duty of confidentiality; (iii) was already in the Receiving Party's possession at the time of its disclosure as evidenced by the Receiving Party's written records; (iv) was independently developed by the Receiving Party without unauthorized use of Confidential Information; (v) is lawfully required to be disclosed by a judicial or governmental order; *provided that* if such disclosure is required as provided in this clause (v), then the Receiving Party agrees to notify the Disclosing Party promptly in writing and, upon the Disclosing Party's request, to cooperate in all lawful efforts to resist such disclosure; or (vi) disclosed by Tenant to the extent helpful or necessary for Landlord or Tenant to obtain all governmental approvals and permits, private approvals and authorizations, secure any financing, and fulfill other Landlord or Tenant requirements in connection with the Premises and the construction or development of the same.

c. Each Party hereby agrees that it (i) shall not use Confidential Information except for the performance of its duties under this Lease; (ii) shall not use or permit the use of any such Confidential Information in any way to compete (directly or indirectly) with the Disclosing Party or in any other manner adverse to the Disclosing Party; and (iii) shall afford Confidential Information the same care and protection as it affords generally to its own confidential or proprietary information (which in any case shall be not less than reasonable care) or, if greater, the care required by applicable law, to avoid disclosure to or unauthorized use by any third party or loss or destruction of such Confidential Information. Notwithstanding anything in this Lease to the contrary, Landlord may disclose the identity of Tenant upon the earlier of: (i)

announcement by Tenant to the general public of a Tenant store to be opened at the Premises; or (ii) two (2) years following the termination of the Letter of Intent. Further notwithstanding the foregoing, Landlord may disclose Confidential Information to its current and prospect lenders, purchasers and professional advisors provided such parties likewise agree to keep the Confidential Information confidential.

27. MISCELLANEOUS

a. Intentionally Deleted.

b. Landlord, its agents or representatives, shall have the right, after providing 48 hours advance written notice to Tenant (except in the case of a bona fide emergency during which it is not practical to give Tenant prior notice), to enter upon the Premises at all reasonable business hours for the purpose of inspecting the Premises and performing Landlord's repair and maintenance obligations and for exhibiting the Premises to prospective purchasers or mortgagees.

c. Tenant shall not permit mechanics', material-person's, or other liens against the Building or Premises, or any portion thereof, in connection with any labor, materials, equipment, or services furnished, or claimed to have been furnished to Tenant. If any such lien shall be filed, Tenant shall cause it to be discharged at its sole cost and expense within twenty (20) days thereafter; provided, however, that if Tenant desires to contest any such lien, it may do so, so long as the enforcement thereof is stayed or a bond is posted as security. In the event such a stay (or bond) is obtained, Tenant shall obtain title insurance in the amount of the lien or liens (including interest and costs) for the benefit of Landlord should Landlord desire the same for any period during which a lien or liens exist. In such event Tenant shall, if necessary, pay required title insurance premiums, post bond sufficient to satisfy the title insurer's requirements, pay escrow costs and fees, pay the attorneys' fees of Landlord, and sign indemnity agreements in favor of the title insurer.

d. Nothing contained herein shall be deemed or construed by the parties hereto, nor by any third party, as creating the relationship of principal and agent or a partnership or a joint venture between the parties hereto, it being agreed that neither the method of computation of Rent nor any other provision of this Lease shall be deemed to create any relationship between the parties hereto other than the relationship of Landlord and Tenant.

e. This Lease together with the Exhibits and any addenda, contain the entire understanding of the parties in reference to the subject matter found herein. Any prior agreements or understandings, oral or written, express or implied are merged into this Lease. No amendment or modification of this Lease or any approvals or permissions of Landlord required under this Lease shall be valid or binding unless reduced to writing and executed by the parties hereto in the same manner as the execution of this Lease.

f. Wherever the words "Landlord" and "Tenant" are used in this Lease, they shall include "Landlords" and "Tenants" and shall apply to persons, companies, partnerships and corporations. Wherever the words "mortgage" or "mortgages" are used herein the same shall be

deemed to include a deed of trust or trust deed, and the word "lender" shall include a mortgagee of a mortgage or a beneficiary of a deed of trust or trust deed. All references to Tenant shall include Tenant's guarantors, assignees, or sublessees. All references to the singular shall include the plural, and vice versa. If there is more than one Landlord, the covenants of Landlord shall be the joint and several obligations of each of them, and if Landlord is a partnership, the covenants of Landlord shall be the joint and several obligations of each of the partners and the obligations of the firm.

g. The article and section headings are inserted only for convenience of reference and shall not define, limit or describe the scope or intent of any provisions of this Lease.

h. Subject to the provisions hereof, the benefits of this Lease and the burdens hereunder shall respectively inure to and be binding upon the heirs, successors, personal representatives and assigns of the parties.

i. No waiver of condition or covenant of this Lease by either party hereto shall be deemed to imply or constitute a further waiver by such party of the same or any other condition or covenant.

j. No payment by Tenant, nor receipt by Landlord, of a lesser amount than the Rent herein stipulated shall be deemed to be other than on an account of the earliest stipulated Rent, nor shall any endorsement or statement on any check or any letter accompanying any check or payment as Rent be deemed an accord and satisfaction, and Landlord shall accept such check for payment without prejudice to Landlord's right to recover the balance of such Rent or pursue any other remedy available to Landlord.

k. In the event either party takes legal action against the other in order to enforce the terms of this Lease, the "Prevailing Party" shall recover from the other party its reasonable attorneys' fees and costs. For the purposes of this Lease, the "Prevailing Party" shall be deemed to be that party that has obtained the greatest net judgment in terms of money or money equivalent. If money or money equivalent has not been awarded, the Prevailing Party shall be that party that has prevailed on a majority of the material issues decided. The "net judgment" is determined by subtracting the smallest award of money or money equivalent from the largest award. Further, where one party seeks money damages, the other party seeks equitable relief, and both prevail, attorneys' fees and costs shall be awarded in accordance with the decision of the judge.

l. A Memorandum of Lease suitable for recording describing the Building and Premises, and containing the basic non-monetary provisions of this Lease, and other matters, substantially in the form as Exhibit C attached hereto and made a part hereof, shall be executed and delivered to Tenant upon request. Landlord hereby authorizes Tenant to insert the commencement and expiration dates of the Initial Lease Term of this Lease into said Memorandum of Lease prior to recordation. Upon the expiration or earlier termination of this Lease Tenant, if and when requested by Landlord, shall execute a Termination Agreement, or similar instrument nullifying the Memorandum of Lease, which Landlord may record.

m. If Tenant remains in possession of the Premises after the expiration of this Lease, then Tenant shall be deemed to occupy the Premises as a tenant from month to month, subject to all conditions, provisions and obligations set forth in this Lease insofar as the same are applicable to a month-to-month tenancy, except that Minimum Rent shall increase to 125% of Minimum Rent for the last year of the Initial Lease Term or any Extension Term. In addition, Tenant will hold Landlord harmless from any liability incurred in connection with any claims made by any succeeding occupant based on delay of possession.

n. If any clause or provision of this Lease is illegal, invalid or unenforceable under present or future laws effective during the Initial Lease Term and any Extension Term, then it is the intention of the parties hereto that the remainder of this Lease shall not be affected thereby, and it is also the intention of the parties to this Lease that in lieu of each clause or provision of this Lease that is illegal, invalid or unenforceable, there be added as a part of this Lease a clause or provision as similar in terms to such illegal, invalid or unenforceable clause or provision as may be possible and be legal, valid and enforceable.

o. All Notices to be given by one party to the other party under this Lease shall be given in writing, mailed or delivered as follows:

To Landlord at the address given in Article 1.

To Tenant at the address given in Article 1.

With a copy of Tenant's Notice to:

Vitamin Cottage Natural Food Markets, Inc.
12612 W. Alameda Parkway
Lakewood, Colorado 80228
Attn: General Counsel

or at such other address designated by Notice to the other party; except that any Notice to Tenant must be given to Kemper Isely at Tenant's Address found in Article 1. **Employees or managers of the store that is subject to this Lease are specifically denied the right to receive any such Notice and the same will not be effective until delivered in accordance with the terms of this subparagraph.**

Any Notice shall also be deemed duly served by either party (i) five (5) days after the same was mailed by registered or certified mail, return receipt requested, with proper postage prepaid, or (ii) on the day that the same was actually delivered and signed for if the same was delivered by Federal Express or other reliable overnight courier, addressed to each party at its address in accordance with this subsection o. Either party may change the address to which Notices may be sent by delivering a copy thereof to the other party in the manner aforesaid.

p. Landlord and Tenant represent that they have dealt with no broker or agent with respect to this Lease other than Capitol Brokerage Services ("Landlord's Broker") and James Craddock of Craddock Commercial Real Estate, LLC ("Tenant's Broker") and each party hereby

indemnifies, defends, saves and holds the other harmless against any claims for brokerage commissions or compensation or other claims of any kind (including reasonable attorney's fees) arising out of the falsity of the above representation. Landlord agrees that it will pay the Tenant's Broker such remuneration as agreed upon between Landlord and Tenant's Broker in a separate agreement.

q. It is further agreed that if rules and regulations are set forth in Exhibit J attached hereto then the same shall be and are hereby made a part of this Lease and Tenant agrees that Tenant's employees and its agents or any other party permitted by Tenant to occupy or enter the Premises will at all times abide by said rules and regulations and such amendments thereto or new rules and regulations established from time to time by Landlord (including, without limitation, parking rules), within sixty (60) days after Landlord notifies Tenant thereof. In the event of any conflict between the express provisions of this Lease and any rules or regulations, the provisions of this Lease shall prevail and govern. Notwithstanding anything herein to the contrary, in no event will any rules or regulations contemplated by this subsection: (i) materially alter the ingress to, or egress from, the Building or Premises; (ii) materially impair Tenant's business operations in the Premises; or (iii) materially alter or decrease any parking available for the Building and Premises or the location of the parking field.

r. Notwithstanding anything to the contrary contained herein, Landlord agrees that Tenant shall not be required to deliver keys to the Premises to Landlord during the Initial Lease Term and any Extension Term; provided, however, Tenant will maintain an emergency lock box, Knox Box, or similar secured facility, in a location mutually acceptable to Landlord and Tenant containing keys to the Premises which may be used by emergency services such as fire and rescue.

s. Time is of the essence in this Lease.

t. This Lease shall be governed by the laws of the state in which the Building is located. Venue for any action under this Lease shall be in the county in which the Building is located and Tenant hereby consents to the jurisdiction and venue of such courts. **LANDLORD AND TENANT HEREBY AGREE NOT TO ELECT A TRIAL BY JURY OF ANY ISSUE TRIABLE BY RIGHT BY JURY, AND WAIVE ANY RIGHT TO TRIAL BY JURY FULLY TO THE EXTENT THAT ANY SUCH RIGHT SHALL NOW OR HEREAFTER EXIST WITH REGARD TO THIS LEASE. THIS WAIVER OF RIGHT TO TRIAL BY JURY IS GIVEN KNOWINGLY AND VOLUNTARILY BY LANDLORD AND TENANT.**

u. The submission of this lease form for examination does not constitute an offer to lease or a reservation of an option to lease. In addition, Landlord and Tenant acknowledge that neither of them shall be bound by the representations, promises, or preliminary negotiations with respect to the Building or Premises made by their respective employees or agents. It is their intention that neither party be legally bound in any way until this Lease has been fully executed by both Landlord and Tenant.

v. The provisions of this Lease shall be construed, in all respects, without reference

to any rule requiring or permitting the construction of provisions of documents against the interest of the party responsible for the drafting of the same, it being the intention and agreement of the parties that this Lease be conclusively deemed to be the joint product of both parties and their counsel. Furthermore, the parties agree that this Lease may be executed with revision markings (so-called "blacklining") appearing in the execution copy (*i.e.*, deleted text is overstricken and newly-inserted text is underscored or in boldface); such "blacklining" shall not be accorded any significance or taken into account in any way; this Lease shall be construed for all purposes as if all overstricken text were deleted and never included in this Lease and all bold or underscored text were not bold or underscored.

w. This Lease may be executed in one or more counterparts, each of which shall be deemed an original and when taken together will constitute one instrument. Delivery of an executed signature page of this Lease by facsimile transmission or electronic photocopy (*i.e.*, a "pdf") shall be effective as delivery of a manually executed counterpart hereof.

TENANT'S EXECUTION OF THIS LEASE IS AN OFFER THAT MUST BE ACCEPTED, IF AT ALL, BY LANDLORD WITHIN TEN (10) BUSINESS DAYS AFTER THE DATE ON WHICH TENANT EXECUTES IT AS SET FORTH BELOW ("TENANT'S EXECUTION DATE"). IF THIS LEASE IS NOT EXECUTED BY LANDLORD AND RECEIVED BY TENANT AS SO EXECUTED BY LANDLORD WITHIN TEN (10) BUSINESS DAYS AFTER TENANT'S EXECUTION DATE, THEN (I) THIS LEASE SHALL BE DEEMED NOT TO HAVE BEEN EXECUTED BY TENANT, (II) THIS LEASE SHALL BE OF NO FORCE AND EFFECT, REGARDLESS OF WHETHER OR WHEN LANDLORD SUBSEQUENTLY EXECUTES IT, AND (III) TENANT AND LANDLORD SHALL HAVE NO RIGHTS, DUTIES OR OBLIGATIONS WHATSOEVER HEREUNDER.

[Signature page follows]

IN WITNESS WHEREOF, the parties hereto have duly executed this Lease as of the dates set forth below.

LANDLORD:

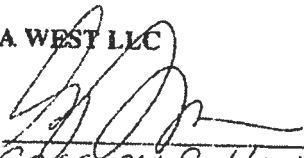

TIMOTHY B. SITTEMA
Date: September 20, 2021


MICHAEL BULLOCK
Date: 9-20-2021

EL DEL RANGE LLC

By: _____
Name: _____
Title: _____
Date: _____

TERRA WEST LLC


By: _____
Name: GREGORY B. HAM
Title: MANAGER
Date: 09-20-2021

TENANT:

VITAMIN COTTAGE NATURAL FOOD MARKETS, INC.

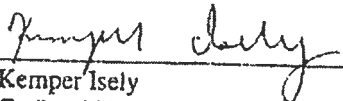
By: 
Name: Kemper Isely
Title: Co-President
Date: 09-16-2021

EXHIBIT A

Legal Description, Site Plan, Building Location and Premises Location

LOT 2, EXCEPT THE WEST 29.63 FEET THEREOF AND LOT 3, EXCEPT THE EAST 74.50 FEET THEREOF, ALL IN BLOCK 1, PHILLIPS SUBDIVISION, A REPLAT OF LOTS 6 THROUGH 18, BLOCK 7, MEADOWBROOK PARK, CITY OF CHEYENNE, LARAMIE COUNTY, WYOMING, MORE PARTICULARLY DESCRIBED BY METES AND BOUNDS AS FOLLOWS:

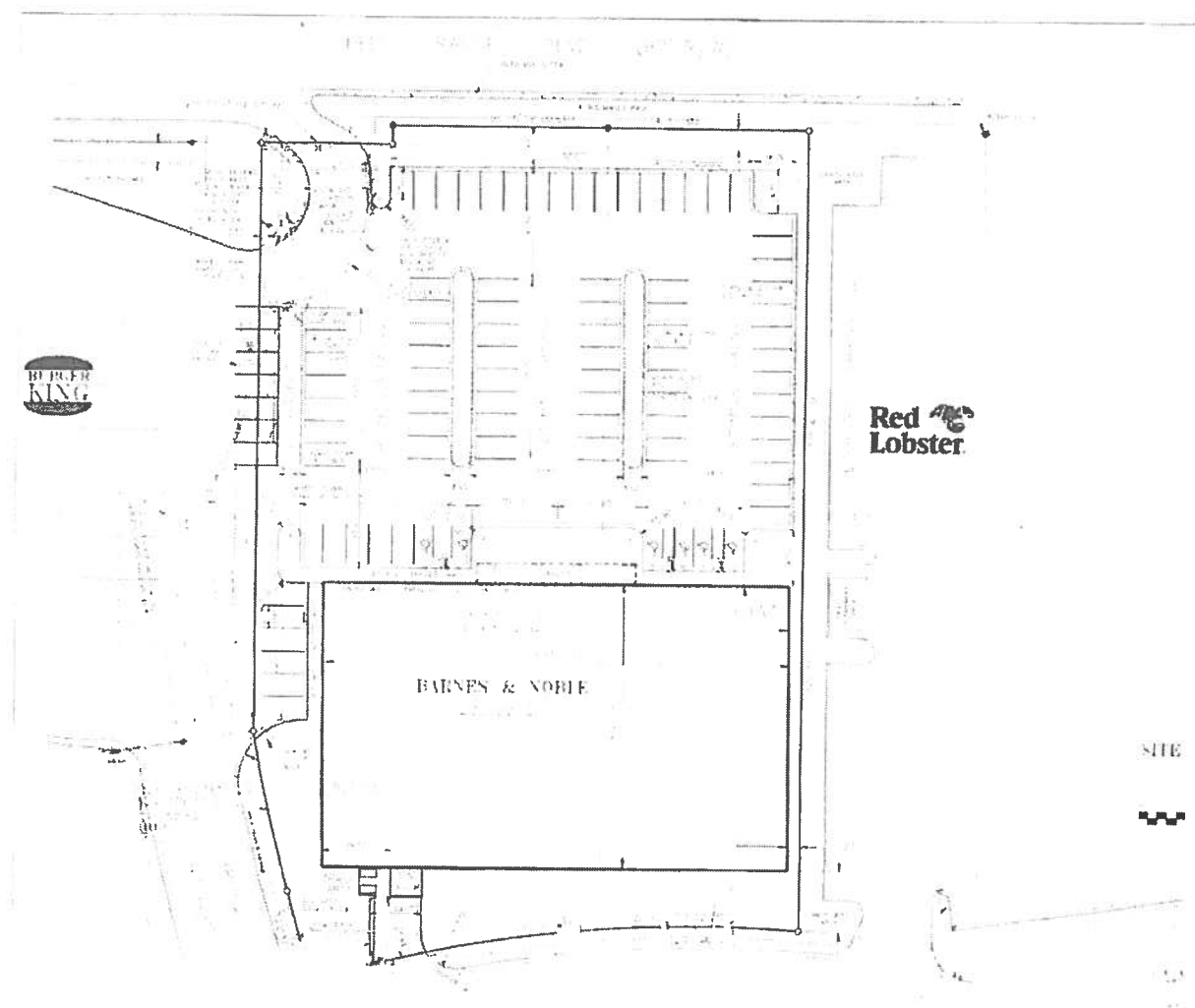
COMMENCING AT THE NORTHWEST CORNER OF SAID LOT 2; THENCE 90°17'04" (GRID AZIMUTH FROM NORTH CITY OF CHEYENNE DATUM 1977) ALONG THE NORTH LINE OF SAID LOT 2, A DISTANCE OF 29.63 FEET TO THE POINT OF BEGINNING OF THE PARCEL TO BE DESCRIBED; THENCE CONTINUING 90°17'04", ALONG SAID NORTH LINE, A DISTANCE OF 54.37 FEET; THENCE 0°37'04", A DISTANCE OF 7.96 FEET; THENCE 90°15'32" CONTINUING ALONG SAID NORTH LINE OF SAID LOT 2, A DISTANCE OF 174.37 FEET TO A POINT 74.50 FEET WEST OF THE EAST LINE OF SAID LOT 3; THENCE 180°15'32", PARALLEL WITH AND 74.50 FEET WEST OF SAID EAST LINE OF LOT 3, A DISTANCE OF 335.47 FEET TO A POINT ON THE NORTH LINE OF BLUEGRASS CIRCLE; THENCE WESTERLY ALONG SAID NORTH LINE, A DISTANCE OF 206.22 FEET ALONG A CURVE CONCAVE TO THE SOUTH, HAVING A RADIUS OF 555.0 FEET AND A CENTRAL ANGLE OF 21°17'22" (CHORD AZIMUTH OF 263°30'45", CHORD DISTANCE OF 205.04 FEET) TO THE EAST LINE OF BROOK COURT; THENCE 344°34'17", ALONG SAID EAST LINE, A DISTANCE OF 38.90 FEET; THENCE NORTHERLY A DISTANCE OF 68.43 FEET ALONG A CURVE CONCAVE TO THE EAST, HAVING A RADIUS OF 586.73 FEET AND A CENTRAL ANGLE OF 06°40'56" (CHORD AZIMUTH OF 347°54'44", CHORD DISTANCE OF 68.39 FEET) TO A POINT 29.43 FEET EAST OF THE WEST LINE OF SAID LOT 2; THENCE 00°15'57" PARALLEL WITH AND 29.63 FEET EAST OF THE WEST LINE OF SAID LOT 2 TO THE POINT OF BEGINNING.

PARCEL 2:

TOGETHER WITH THE RIGHT OF ACCESS OVER THE WEST 29.63 FEET OF LOT 2, BLOCK 1, PHILLIPS SUBDIVISION, A REPLAT OF LOTS 6 THROUGH 18, BLOCK 7, MEADOWBROOKE PARK, CITY OF CHEYENNE, LARAMIE COUNTY, WYOMING, AS PROVIDED IN THE RECIPROCAL PARKING EASEMENT AGREEMENT RECORDED IN BOOK 1397, PAGE 1311, RECORDS OF LARAMIE COUNTY, WYOMING.

PARCEL 3:

TOGETHER WITH RECIPROCAL RIGHT OF WAY OVER LOT 1, BLOCK 1 AND THE WEST 29.63 FEET OF LOT 2, BLOCK 1, PHILLIPS SUBDIVISION, A REPLAT OF LOTS 6 THROUGH 18, BLOCK 7, MEADOWBROOKE PARK, CITY OF CHEYENNE, LARAMIE COUNTY, WYOMING, AS PROVIDED IN THE RECIPROCAL PARKING EASEMENT AGREEMENT RECORDED IN BOOK 1397, PAGE 1311, RECORDS OF LARAMIE COUNTY, WYOMING.



00768-078/00290624-8

EXHIBIT B
WORK LETTER

TENANT'S WORK

Tenant's Work shall include (i) Tenant's base work, meaning such steps as are necessary to provide the Premises with full size truck access (with or without dock high), a roll up insulated sectional door or double door for loading, operational existing fire sprinkler system, existing operational interior lighting, one set of existing operational bathrooms, existing operational HVAC, a minimum 1200 Amp MDP with room for ten breakers (equipped with required switches) (service) with four 200-amp panels fully populated with breakers, and (ii) Tenant's other improvement work, to be described in Tenant's Plans.

EXHIBIT C

MEMORANDUM OF LEASE

THIS Memorandum of Lease ("Memorandum") is executed to be effective the ____ day of _____, 20__, by and between Michael Bullock, Timothy B. Sittema, El Del Range LLC, and Terra West LLC, as tenants-in-common (collectively, jointly and severally, "Landlord"), and Vitamin Cottage Natural Food Markets, Inc. ("Tenant").

WITNESSETH:

A. Landlord and Tenant have entered into that certain Lease dated _____, 2021 ("Lease") relating to certain leased premises ("Premises") located at 1851 Dell Range Blvd., Cheyenne, WY 82009, legally described on Exhibit A attached hereto.

B. Landlord and Tenant now wish to memorialize of record that existence of the Lease and certain specific terms of the same.

NOW THEREFORE, in consideration of the Lease and other good and valuable consideration, landlord and Tenant agree as follows:

1. Landlord and Tenant have entered into the Lease to demise and let the Premises upon the terms and conditions more particularly set forth in the Lease.

2. The Lease term shall be for an initial term of one hundred eighty-five (185) consecutive calendar months commencing on the Ready for Occupancy Date, as such term is defined in the Lease.

3. Subject to the terms and conditions more particularly set forth in the Lease, Tenant has the option to extend the term of the Lease for five (5) consecutive periods of sixty (60) calendar months each, with the first renewal term commencing upon expiration of the Initial Term, and subsequent renewal terms commencing upon expiration of the preceding renewal term.

4. The Lease contains the following exclusivity provision:

So long as Tenant is operating the Permitted Use and is not in default under this Lease beyond any applicable period of notice and cure, Landlord covenants and agrees that, during the Initial Lease Term and any Extension Term, no additional property that Landlord, directly or indirectly, may now or hereafter own or control, and which is contiguous, or which is within five hundred (500) feet of any boundary of, the Premises, will be used by a grocery, nutritional supplements and/or produce store excluding incidental sales (the "Exclusive Use"). As used in this Lease, "incidental sales" shall mean sales generated from not more than 150 square feet of shelf space, which shelf space may be used for the relevant prohibited use."

5. The Lease grants and conveys to Tenant, Tenant's employees, representatives, customers and invitees the right to use right-of-way access and parking for the purpose of pedestrian and vehicular ingress, egress and parking over all access and entrance drives and over all parking areas of the Building, subject to the terms of the Lease.

This Memorandum shall inure to the benefit of, and be binding upon, the parties hereto and their respective heirs, representatives, successors and assigns. In the event of any conflict between this

Memorandum and the Lease, the terms of the Lease shall control. If the Lease terminates in accordance with its terms, Landlord may unilaterally place of record a termination of the Memorandum.

IN WITNESS WHEREOF, Landlord and Tenant have executed this Memorandum to be effective as of the day and year first above written.

[Signature page follows]

LANDLORD:

TIMOTHY B. SITTEMA

Date: _____

STATE OF _____)
)ss.
COUNTY OF _____)

On _____, before me, _____, personally appeared _____ personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

Notary Public

My Commission expires: _____

MICHAEL BULLOCK

Date: _____

STATE OF _____)
)ss.
COUNTY OF _____)

On _____, before me, _____, personally appeared _____ personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

Notary Public

My Commission expires: _____

EL DEL RANGE LLC

By: _____
Name: _____
Title: _____
Date: _____

STATE OF _____)
)ss.
COUNTY OF _____)

On _____, before me, _____, personally appeared _____ personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

Notary Public

My Commission expires: _____

TERRA WEST LLC

By: _____
Name: _____
Title: _____
Date: _____

STATE OF _____)
)ss.
COUNTY OF _____)

On _____, before me, _____, personally appeared _____ personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

Notary Public

My Commission expires: _____

TENANT:

VITAMIN COTTAGE NATURAL FOOD MARKETS, INC.

By: _____
Name: Kemper Isely
Title: Co-President
Date: _____

STATE OF _____)
)ss.
COUNTY OF _____)

On _____, before me, _____, personally appeared _____ personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

Exhibit A to Memorandum of Lease

Legal Description

LOT 2, EXCEPT THE WEST 29.63 FEET THEREOF AND LOT 3, EXCEPT THE EAST 74.50 FEET THEREOF, ALL IN BLOCK 1, PHILLIPS SUBDIVISION, A REPLAT OF LOTS 6 THROUGH 18, BLOCK 7, MEADOWBROOK PARK, CITY OF CHEYENNE, LARAMIE COUNTY, WYOMING, MORE PARTICULARLY DESCRIBED BY METES AND BOUNDS AS FOLLOWS:

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PARCEL 3:

TOGETHER WITH RECIPROCAL RIGHT OF WAY OVER LOT 1, BLOCK 1 AND THE WEST 29.63 FEET OF LOT 2, BLOCK 1, PHILLIPS SUBDIVISION, A REPLAT OF LOTS 6 THROUGH 18, BLOCK 7, MEADOWBROOKE PARK, CITY OF CHEYENNE, LARAMIE COUNTY, WYOMING, AS PROVIDED IN THE RECIPROCAL PARKING EASEMENT AGREEMENT RECORDED IN BOOK 1397, PAGE 1311, RECORDS OF LARAMIE COUNTY, WYOMING.

EXHIBIT D

LANDLORD'S RELEASE AND WAIVER

Re: _____

Gentlemen:

The undersigned, owner ("Landlord") of certain Building located at 1851 Dell Range Blvd., Cheyenne, WY 82009, has leased certain Premises to Vitamin Cottage Natural Food Markets, Inc. ("Tenant"), pursuant to that certain Lease dated _____, 2021, agrees as follows with respect to the various equipment to be installed at the Premises:

1. Landlord hereby subordinates to _____ ("Lender") and its successors and assigns all of Landlord's right, title and interest in and to the personal property, described in Exhibit 1 attached hereto, now or hereafter located upon or installed in or upon said Premises, and the undersigned hereby consents to the locating or installing of said personal property in or upon said Premises.

2. Landlord further authorizes Lender, at its election, provided Lender shall give Landlord reasonable notice (in no event less than two (2) business days) and an opportunity to be present during such entry, to enter upon said Premises during business hours during the Disposition Period and to remove said personal property therefrom, committing only such injury to said Premises as may be necessary to effect such removal, provided that Lender shall reimburse the Landlord for the cost of repair of any physical injury to the Building and Premises caused by removal of personal property and provided that in no event shall Lender commit, or permit to be committed, any structural damage to said Building and Premises, or to any building or improvement of which said Building and Premises are a part; provided, however that the Landlord shall have the right to purchase said personal property from Lender at such time as Lender shall elect to remove the same from said Building and Premises, paying therefore such sum as may be agreed upon between Lender and Landlord. If Landlord is interested in considering this right to purchase, it shall provide Lender with a non-binding notice of such interest within the referenced two (2) business days' notice period. Thereafter, Lender will allow Landlord ten (10) days in which to make a final decision, and Lender shall not remove the property during this ten (10) day period.

Landlord further agrees that said personal property shall not be subject to any lien, suit or action instituted by Landlord for non-payment of rent or any other debt now due or hereafter becoming due to Landlord from Tenant, or any subsequent tenant, nor subject to any suit or action instituted by Landlord for any default under the terms of any real estate mortgage and/or real estate contract of sale and purchase with respect to the Building and Premises.

This Landlord's Release and Waiver shall remain in effect so long as Lender, its successors or assigns, shall have any interest in said personal property by virtue of a chattel

mortgage, or otherwise.

Landlord executes this Landlord's Release and Waiver upon the express condition that this Landlord's Release and Waiver shall not be effective unless Lender agrees to all of the terms herein in writing, and further, on the condition that Lender agrees: (a) that the removal of any roof mounted equipment shall be done under the direct supervision of Landlord or its agent and any openings or penetrations shall be repaired in accordance with plans approved in writing by Landlord; (b) that any air conditioning and heating or ventilation equipment, drop ceiling, electric conduit and ceiling lighting installed shall become and remain a part of the real property; (c) to provide Landlord with no less than two (2) business days written notice in the event of entry for repossession, and an opportunity to be present during such entry; (d) to remove the personal property on or before the expiration or earlier termination of this Lease, and if Lender fails to do so on or before forty-five (45) days following Landlord's delivery of written request so to remove such personal property, then as between Lender and Landlord, Lender shall be deemed to have waived any and all rights which Lender have had to such property.

If Lender removes the personal property in accordance herewith, Lender will store and dispose of or sell the personal property at some place other than the Building or Premises, unless the same shall be purchased by Landlord as provided above, Lender agrees to indemnify, hold harmless and defend Landlord from any liability, cost, demand, cause of action and claim which may arise or be asserted by reason of or attributable to any actions, activities or omissions in connection with the entry upon said Building and Premises as hereinabove provided.

EL DEL RANGE LLC

By: _____
Name: _____
Title: _____
Date: _____

STATE OF _____)
)ss.
COUNTY OF _____)

On _____, before me, _____,
personally appeared _____ personally known to me (or proved to
me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to
the within instrument and acknowledged to me that he/she/they executed the same in
his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the
person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

Notary Public

My Commission expires: _____

TERRA WEST LLC

By: _____
Name: _____
Title: _____
Date: _____

STATE OF _____)
COUNTY OF _____)ss.
_____)

On _____, before me, _____, personally appeared _____ personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

Notary Public

My Commission expires: _____

Lender:

Date: _____

STATE OF _____)
COUNTY OF _____)ss.
_____)

On _____, before me, _____, personally appeared _____ personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

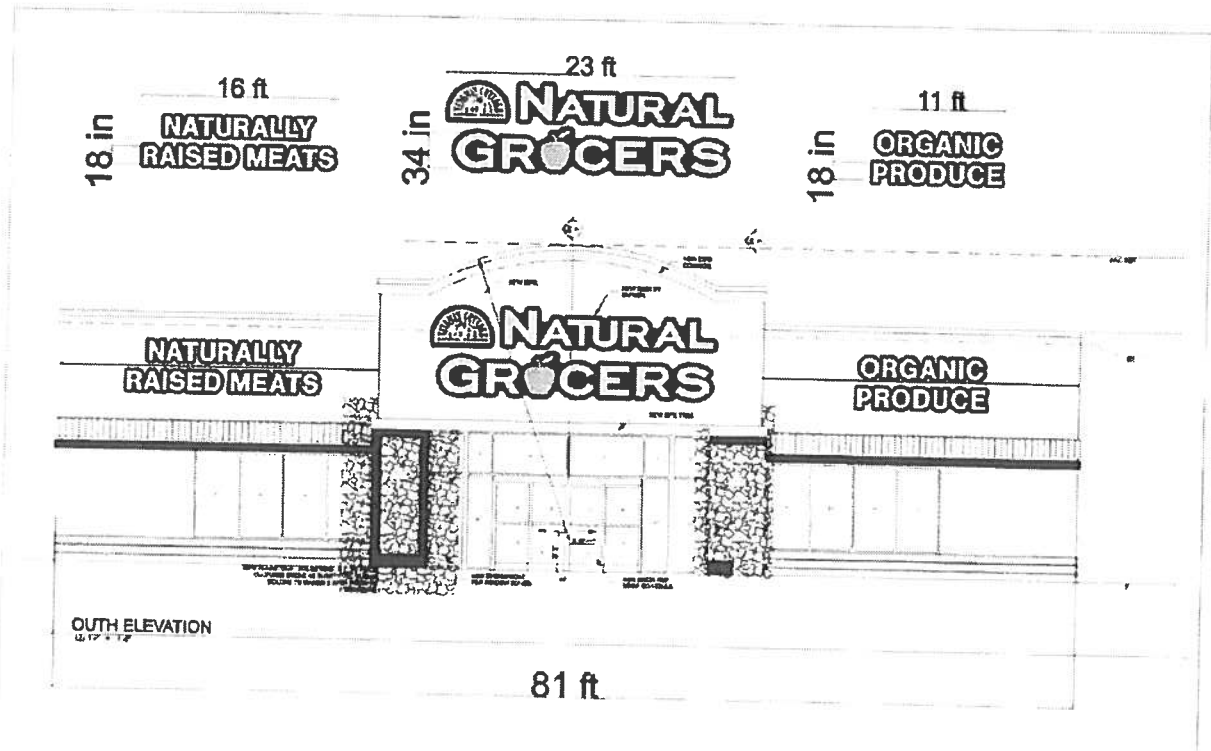
Notary Public

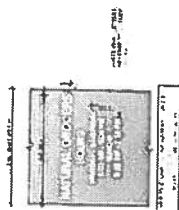
My Commission expires: _____

EXHIBIT 1 TO LANDLORD'S RELEASE AND WAIVER

EXHIBIT E

TENANT'S SAMPLE SIGNS





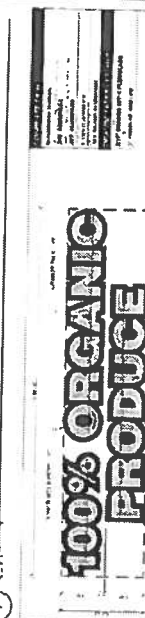
3 SIGN F



8 SIGN E



7 SIGN D



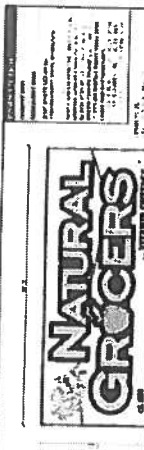
6 SIGN C



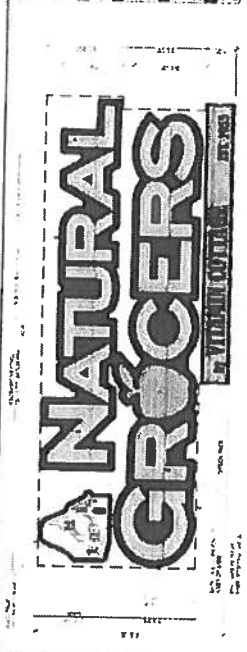
9 FLEXIBLE SIGN FACE



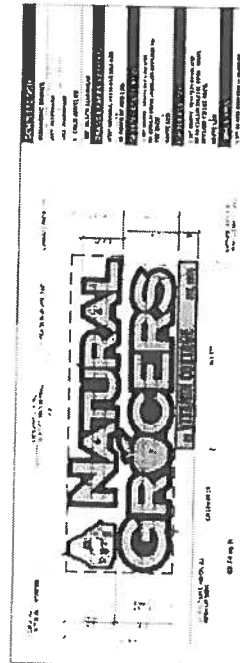
2 MONUMENT SIGN | LEXAN PANEL



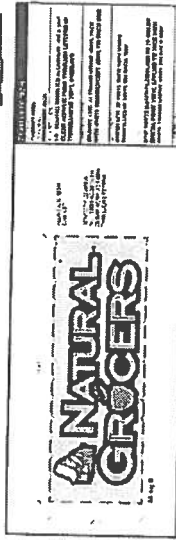
4 SIGN A



5 SIGN B



1 MONUMENT SIGN | ALUMINUM PANEL



SPECIALTY RETAILER
18,000 VXXXX
STREET
CITY STATE ZIP

06/01/2018
18,000 VXXXX

06/01/2018
18,000 VXXXX

AG2 26

EXHIBIT F

Subordination, Nondisturbance and Attornment Agreement

This SUBORDINATION, NONDISTURBANCE, AND ATTORNMENT AGREEMENT (this "Agreement") is entered into as of _____, ____ (the "Effective Date"), between _____, a national banking association, whose address is _____, Attention: _____ ("Mortgagee"), and Vitamin Cottage Natural Food Markets, Inc., a Colorado corporation, whose address is 12612 W. Alameda Parkway, Lakewood, Colorado 80228 ("Tenant"), with reference to the following facts:

A. _____, a _____ limited liability company, whose address is c/o _____ ("Landlord"), owns the real property located at _____ (such real property, including all buildings, improvements, structures and fixtures located thereon, "Landlord's Premises"), as more particularly described in **Schedule A**.

B. Mortgagee has made a loan to Landlord and other related borrowers in the aggregate principal amount of \$_____ (the "Loan").

C. To secure the Loan, Landlord has encumbered Landlord's Premises by entering into that certain _____ dated on or about the date hereof, for the benefit of Mortgagee (as amended, increased, renewed, extended, spread, consolidated, severed, restated, or otherwise changed from time to time, the "Mortgage") to be recorded in the public records of _____ County, _____ (the "Land Records").

D. Pursuant to a Lease, dated as of _____ (the "Lease"); Landlord demised to Tenant the Landlord's Premises ("Tenant's Premises").

E. Tenant and Mortgagee desire to agree upon the relative priorities of their interests in Landlord's Premises and their rights and obligations if certain events occur.

NOW, THEREFORE, for good and sufficient consideration and intending to be legally bound hereby, Tenant and Mortgagee agree:

1. *Definitions.*

The following terms shall have the following meanings for purposes of this Agreement.

1.1 Construction-Related Obligation. A "Construction-Related Obligation" means any obligation of Landlord under the Lease to make, pay for, or reimburse Tenant for any alterations, demolition, or other improvements or work at Landlord's Premises, including Tenant's Premises. Construction-Related Obligations shall not include: (a) reconstruction or repair following fire, casualty or condemnation; or (b) day-to-day maintenance and repairs.

1.2 Foreclosure Event. A “Foreclosure Event” means: (a) foreclosure under the Mortgage; (b) any other exercise by Mortgagee of rights and remedies (whether under the Mortgage or under applicable law, including bankruptcy law) as holder of the Loan and/or the Mortgage, as a result of which Successor Landlord becomes owner of Landlord’s Premises; or (c) delivery by Landlord to Mortgagee (or its designee or nominee) of a deed or other conveyance of Landlord’s interest in Landlord’s Premises in lieu of any of the foregoing.

1.3 Former Landlord. A “Former Landlord” means Landlord and any other party that was landlord under the Lease at any time before the occurrence of any attornment under this Agreement.

1.4 Offset Right. An “Offset Right” means any right or alleged right of Tenant to any offset, defense (other than one arising from actual payment and performance, which payment and performance would bind a Successor Landlord pursuant to this Agreement), claim, counterclaim, reduction, deduction, or abatement against Tenant’s payment of Rent or performance of Tenant’s other obligations under the Lease, arising (whether under the Lease or other applicable law) from Landlord’s breach or default under the Lease.

1.5 Rent. The “Rent” means any fixed rent, base rent or additional rent under the Lease.

1.6 Successor Landlord. A “Successor Landlord” means any party that becomes owner of Landlord’s Premises as the result of a Foreclosure Event.

1.7 Termination Right. A “Termination Right” means any right of Tenant to cancel or terminate the Lease or to claim a partial or total eviction arising (whether under the Lease or under applicable law) from Landlord’s breach or default under the Lease.

2. Subordination.

The Lease, including all rights of first refusal, purchase options and other rights of purchase, shall be, and shall at all times remain, subject and subordinate to the Mortgage, the lien imposed by the Mortgage, and all advances made under or secured by the Mortgage, subject to the terms and conditions hereinafter set forth in this Agreement.

3. Nondisturbance; Recognition; and Attornment.

3.1 No Exercise of Mortgage Remedies Against Tenant. So long as the Lease has not been terminated on account of Tenant’s default that has continued beyond applicable cure periods (an “Event of Default”), Mortgagee shall not name or join Tenant as a defendant in any exercise of Mortgagee’s rights and remedies arising upon a default under the Mortgage unless applicable law requires Tenant to be made a party thereto as a condition to proceeding against Landlord or prosecuting such rights and remedies. In the latter case, Mortgagee may join Tenant as a defendant in such action only for such purpose and not to terminate the Lease or otherwise adversely affect Tenant’s rights under the Lease or this Agreement in such action.

3.2 Nondisturbance and Attornment. If the Lease has not been terminated on account of an Event of Default by Tenant, then, when Successor Landlord takes title to

Landlord's Premises: (a) Successor Landlord shall not terminate or disturb Tenant's possession of Tenant's Premises under the Lease, except in accordance with the terms of the Lease (including, without limitation, in the event of a default by Tenant thereunder which continues beyond any applicable notice or cure periods) and this Agreement, and Tenant's right of quiet and exclusive possession of the Building or Tenant's Premises, and its other rights and privileges arising under the Lease, or under any extensions or renewals thereof, shall all be fully recognized by Successor Landlord and shall not be disturbed, canceled, terminated, diminished, or otherwise interfered with by Successor Landlord and Tenant's occupancy shall not be disturbed by Successor Landlord during the term of the Lease, or any extensions or renewals thereof; (b) Successor Landlord shall be bound to Tenant under all the terms and conditions of the Lease (except as provided in this Agreement); (c) Tenant shall recognize and attorn to Successor Landlord as Tenant's direct landlord under the Lease as affected by this Agreement; and (d) the Lease shall continue in full force and effect as a direct lease, in accordance with its terms (except as provided in this Agreement), between Successor Landlord and Tenant.

3.3 Further Documentation. The provisions of this Article shall be effective and self-operative without any need for Successor Landlord or Tenant to execute any further documents. Tenant and Successor Landlord shall, however, confirm the provisions of this Article in writing upon request by either of them.

4. Protection of Successor Landlord.

Notwithstanding anything to the contrary in the Lease or the Mortgage, Successor Landlord shall not be liable for or bound by any of the following matters:

4.1 Claims Against Former Landlord. Any Offset Right that Tenant may have against any Former Landlord relating to any event or occurrence before the date of attornment (except to the extent such Offset Right is expressly provided under the terms of the Lease), including any claim for damages of any kind whatsoever as the result of any breach by Former Landlord that occurred before the date of attornment. (The foregoing shall not limit either (a) Tenant's right to exercise against Successor Landlord any Offset Right otherwise available to Tenant because of events occurring after the date of attornment, or (b) Successor Landlord's obligation to correct any conditions that existed as of the date of attornment and violate Successor Landlord's obligations as landlord under the Lease.)

4.2 Prepayments. Any payment of Rent that Tenant may have made to Former Landlord more than thirty (30) days before the date such Rent was first due and payable under the Lease with respect to any period after the date of attornment other than, and only to the extent that, the Lease expressly required such a prepayment.

4.3 Payment. Any obligation to pay Tenant any sum(s) that any Former Landlord owed to Tenant. This paragraph is not intended to apply to Landlord's obligation to make any payment that constitutes a Construction-Related Obligation.

4.4 Modification; Amendment; or Waiver. Any modification or amendment of the Lease, or any waiver of any terms of the Lease, which has the effect of (i) reducing the rent and other amounts payable by Tenant under the Lease, (ii) shortening the term of the Lease or

(iii) altering the financial obligations imposed on Landlord under the Lease, made without Mortgagee's written consent.

4.5 *Surrender; Etc.* Any consensual or negotiated surrender, cancellation, or termination of the Lease, in whole or in part, agreed upon between Landlord and Tenant, unless effected unilaterally by Tenant pursuant to the express terms of the Lease.

4.6 *Construction-Related Obligations.* Any Construction-Related Obligation of Landlord under the Lease, except as expressly provided for in **Schedule B** (if any) attached to this Agreement.

4.7 *Default Under Mortgage.* In the event that Mortgagee notifies Tenant of a default under the Mortgage and demands that Tenant pay its rent and all other sums due under the Lease directly to Mortgagee, Tenant shall honor such demand and pay the full amount of its rent and all other sums due under the Lease, without offset (except as expressly permitted under the terms of the Lease), directly to Mortgagee or as otherwise directed pursuant to such notice, beginning with the payment next due after such notice of default, without inquiry as to whether a default actually exists under the Mortgage and notwithstanding any contrary instructions of or demands from Landlord.

5. *Exculpation of Successor Landlord.*

Notwithstanding anything to the contrary in this Agreement or the Lease, upon any attornment pursuant to this Agreement the Lease shall be deemed to have been automatically amended to provide that Successor Landlord's obligations and liability under the Lease shall never extend beyond Successor Landlord's (or its successors' or assigns') interest, if any, in Tenant's Premises from time to time, including insurance and condemnation proceeds, Successor Landlord's interest in the Lease, and the proceeds from any sale or other disposition of Tenant's Premises by Successor Landlord (collectively, "*Successor Landlord's Interest*"). Tenant shall look exclusively to Successor Landlord's Interest (or that of its successors and assigns) for payment or discharge of any obligations of Successor Landlord under the Lease as affected by this Agreement. If Tenant obtains any money judgment against Successor Landlord with respect to the Lease or the relationship between Successor Landlord and Tenant, then Tenant shall look solely to Successor Landlord's Interest (or that of its successors and assigns) to collect such judgment. Tenant shall not collect or attempt to collect any such judgment out of any other assets of Successor Landlord.

6. *Mortgagee's Right to Cure.*

6.1 *Notice to Mortgagee.* Notwithstanding anything to the contrary in the Lease or this Agreement, before exercising any Termination Right or Offset Right, Tenant shall provide Mortgagee with notice of the breach or default by Landlord giving rise to same (the "*Default Notice*") and, thereafter, the opportunity to cure such breach or default as provided for below.

6.2 *Mortgagee's Cure Period.* After Mortgagee receives a Default Notice, Mortgagee shall have a period of thirty days beyond the time available to Landlord under the Lease in which to cure the breach or default by Landlord. Mortgagee shall have no obligation to

cure (and shall have no liability or obligation for not curing) any breach or default by Landlord, except to the extent that Mortgagee agrees or undertakes otherwise in writing.

6.3 Extended Cure Period. In addition, as to any breach or default by Landlord the cure of which requires possession and control of Landlord's Premises, provided only that Mortgagee undertakes to Tenant by written notice to Tenant within thirty days after receipt of the Default Notice to exercise reasonable efforts to cure or cause to be cured by a receiver such breach or default within the period permitted by this paragraph, Mortgagee's cure period shall continue for such additional time not to exceed an additional one hundred eighty days (the "Extended Cure Period") as Mortgagee may reasonably require to either (a) obtain possession and control of Landlord's Premises and thereafter cure the breach or default with reasonable diligence and continuity, or (b) obtain the appointment of a receiver and give such receiver a reasonable period of time in which to cure the default.

7. Due Authorization. Tenant has full authority to enter into this Agreement, which has been duly authorized by all necessary actions.

8. Miscellaneous.

8.1 Notices. All notices or other communications required or permitted under this Agreement shall be in writing and given by certified mail (return receipt requested) or by nationally recognized overnight courier service that regularly maintains records of items delivered. Each party's address is as set forth in the opening paragraph of this Agreement, subject to change by notice under this paragraph. Notices shall be effective the next business day after being sent by overnight courier service, and five (5) business days after being sent by certified mail (return receipt requested).

8.2 Successors and Assigns. This Agreement shall bind and benefit the parties, their successors and assigns, any Successor Landlord, and its successors and assigns. If Mortgagee assigns the Mortgage, then upon delivery to Tenant of written notice thereof accompanied by the assignee's written assumption of all obligations under this Agreement, all liability of the assignor shall terminate.

8.3 Entire Agreement. This Agreement constitutes the entire agreement between Mortgagee and Tenant regarding the subordination of the Lease to the Mortgage and the rights and obligations of Tenant and Mortgagee as to the subject matter of this Agreement.

8.4 Interaction with Lease and with Mortgage. If this Agreement conflicts with the Lease, then this Agreement shall govern as between the parties and any Successor Landlord, including upon any attornment pursuant to this Agreement. This Agreement supersedes, and constitutes full compliance with, any provisions in the Lease that provide for subordination of the Lease to, or for delivery of nondisturbance agreements by the holder of, the Mortgage. Mortgagee confirms that Mortgagee has consented to Landlord's entering into the Lease.

8.5 Mortgagee's Rights and Obligations. Except as expressly provided for in this Agreement, Mortgagee shall have no obligations to Tenant with respect to the Lease. If an attornment occurs pursuant to this Agreement, then all rights and obligations of Mortgagee under

this Agreement shall terminate, without thereby affecting in any way the rights and obligations of Successor Landlord provided for in this Agreement.

8.6 Interpretation; Governing Law. The interpretation, validity and enforcement of this Agreement shall be governed by and construed under the internal laws of the State in which the Landlord's Premises is located, excluding its principles of conflict of laws.

8.7 Amendments. This Agreement may be amended, discharged or terminated, or any of its provisions waived, only by a written instrument executed by the party to be charged.

8.8 Execution. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument.

8.9 Mortgagee's Representation. Mortgagee represents that Mortgagee has full authority to enter into this Agreement, and Mortgagee's entry into this Agreement has been duly authorized by all necessary actions.

[Signature Pages Follow]

MORTGAGEE

TENANT

VITAMIN COTTAGE NATURAL FOOD
MARKETS, INC.,
a Colorado corporation

By: _____
Name: _____
Title: _____

STATE OF _____)
) ss:
COUNTY OF _____)

On this _____ day of _____, 20____, before me appeared _____, to me personally known, who, being by me duly sworn, did say that said individual is the _____ of Vitamin Cottage Natural Food Markets, Inc., a Colorado corporation, and said person acknowledged that he/she executed this instrument on behalf of said corporation by authority of the Board of Directors of said corporation and said acknowledged said instrument as the free act and deed of said corporation.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal on the day and year above written.

By: _____
Notary Public

My Commission Expires _____

LANDLORD'S CONSENT

Landlord consents and agrees to the foregoing Agreement, which was entered into at Landlord's request. The foregoing Agreement shall not alter, waive or diminish any of Landlord's obligations under the Mortgage or the Lease. The above Agreement discharges any obligations of Mortgagee under the Mortgage and related loan documents to enter into a nondisturbance agreement with Tenant. Tenant is hereby authorized to pay its rent and all other sums due under the Lease directly to Mortgagee upon receipt of a notice as set forth in Section 4.7 above from Mortgagee and that Tenant is not obligated to inquire as to whether a default actually exists under the Mortgage Landlord is not a party to the above Agreement.

LANDLORD

By: _____

TIMOTHY B. SITTEMA

Dated: _____, _____

STATE OF _____)
) ss.
COUNTY OF _____)

On this _____ day of _____, 20__ before me appeared _____, to me personally known, who, being by me duly sworn, did say that said individual executed this instrument as the free act and deed of said individual.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal in the County and State aforesaid on the day and year above written.

Notary Public

My Commission Expires: _____

By: _____

MICHAEL BULLOCK

Dated: _____, ____

STATE OF _____)
) ss.
COUNTY OF _____)

On this _____ day of _____, 20__ before me appeared _____, to me personally known, who, being by me duly sworn, did say that said individual executed this instrument as the free act and deed of said individual.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal in the County and State aforesaid on the day and year above written.

Notary Public

My Commission Expires: _____

EL DEL RANGE LLC,

a _____ limited liability company

By: _____

Name: _____

Title: _____

Dated: _____, ____

STATE OF _____)
) ss.
COUNTY OF _____)

On this _____ day of _____, 20__ before me appeared _____, to me personally known, who, being by me duly sworn, did say that said individual is the _____ of _____, a _____ limited liability company, and said person acknowledged that said person executed this instrument on behalf of said limited liability company and acknowledged said instrument as the free act and deed of said limited liability company.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal in the County and State aforesaid on the day and year above written.

Notary Public

My Commission Expires: _____

LANDLORD

TERRA WEST LLC,

a _____ limited liability company

By: _____

Name: _____

Title: _____

Dated: _____, _____

STATE OF _____)
) ss.
COUNTY OF _____)

On this _____ day of _____, 20__ before me appeared _____, to me personally known, who, being by me duly sworn, did say that said individual is the _____ of _____, a _____ limited liability company, and said person acknowledged that said person executed this instrument on behalf of said limited liability company and acknowledged said instrument as the free act and deed of said limited liability company.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal in the County and State aforesaid on the day and year above written.

Notary Public

My Commission Expires: _____

SCHEDULE A

Description of Landlord's Premises

SCHEDULE B

Successor Landlord's Construction-Related Obligations After Attornment

The obligation to pay the "Tenant Improvement Allowance" as described at Exhibit L to the Lease.

EXHIBIT G

RENT COMMENCEMENT DATE MEMORANDUM

This Memorandum is made this ____ day of _____, 20__, between Timothy B. Sittima, Michael Bullock, El Del Range LLC, and Terra West LLC (collectively, jointly and severally, "Landlord") and Vitamin Cottage Natural Food Markets, Inc. ("Tenant").

- a. Landlord and Tenant have entered into that certain Shopping Center Lease dated _____, 2021 ("Lease") for Building located at _____.
- b. The Initial Lease Term of the Lease commenced on _____, 20__.
- c. The Initial Lease Term of the Lease shall expire on _____, 20__.
- d. Tenant has _____ options of _____ years each which may be executed in accordance with the terms of the Lease.
- e. The Ready for Occupancy Date is _____ 20__.
- f. The Rent Commencement Date under the Lease is _____, 20__.
- g. To the best of Landlord's and Tenant's knowledge, there are currently no uncured defaults on the part of either party.

[Signature page follows]

IN WITNESS WHEREOF, Landlord and Tenant have executed this Memorandum to be effective as of the day and year first above written.

LANDLORD:

TIMOTHY B. SITTEMA

Date: _____

MICHAEL BULLOCK

Date: _____

EL DEL RANGE LLC

By: _____

Name: _____

Title: _____

Date: _____

TERRA WEST LLC

By: _____

Name: _____

Title: _____

Date: _____

TENANT:

VITAMIN COTTAGE NATURAL FOOD MARKETS, INC.

By: _____

Name: Kemper Isely

Title: Co-President

Date: _____

EXHIBIT H
COVENANT DOCUMENTS

11. Easement as shown on the Plat of Phillips Subdivision, a Replat of Lots 6 through 18, Block 7, Meadowbrook Park, City of Cheyenne, Laramie County, Wyoming.
12. Utility Easement:
Recording Information: March 5, 1993 in Book 1338, Page 1710
13. Easement:
Recording Information: January 23, 1995 in Book 1391, Page 1068
14. Terms and conditions of Reciprocal Parking Easement Agreement:
Between: SB Advisors, Inc., a Colorado corporation; Cheyenne Burger Corporation, a Wyoming corporation
And: Robert W. Vresland
Recorded: May 9, 1995
Recording Information: Book 1397, Page 1311
15. Memorandum of Lease including the terms and conditions thereof:
Between: SB Advisors, Inc., a Colorado corporation
And: Barnes and Noble, Inc., a Delaware corporation
Recorded: November 1, 1995
Recording Information: Book 1410, Page 622
16. Affidavit Dedication of Easement:
Recording Information: December 11, 1995 in Book 1413, Page 215
17. Grant of Easements:
Recording Information: September 16, 1996 in Book 1433, Page 60

EXHIBIT I
OPTION TO RENEW

This Option to Renew is attached to and becomes a part of that certain Shopping Center Lease of even date herewith which has been or will be executed by and between Timothy B. Sittima, Michael Bullock, El Del Range LLC, and Terra West LLC, collectively, jointly and severally, as Landlord, and Vitamin Cottage Natural Food Markets, Inc., as Tenant. The consideration for this Option to Renew is the full and faithful performance of Tenant under the Lease.

- a. Tenant is hereby granted the option to extend the Term of the Lease for five (5) five (5)-year periods (each, an "Extension Term") by giving notice of exercise of the option ("Option Notice") to Landlord as described in subparagraph c. below, before the expiration of the Initial Lease Term, or the current Extension Term, as applicable, upon the same terms contained in this Lease, excluding the provisions of this Exhibit I and except for the amount of Minimum Rent and Additional Rent payable during each Extension Term; and any reference in the Lease to the "Term" of the Lease shall be deemed to include any Extension Term and apply thereto, unless it is expressly provided otherwise. Tenant shall have no additional extension options except as stated herein.
- b. The Minimum Rent during each Extension Term shall be as specified in Article 1.m. of the Lease.
- c. To exercise any option to extend, Tenant must deliver a binding Option Notice to Landlord not less than ninety (90) days prior to the expiration of the Initial Lease Term of this Lease, or the current Extension Term, as applicable. Notwithstanding anything herein to the contrary, should Tenant fail to timely provide an Option Notice, Landlord will notify Tenant in writing that it has missed the deadline and Tenant shall have ten (10) days after receipt of such notice from Landlord to provide Landlord with an Option Notice. If Tenant fails to provide and Option Notice to Landlord within such ten (10)-day period, Tenant's option to extend (and any future options to extend) will be terminated and Tenant will be deemed to have waived its option to extend.
- d. Tenant's option to extend the Lease is subject to the conditions that, on the date that Tenant delivers its binding notice exercising an option to extend, Tenant: (i) is not in default under the Lease after the expiration of any applicable notice and cure periods; and, (ii) subject to Tenant's right to a Permitted Transfer of the Lease which Permitted Transferee shall be allowed to exercise these options, Tenant shall not have assigned this Lease, or sublet any portion of the Premises under a sublease which is effective at any time during the final twelve (12) months of the Initial Lease Term or the first Extension Term, as applicable, to any person or entity.
- e. After exercise of the Extension Terms granted herein, if at all, there shall be no further rights on the part of Tenant to extend the Term. Tenant's failure to timely and effectively exercise any option to extend shall be deemed to revoke all subsequent Extension Terms.

EXHIBIT J
RULES AND REGULATIONS

None

EXHIBIT K
INTENTIONALLY DELETED

EXHIBIT L

TENANT IMPROVEMENT ALLOWANCE

Landlord will pay Tenant an amount of \$410,037.50 for Tenant's Work. Collectively, the same will be referred to as the "Tenant Improvement Allowance".

The Tenant Improvement Allowance shall be paid one-half to Tenant at the time that Tenant's Work is approximately fifty percent (50%) complete. Tenant's Work will be deemed to be fifty percent (50%) complete at such time as (A) so certified in writing by Tenant's architect (as reasonably approved by Landlord), (B) Landlord has received copies of executed general contractor and subcontractor interim lien waivers, and (C) Landlord has received copies of paid invoices for the work for which reimbursement is sought. The balance of the Tenant Improvement Allowance will be paid to Tenant within thirty (30) days after satisfaction of all of the following: (i) completion of the Tenant's Work in accordance with the approved plans and specifications and the provisions hereof; (ii) delivery of an affidavit that all payrolls, bills for materials and any equipment and other indebtedness connected with Tenant's Work have been paid or otherwise satisfied, including general contractor and subcontractor lien waivers; (iii) and delivery of all certificates necessary for occupancy of the Premises issued by the appropriate governmental authority permitting use of the Premises in accordance with the approved plans and specifications; and (iv) Tenant's opening for business in the Premises.

In the event that Landlord fails to pay the Tenant Improvement Allowance to Tenant within thirty (30) days described above, and such failure continues for a period of ten (10) days after written notice thereof to Landlord, Tenant shall thereafter have the right to offset the amount of the Tenant Improvement Allowance against any amount owed by Tenant to Landlord.

Alcohol Training and Compliance Program Vitamin Cottage Natural Food Markets, Inc.

As an experienced retailer of alcoholic beverages in eight states, Vitamin Cottage Natural Food Markets, Inc. ("Natural Grocers") has developed a rigorous training and compliance program for employees and managers at stores where alcohol is sold. For each location where alcohol is sold, this program is carefully tailored to ensure it incorporates all state and local requirements, and is vetted by Natural Grocers' legal and operations teams.

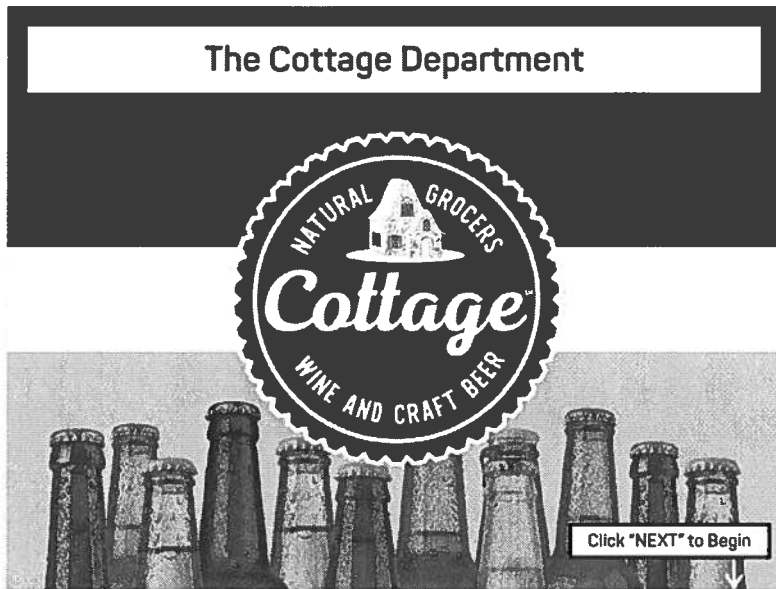
Should Natural Grocers be issued a Retail Liquor License for its Cheyenne store, Natural Grocers is committed to working with law enforcement and other governmental authorities to ensure that our program meets all state and local requirements. This program would include, at minimum, orientation training for all persons selling alcohol from our Cheyenne store, as well as any personnel providing security at the premises, which training would be improved in advance by the Wyoming Liquor Division. All such personnel would be required to complete the orientation within ninety (90) days of employment, as well as any continuing training required by state and local authorities. Natural Grocers' training program for its Cheyenne store will include direction to employees on how to verify that a customer is of legal age to purchase alcohol, how to report incidents on the premises requiring law enforcement response services, and any other information recommended by applicable authorities.

To demonstrate the scope and level of detail of the Natural Grocers alcohol training program, enclosed please a printout of our current training program and procedures for select markets. Should Natural Grocers receive a Retail Liquor License for its Cheyenne store, this document and its online counterpart will be updated to include all state and local requirements.

The Cottage

1. Introduction

1.1 Title Screen



Notes:

1.2 Introduction



Introduction

This training is intended for all Crew at Natural Grocers stores that have a Cottage alcoholic beverage store or department. We have high quality standards for Cottage products, and it's important that you can communicate to our customers about what makes them unique. Additionally, Cottage products have special receiving and selling regulations compared to other products in your store that must be followed to maintain compliance with the law.

Throughout this training, you will learn

- The products you will find in the Cottage part of your store
- How alcohol-containing products are received and sold
- Company policies and legal regulations governing store operations

Continue →

Notes:

1.3 Select State

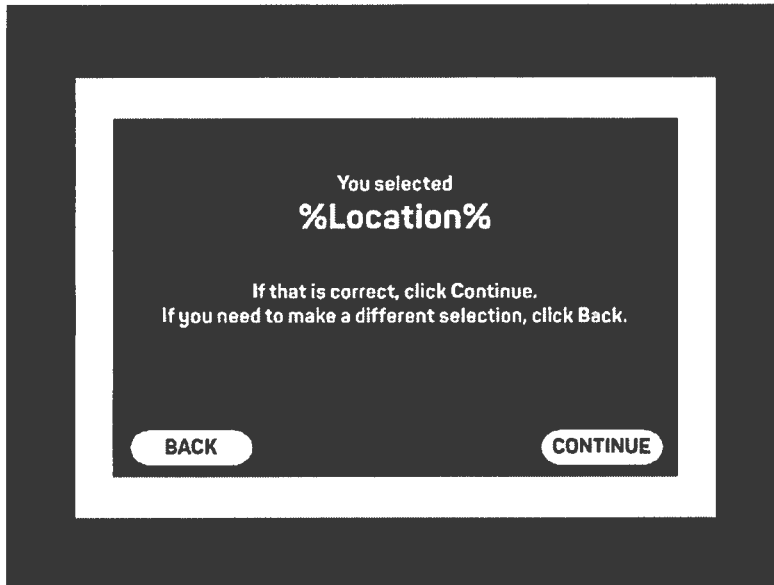


Select Your State

Click on the state where you work below to start the training path that covers the state and local laws and regulations that apply to you and your store.

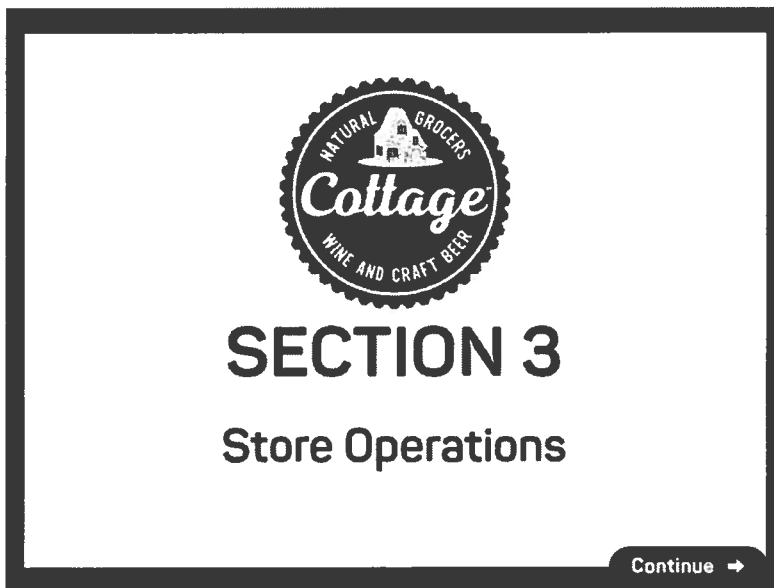
ARIZONA or LOUISIANA	MISSOURI
COLORADO (not DT Store)	OREGON
COLORADO - DT Store ONLY (3757 North Brighton Blvd)	OKLAHOMA
KANSAS	TEXAS

1.4 Confirm State



2. Operations and Regulations

2.1 Section 2



Notes:

2.2 ReturnsNOWine



Returns

Return Policy

- Returns for products from the Cottage are **ONLY** accepted if the customer has a **receipt** and if the return is requested within **30 days** of the original purchase.
 - Exceptions cannot be made to accept returns on alcohol if the customer does not have their receipt, even if the MOD wishes to provide World Class Customer Service.
- We will not accept returns on **partial packs**.
 - For example, if a customer bought a 6-pack of beer but wants to return 4 cans we will not accept the return.

Continue →

Notes:

RestockingReturns2 (Slide Layer)



Returns

Restocking Returns

- Do not restock returned refrigerated product as it is unknown if the product has been kept at a safe temperature.
- Returned shelf-stable product can be restocked to the retail shelf.

Continue →

Processing (Slide Layer)



Returns

Processing Shrink and Returns

- Follow the standard process for customer returns at the register:
 - Select **Sellable (SL01)** for unopened, shelf-stable product.
 - Select **Non-Sellable (SL02)** for all opened items or items that require refrigeration (e.g., some hard kombucha products).

Continue →

Processing2 (Slide Layer)



Returns

Processing Shrink and Returns (click Continue if NOT a Manager)

- To write off customer returns, follow the Customer Returns - SL02 process.
- To write off damaged items, follow the QRG Stock Write-Offs process.
- If the bottle has been opened, pour out the alcohol and rinse the bottle until the vendor picks them up or confirmation from the vendor is given to dispose of the bottles.



Continue →

2.3 ReturnsWINE



Returns

Return Policy

- Returns for products from the Cottage are **ONLY** accepted if the customer has a **receipt** and if the return is requested within **30 days** of the original purchase.
 - Exceptions cannot be made to accept returns on alcohol if the customer does not have their receipt, even if the MOD wishes to provide World Class Customer Service.
- We will not accept returns on **partial packs**.
 - For example, if a customer bought a 6-pack of beer but wants to return 4 cans we will not accept the return.

Continue →

Notes:

RestockingReturns2 (Slide Layer)



Returns

Restocking Returns

- Returned shelf-stable product can be restocked to the retail shelf.
- Do not restock returned refrigerated product as it is unknown if the product has been kept at a safe temperature.
- If the cork has risen in the bottle and either caused a bulge or ruptured/removed cap, that is an indication of heat and/or mishandling and that item cannot be resold.



Continue →

Processing (Slide Layer)



Returns

Processing Shrink and Returns

- Follow the standard process for customer returns at the register:
 - Select "Sellable (SL01)" for unopened, shelf-stable product.
 - Select "Non-Sellable (SL02)" for all opened items, items that require refrigeration, or product that shows signs of heat damage e.g., a wine bottle cork has risen up in the bottle and either caused a bulge or has ruptured.



Continue →

Processing2 (Slide Layer)



Returns

Processing Shrink and Returns (click Continue if NOT a Manager)

- To write off **customer returns**, follow the Customer Returns - SL02 process.
- To write off **damaged items**, follow the QRG Stock Write-Offs process.
- If the bottle has been opened, pour out the alcohol and rinse the bottle until the vendor picks them up or confirmation from the vendor is given to dispose of the bottles.



Continue →

2.4 Damaged Product



Disposal

Disposing of Open, Broken, or Leaking Product

- Record the UPC of the leaking or broken bottle on the Stock-Write Off Log.
- When exposed to air, alcohol will oxidize, creating a strong smell that will attract insects. So, do not keep opened or leaking alcohol products in the store.
- If the bottle is leaking or slightly broken, pour out contents of the container into the mop sink and rinse it out.
- If a bottle is shattered or broken, be careful to not cut yourself. Dispose of the glass inside a cardboard box. Label the box "broken glass" and tape it shut. Throw it away in the outside dumpster.



[Continue →](#)

Notes:

2.5 EAS



Theft Deterrence

Your store may have bottle toppers which are hard plastic devices that fit over the top of bottle necks to help deter theft.



These tags are reusable and are physically removed from the product during checkout. A bottle topper remover will be available at one of your store's registers and will be used to remove bottle toppers after a customer has purchased the capped product.

[Continue →](#)

Notes:

2.6 Coverage Requirements



Crew Coverage Requirements

- As an issue of legal compliance, there must always be a qualified Crew member in The Cottage Wine and Craft Beer store at all times.
- If there is only one Crew member in The Cottage, that Crew member may not leave the department to provide register backup on the main store registers.
- Even if there are no customers in The Cottage, the Crew member assigned to The Cottage cannot leave to assist in other departments unless there is double coverage within the Cottage.
- If for any reason The Cottage must be left unattended, all doors must be locked before leaving and must remain secured until coverage is returned.

Continue →

Notes:

2.7 Coverage Requirements



Coverage Requirements

- If a sole Crew member providing coverage to the Cottage Wine and Craft Beer store needs to leave to take a lunch break or use the restroom, another qualified Crew member must provide coverage for the department during this time.
- A qualified Crew member is:
 1. 21 years of age or older AND
 2. Currently certified as having successfully completed the ServSafe Alcohol training program or equivalent.

Continue →

Notes:

2.8 OnlyinStore



Purchases

- All alcohol must be sold **ONLY** in the Cottage Wine and Craft Beer store.
- If a customer tries to purchase grocery, supplements, body care or other non-alcoholic items in the Cottage, kindly let them know they will need to purchase them at the front registers of Natural Grocers.



Continue →

Notes:

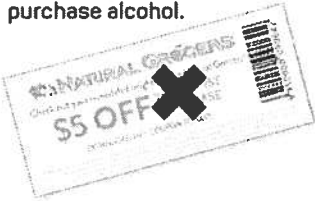
2.9 Texas



Sales Restrictions – Texas Stores Only

There are two laws unique to Texas that cashiers must be alert to when ringing up alcoholic beverages:

1. Per Texas state law, stores cannot sell alcohol before 10am on Sundays.
2. Coupons, such as, but not limited to NGVC \$5 off coupons, may NOT be used to purchase alcohol.



Continue →

3. Assessment

3.1 Assessment Introduction



SECTION 5

Knowledge Check

Continue →

Notes:

3.2 KC When to Refuse Sale

(Multiple Response, 10 points, 1 attempt permitted)



Knowledge Check: Refusing a Sale

When should you refuse a sale? Select all that apply.

- ☒ When a person is visibly intoxicated
- ☒ When a person is not of legal age to purchase alcohol
- ☒ If the person is clearly trying to purchase for someone who is under the age of 21
- ☒ When a person cannot present valid proof of being 21 years or older
- ☐ When it's past 7pm in the evening



Correct	Choice
X	When a person is visibly intoxicated
X	When a person is not of legal age to purchase alcohol
X	If the person is clearly trying to purchase for someone who is under the age of 21
X	When a person cannot present valid proof of being 21 years or older
	When it's past 7pm in the evening

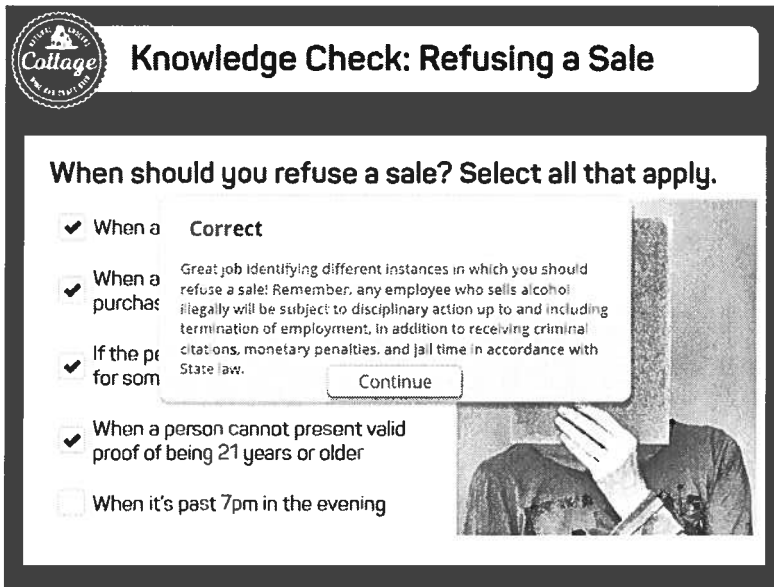
Feedback when correct:

Great job identifying different instances in which you should refuse a sale! Remember, any employee who sells alcohol illegally will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with State law.

Feedback when incorrect:

You did not select the correct responses. YOU MAY ONLY SELL ALCOHOL TO A PERSON WHO SHOWS VALID PROOF OF BEING AT LEAST 21 YEARS OF AGE AND IS NOT SHOWING SIGNS OF VISIBLE INTOXICATION. Any employee who sells alcohol illegally will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with State law.

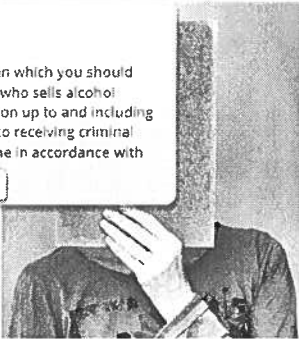
Correct (Slide Layer)

A screenshot of a knowledge check interface. At the top left is a circular logo with the word "Collage" and "BY THE WAY" below it. The title "Knowledge Check: Refusing a Sale" is centered at the top. Below the title is the question "When should you refuse a sale? Select all that apply." There are five checkboxes with corresponding text. The first three are checked, and a tooltip box is open over the first one. The tooltip contains the text: "Correct", "Great job identifying different instances in which you should refuse a sale! Remember, any employee who sells alcohol illegally will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with State law.", and a "Continue" button. The fourth checkbox is also checked. The fifth checkbox is unchecked. To the right of the checkboxes is a grayscale image of a person's hand holding a glass.

 **Knowledge Check: Refusing a Sale**

When should you refuse a sale? Select all that apply.

- ☒ When a **Correct**
Great job identifying different instances in which you should refuse a sale! Remember, any employee who sells alcohol illegally will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with State law.
[Continue](#)
- ☒ When a person purchases alcohol
- ☒ If the person is visibly intoxicated
- ☒ When a person cannot present valid proof of being 21 years or older
- ☐ When it's past 7pm in the evening



Incorrect (Slide Layer)



Knowledge Check: Refusing a Sale

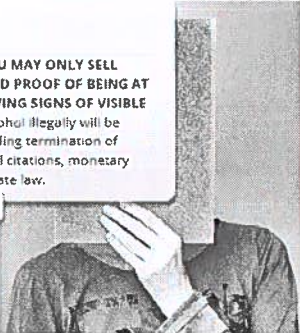
When should you refuse a sale? Select all that apply.

- ☒ When a person cannot present valid proof of being 21 years or older
- ☒ When a person cannot present valid proof of being 21 years or older
- ☒ If the person is visibly intoxicated
- ☐ When it's past 7pm in the evening

Incorrect

You did not select the correct responses. **YOU MAY ONLY SELL ALCOHOL TO A PERSON WHO SHOWS VALID PROOF OF BEING AT LEAST 21 YEARS OF AGE AND IS NOT SHOWING SIGNS OF VISIBLE INTOXICATION.** Any employee who sells alcohol illegally will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with State law.

Continue



3.3 KC Cottage Returns

(Multiple Response, 10 points, 1 attempt permitted)



Knowledge Check: Cottage Returns

Select all that apply:
Cottage returns are **ONLY** accepted if...

- ☒ It is within 30 days of the original purchase
- ☐ It is within 60 days of the original purchase
- ☒ The customer has the receipt
- ☒ It is **NOT** a partial pack (i.e., a customer is trying to return 4 cans from a 6-pack of beer)
- ☐ The item is unopened



Correct	Choice
X	It is within 30 days of the original purchase

	It is within 60 days of the original purchase
X	The customer has the receipt
X	It is NOT a partial pack (i.e., a customer is trying to return 4 cans from a 6-pack of beer)
	The item is unopened

Feedback when correct:

That's right! Cottage returns are **ONLY** accepted if the customer has a receipt and it is within 30 days of the original purchase. Additionally, we will not accept returns on partial packs, i.e., a customer is trying to return 4 cans from a 6-pack of beer.

Feedback when incorrect:

Cottage returns are **ONLY** accepted if the customer has a receipt and it is within 30 days of the original purchase. Additionally, we will not accept returns on partial packs, i.e., a customer is trying to return 4 cans from a 6-pack of beer.

Correct (Slide Layer)



Knowledge Check: Cottage Returns

Select all that apply:
Cottage returns are **ONLY** accepted if

Correct

That's right! Cottage returns are **ONLY** accepted if the customer has a receipt and it is within 30 days of the original purchase. Additionally, we will not accept returns on partial packs, i.e., a customer is trying to return 4 cans from a 6-pack of beer.

Continue

- ☒ It is within 30 days of the original purchase
- ☐ It is within 60 days of the original purchase
- ☒ The customer has a receipt
- ☒ It is **NOT** a partial pack (i.e., a customer is trying to return 4 cans from a 6-pack of beer)
- ☐ The item is unopened



Incorrect (Slide Layer)



Knowledge Check: Cottage Returns

Select all that apply:
Cottage returns are **ONLY** accepted if

Incorrect

Cottage returns are **ONLY** accepted if the customer has a receipt and it is within 30 days of the original purchase. Additionally, we will not accept returns on partial packs, i.e., a customer is trying to return 4 cans from a 6-pack of beer.

Continue

- ☒ It is within 30 days of the original purchase
- ☐ It is within 60 days of the original purchase
- ☒ The customer has a receipt
- ☒ It is **NOT** a partial pack (i.e., a customer is trying to return 4 cans from a 6-pack of beer)
- ☐ The item is unopened



3.4 KC Crew Policies

(True/False, 10 points, 1 attempt permitted)



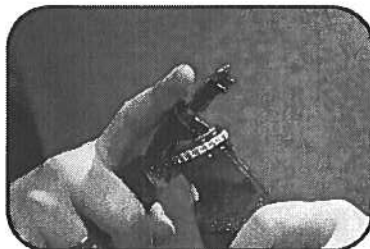
Knowledge Check: Crew Policies

TRUE or FALSE?

Crew members are permitted to consume Cottage products on store property as long as the product is purchased while off the clock and they have a receipt.

☐ TRUE

☒ FALSE



Correct	Choice
	TRUE
X	FALSE

Feedback when correct:

Under no circumstances are Crew permitted to consume Cottage product on company property.

Feedback when incorrect:

Under no circumstances are Crew permitted to consume Cottage product on company property.

Correct (Slide Layer)



Knowledge Check: Crew Policies

TRUE or FALSE?

Crew members are permitted to consume Cottage product on company property.

☐ TRUE

☒ FALSE

Correct

Under no circumstances are Crew permitted to consume Cottage product on company property.

Continue



Incorrect (Slide Layer)



Knowledge Check: Crew Policies

TRUE or FALSE?

Crew members are permitted to consume Cottage product on company property.

☐ TRUE

☒ FALSE

Incorrect

Under no circumstances are Crew permitted to consume Cottage product on company property.

Continue



3.5 KC Crew Responsibility

(True/False, 10 points, 1 attempt permitted)



Knowledge Check: Crew Responsibility

TRUE or FALSE?

Crew members are not held responsible for selling alcohol illegally.

☐ True

☒ False



Correct	Choice
	True
X	False

Feedback when correct:

Crew members ARE held responsible for selling alcohol illegally and will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with state law.

Feedback when incorrect:

Crew members ARE held responsible for selling alcohol illegally and will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with state law.

Correct (Slide Layer)



Knowledge Check: Crew Responsibility

TRUE or FALSE?

Crew members are not held responsible for selling alcohol illegally.

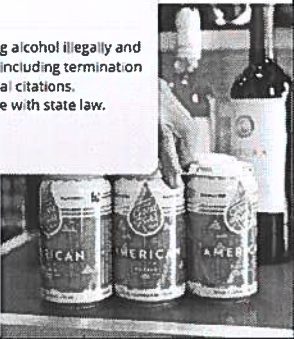
Correct

☐ True

☒ False

Crew members ARE held responsible for selling alcohol illegally and will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with state law.

Continue



Incorrect (Slide Layer)



Knowledge Check: Crew Responsibility

TRUE or FALSE?

Crew members are not held responsible for selling alcohol illegally.

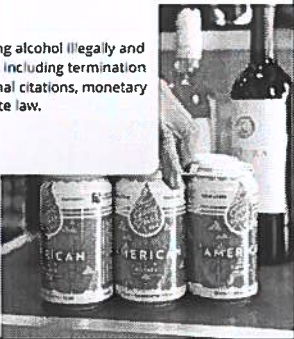
Incorrect

☐ True

☒ False

Crew members ARE held responsible for selling alcohol illegally and will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with state law.

Continue



3.6 KC How to Refuse Sale

(Multiple Response, 10 points, 2 attempts permitted)



Knowledge Check: Refusing a Sale

Select all professional and polite responses to a customer who cannot show valid proof of age to purchase alcohol.

- ☒ I'm sorry, but I'll lose my job if I sell you alcohol today.
- ☒ I'm sorry, I cannot sell the alcohol to you today. Would you like to purchase food or a different beverage?
- ☒ I'm sorry, but I cannot sell you alcohol at this time. Please return with a valid ID and I would be happy to ring up the purchase.
- ☐ How dare you think you can buy alcohol without an ID. Go away.



Correct	Choice
X	I'm sorry, but I'll lose my job if I sell you alcohol today.
X	I'm sorry, I cannot sell the alcohol to you today. Would you like to purchase food or a different beverage?
X	I'm sorry, but I cannot sell you alcohol at this time. Please return with a valid ID and I would be happy to ring up the purchase.
	How dare you think you can buy alcohol without an ID. Go away.

Feedback when correct:

That's right! It's important to practice World Class Customer Service even when refusing an alcohol sale. Never judge or be accusatory towards the customer.

Feedback when incorrect:

You did not select the correct responses. It's important to practice World Class Customer Service even when refusing an alcohol sale. Never judge or be accusatory towards the customer.

Correct (Slide Layer)



Knowledge Check: Refusing a Sale

Select all professional and polite responses to a customer who cannot show valid proof of age to purchase alcohol.

☒ I'm sorry, t

☒ I'm sorry, I

☒ I'm sorry, t

☐ How dare y

Correct

That's right! It's important to practice World Class Customer Service even when refusing an alcohol sale. Never judge or be accusatory towards the customer.

Continue



Incorrect (Slide Layer)



Knowledge Check: Refusing a Sale

Select all professional and polite responses to a customer who cannot show valid proof of age to purchase alcohol.

☒ I'm sorry, t

☒ I'm sorry, I

☒ I'm sorry, t

☐ How dare y

Incorrect

You did not select the correct responses. It's important to practice World Class Customer Service even when refusing an alcohol sale. Never judge or be accusatory towards the customer.

Continue



Knowledge Check: Refusing a Sale

Select all professional and polite responses to a customer who cannot show valid proof of age to purchase alcohol.

☒ I'm sorry, but I cannot sell you alcohol without proper ID.

☒ I'm sorry, but I cannot sell you alcohol without proper ID.

☒ I'm sorry, but I cannot sell you alcohol without proper ID.

☐ How dare you! You're going to get in trouble!

Incorrect

That is incorrect. Please try again.

Try Again

(True/False, 10 points, 1 attempt permitted)

Knowledge Check: Incident Reporting

A customer came through your line trying to buy beer with what appeared to be a fake ID. You have refused to sell them the product. What should you do next?

- ☐ Confiscate their ID and call the Manager On Duty
- ☒ Make note of the time of day, register, and other relevant facts to email to LossPrevention@naturalgrocers.com

Correct	Choice
	Confiscate their ID and call the Manager On Duty

- X Make note of the time of day, register, and other relevant facts to email to
LossPrevention@naturalgrocers.com

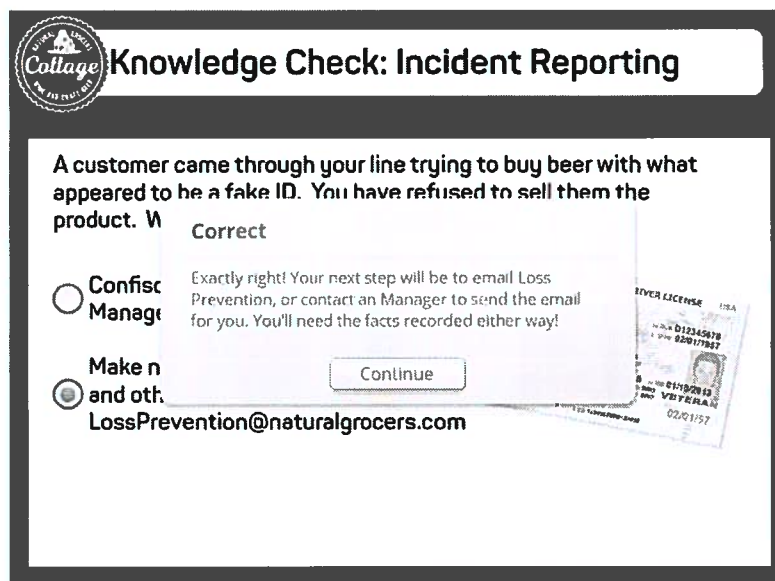
Feedback when correct:

Exactly right! Your next step will be to email Loss Prevention, or contact an Manager to send the email for you. You'll need the facts recorded either way!

Feedback when incorrect:

Under no circumstances are you permitted to take a customer's ID. Take notes on what occurred so you or a Manager can email the details to Loss Prevention

Correct (Slide Layer)



The slide is titled "Knowledge Check: Incident Reporting" and features a "Collage" logo in the top left corner. The main text describes a scenario: "A customer came through your line trying to buy beer with what appeared to be a fake ID. You have refused to sell them the product." Below this, a "Correct" feedback box states: "Exactly right! Your next step will be to email Loss Prevention, or contact an Manager to send the email for you. You'll need the facts recorded either way!" To the right of the text is an image of a "VERMONT DRIVER LICENSE" for a male, born 01/18/1983, with a license number D12345678 and an expiration date of 02/01/17. On the left, there are two radio button options: "Confiscate and Manage" (unselected) and "Make note and other" (selected). Below the "Make note and other" option is the email address "LossPrevention@naturalgrocers.com". A "Continue" button is located at the bottom center of the slide.

Incorrect (Slide Layer)

 **Knowledge Check: Incident Reporting**

A customer came through your line trying to buy beer with what appeared to be a fake ID. You have refused to sell them the product. What should you do?

☐ **Incorrect**

☐ **Confiscate the ID and inform the Manager** Under no circumstances are you permitted to take a customer's ID. Take notes on what occurred so you or a Manager can email the details to Loss Prevention

☒ **Make a note in the system and email the details to LossPrevention@naturalgrocers.com**



3.8 You are presented with an out-of-state ID that you haven't seen before. The information on the ID all looks correct (picture matches, birth date, and not expired). What should you do to verify that the ID is valid?

(Multiple Choice, 10 points, 1 attempt permitted)

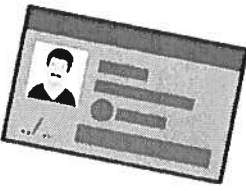
 **Knowledge Check: Checking IDs**

You are presented with an out-of-state ID that you haven't seen before. The information on the ID all looks correct (picture matches, birth date, and not expired). What should you do to verify that the ID is valid?

☐ Call the ID Info Support phone number and get some advice

☒ Reference the ID Checking Guide to make sure the ID design matches what is in the book

☐ Ask for a second form of ID



Correct	Choice
	Call the ID Info Support phone number and get some advice
X	Reference the ID Checking Guide to make sure the ID design matches what is in the book
	Ask for a second form of ID

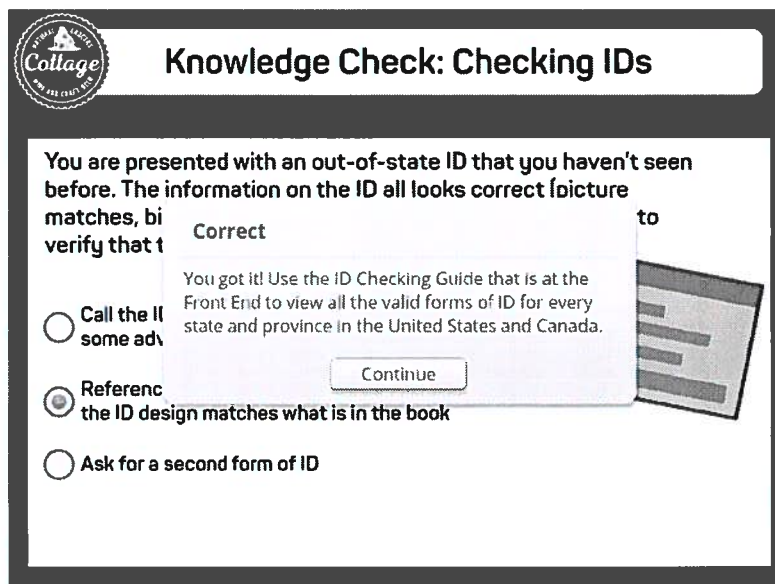
Feedback when correct:

You got it! Use the ID Checking Guide that is at the Front End to view all the valid forms of ID for every state and province in the United States and Canada.

Feedback when incorrect:

You did not select the correct response. Use the ID Checking Guide that is at the Front End to view all the valid forms of ID for every state and province in the United States and Canada.

Correct (Slide Layer)



The screenshot shows a presentation slide titled "Knowledge Check: Checking IDs" with a "Collage" logo in the top left. The slide text reads: "You are presented with an out-of-state ID that you haven't seen before. The information on the ID all looks correct (picture matches, bi to verify that t". Below this text are three radio button options: "Call the ID some adv", "Reference the ID design matches what is in the book", and "Ask for a second form of ID". A semi-transparent feedback box is overlaid on the slide, indicating the correct answer. The box contains the text: "Correct", "You got it! Use the ID Checking Guide that is at the Front End to view all the valid forms of ID for every state and province in the United States and Canada.", and a "Continue" button. To the right of the text in the feedback box is a small graphic of a document or ID card.

Incorrect (Slide Layer)



Knowledge Check: Checking IDs

You are presented with an out-of-state ID that you haven't seen before. The information on the ID all looks correct (picture matches, biometric information matches, etc.). What do you do to verify that it is a valid ID?

Incorrect

You did not select the correct response. Use the ID Checking Guide that is at the Front End to view all the valid forms of ID for every state and province in the United States and Canada.

☐ Call the ID holder and ask for some additional information.

☒ Reference the ID design matches what is in the book.

☐ Ask for a second form of ID.

[Continue](#)



4. House Rules

4.1 House Rules



SECTION 2

House Policies

- Checking IDs
- Refusing Sales
- Reporting Incidents
- Required Store Signage
- Additional Training Requirements
- Tastings/Demos

[Continue](#) →

4.2 Checking ID

(Pick Many, 10 points, 1 attempt permitted)



Ask for ID

At Natural Grocers, our house policy is to check the ID of **EVERYONE** purchasing a product from the Cottage product sets, including non-alcoholic beer and non-alcoholic wine (at select locations).

Click the pictures below to indicate which of these customers should have their IDs checked when buying any of our alcoholic products.

Select all that apply then click **SUBMIT**.



Correct	Choice
X	Picture 2
X	Picture 3
X	Picture 4
X	Picture 6
X	Picture 9
X	Picture 11
X	Picture 5
X	Picture 7
X	Picture 10
X	Picture 12

Feedback when correct:

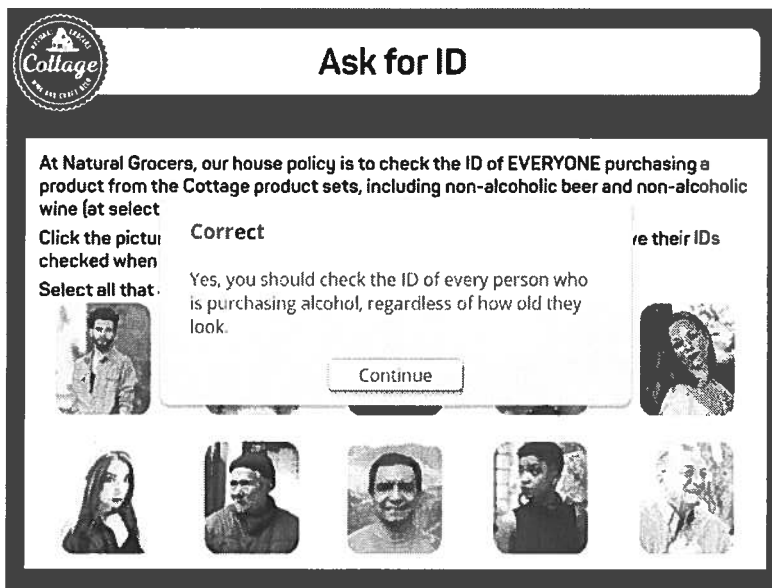
Yes, you should check the ID of every person who is purchasing alcohol, regardless of how old they look.

Feedback when incorrect:

Oops, looks like you may have forgotten someone. You must check the ID of every person purchasing alcohol, regardless of how old they look.

Notes:

Correct (Slide Layer)



Incorrect (Slide Layer)



Ask for ID

At Natural Grocers, our house policy is to check the ID of **EVERYONE** purchasing a product from the Cottage product sets, including non-alcoholic beer and non-alcoholic wine (at select locations).

Click the picture of the person you checked when they showed their ID.

Select all that apply.

Incorrect

Oops, looks like you may have forgotten someone. You must check the ID of every person purchasing alcohol, regardless of how old they look.

Continue



4.3 Checking ID



Acceptable Forms of ID

The following **unexpired** and **unaltered** IDs are accepted:

- State Driver's License
- District of Columbia Driver's License
- ID card from a US State, Dist. Of Columbia, Puerto Rico, Guam, Northern Mariana, US Virgin Islands or American Samoa
- ID card issued by a federally recognized Indian Tribe
- Passport or Passport card
- US Military ID card
- Vertical IDs, as long as the ID is valid, not expired, and the customer is 21 years of age

You may not accept paper or temporary IDs.

Continue →

4.4 How to Ask for ID

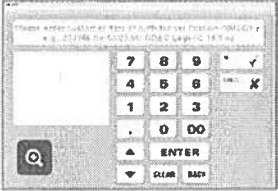


How to Ask For and Check ID

1. After scanning an alcoholic product, a prompt will display on the screen asking for birth date verification.

2. Ask the customer to hand you their ID.

- Do not accept nor handle a customer's wallet
- The ID must show: photo, name, and date of birth



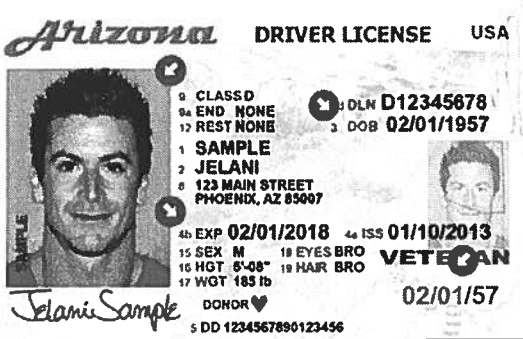
Continue →

license (Slide Layer)



How to Ask For and Check ID

Hover over or click each red arrow below to learn more about checking and verifying IDs.



Arizona DRIVER LICENSE USA

CLASS
1a END NONE
12 REST NONE

DLN D12345678
DOB 02/01/1957

NAME
1 SAMPLE
2 JELANI
3 123 MAIN STREET
4 PHOENIX, AZ 85007

EXP 02/01/2018 **ISS** 01/10/2013
SEX M **EYES** BRO **VETERAN**
HGT 5'40" **HAIR** BRO
WGT 185 lb

DD 1234567890123456

ID Checking Guide Video →

ID Checking Video (Slide Layer)



How to Use the ID Checking Guide



00:00 / 01:46

Continue →

ID Checking Guide (Slide Layer)



ID Checking Guide Recap

- A copy of the current year's **ID Checking Guide** which provides examples of ID cards for all states and provinces in the U.S. and Canada is located at the Front End.
- Use the ID Checking Guide any time you're presented with an ID form you aren't familiar with to verify that it is an authentic ID.
- Fake and unapproved IDs are an industry issue, and it is illegal for you to accept IDs that are fake, expired, belong to someone else, or identify the person as under 21.
- If your store is missing an ID Checking Guide, please contact Training@naturalgrocers.com.



Continue →

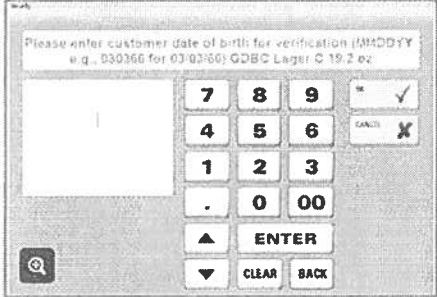
enterdate (Slide Layer)



How to Ask For and Check ID

2. After reviewing the ID you will enter their birth date on the screen in MMDDYY format.

- Example: If the customer's birth date is July 4, 1986, you would enter 070486.
- Note: You only need to enter the date once and it will apply to all alcoholic beverages in the transaction.



3. Press OK.

- If the system verifies that the customer is 21 or older you'll be able to proceed with the transaction.

Additional Scenarios →

Additional Scenarios (Slide Layer)



How to Ask For and Check ID

- If the date of birth entered is **too young** to purchase alcohol, the system will prompt an error *"Age does not meet criteria for purchasing this item. Enter birth date again?"*
 - If the date of birth is **correct** and the customer is too young, refuse the sale, by saying, *"I'm sorry you are not 21 years or older so I cannot legally complete this sale."*
 - Remove the product from the counter to be restocked.
 - If the date was entered **incorrectly**, press YES and enter the correct birth date.

Up next, you'll learn more about how and when to refuse alcohol sales. Refusing a Sale →

4.5 Refusing a Sale



Refusing a Sale

You must refuse an alcohol sale when the customer is unable to provide proof of legal age (the ID appears fake, does not match the individual, has expired, or the person has no ID). It is also your legal duty to refuse sale in the following situations:

- The person is apparently attempting to purchase alcohol for anyone under 21.
- The person appears intoxicated (shows two or more signs of Intoxication).
 - Common signs include swaying while standing, glassy eyes, and smelling like alcohol.
 - You can find a more complete list of signs linked in the course Resources.



Continue →

4.6 VIDEO Refusing Sale



How & When to Refuse Alcohol Sales



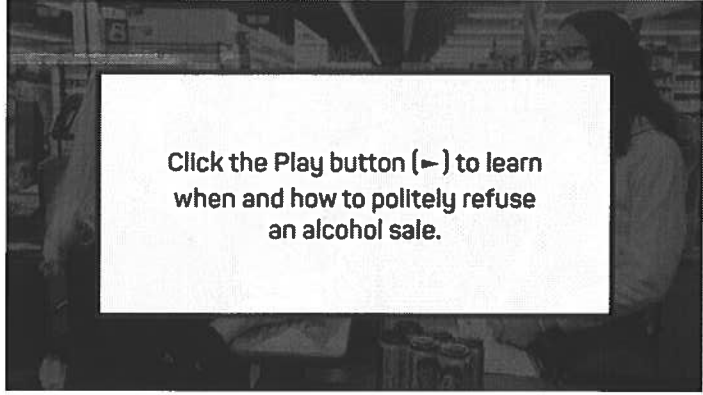
00:00 / 02:44

Continue →

VideoIntro (Slide Layer)



How & When to Refuse Alcohol Sales



Click the Play button (▶) to learn when and how to politely refuse an alcohol sale.

00:00 / 02:44

Continue →

4.7 VIDEO How to Check IDs



How & When to Check IDs



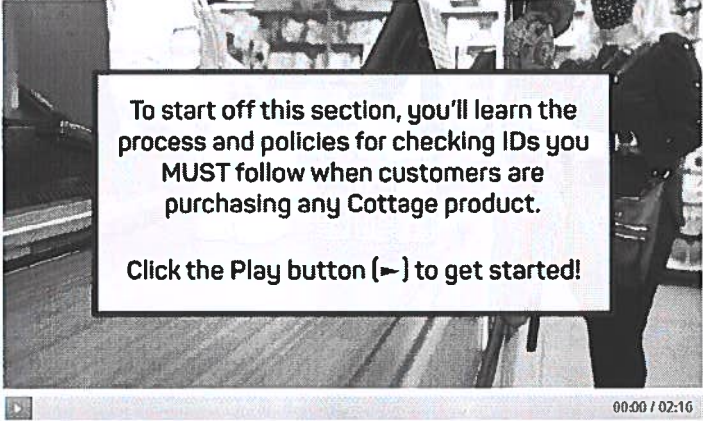
00:00 / 02:16

Continue →

VideoIntro (Slide Layer)



How & When to Check IDs



To start off this section, you'll learn the process and policies for checking IDs you **MUST** follow when customers are purchasing any Cottage product.

Click the Play button (▶) to get started!

00:00 / 02:16

Continue →

4.8 Refusing2



Crew Responsibility

Any Crew member who sells alcohol illegally will be subject to disciplinary action up to and including termination of employment, in addition to receiving criminal citations, monetary penalties, and jail time in accordance with state law.

Penalties vary by state but may range from fines of \$200-\$5,000 and may include community service and a mandatory sentence of not less than 30 days in jail.

If you feel uncomfortable refusing the sale or if the customer becomes upset, call a Manager for assistance.

Even though the register screen displays a prompt to enter the customer's birth date when an alcoholic item is scanned, you are responsible for being familiar with the alcoholic products that your store carries so you know when to ask a customer for ID in case there is ever a glitch or error with the register system.

How to Refuse a Sale →

4.9 How to Refuse



How to Refuse an Alcohol Sale Recap

- Always practice World Class Customer Service, even when refusing an alcohol sale. Be polite and courteous, and do not judge or be accusatory towards the customer.
- Calmly explain to the customer that you cannot sell alcohol to them, but do not get into specifics of why you are refusing the sale.

Click for examples of what you SHOULD NOT say.

Click for examples of what you SHOULD say.

DO SAY:

- "I'm sorry, but I cannot sell alcohol to you at this time."
- "I'm sorry, but I can lose my job if I sell alcohol to you today."
- "I'm sorry, I cannot sell the alcohol to you today. Would you like to purchase food or a different beverage?"
- "I'm sorry, but I cannot sell alcohol to you at this time. Please return with a valid ID and I would be happy to ring up your purchase."

Continue →

How to Refuse2 (Slide Layer)



How to Refuse and Alcohol Sale

- Remove the alcohol from the counter and finish up the transaction or move on to the next customer in line.
- After the customer leaves, notify the Store Manager/Assistant Manager/Manager on Duty when you refuse a sale of alcohol to anyone, so that they may notify Loss Prevention (more details on the Incident reporting process coming up soon).

IMPORTANT

- Do not give in to the customer. Remember, you can be held personally liable for an illegal sale.
 - If needed, call a Manager to help you when refusing an alcohol sale or to diffuse a difficult situation.
- Please note that if you are refusing an alcohol sale to a customer for any reason, it is against Natural Grocers' policy to confiscate IDs from customers, including fake IDs.

Continue →

4.10 Incident Reporting



Incident Reporting for Refused Sales

Loss Prevention (LossPrevention@naturalgrocers.com) should be contacted anytime a customer is refused the purchase of alcohol. This applies (but is not limited to) the situations below:

- ✓ Customer was intoxicated
- ✓ Customer was underage
- ✓ Customer did not have valid identification

In the email to Loss Prevention, provide as much information and relevant details as possible, including but not limited to:

- ✓ Time of day
- ✓ Register where purchase was refused
- ✓ Why purchase was refused
- ✓ Any additional notes

Reporting refused sales to Loss Prevention is important because it provides documentation that you and your store made a reasonable effort to decline the sale.

[More on Incident Reporting →](#)

Reporting2 (Slide Layer)



Incident Reporting for Refused Sales

- Loss Prevention should also be notified anytime the following situations arise:
 - ✓ A significant loss is known after completing inventory counts
 - ✓ Alcohol is seen inside the Break Room or Buyers' Office without receipt
 - ✓ Alcohol is seen being stored at a cashier's register and no customers are present to purchase
 - ✓ Alcohol is stolen by a shoplifter
 - ✓ A Crew member is consuming alcohol in the store or on company property, with the exception of participating in a tasting (tastings are applicable in Arizona, Louisiana, Missouri, Oregon (except GH), Texas, and DT)
- Include as many details as possible about the situation to help Loss Prevention understand the issue and find an appropriate resolution.

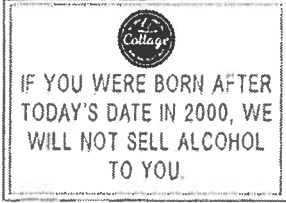
[Store Signage →](#)

4.11 Signage



Required Signage

- All Cottage stores are required to post the following signs. Please note the location where each sign must be posted.
 - Liquor License (by other store licenses, i.e., Certificate of Occupancy, Tax License, etc.)
 - House Policies (post in the Buyers' Office)
 - "If You Were Born After" Customer Facing Register Signs (at every register)
 - DT Store Only: This sign only needs to be at the register in The Cottage Store.
 - Group Carding Sign (post in the vestibule)
 - State and Location Specific Signs
 - Store Managers/Assistant Store Managers: Please review The Cottage - Alcohol Selling Guidelines and Restrictions SOP and print state and location specific signage relevant to your location.



Example "If You Were Born After" Register Sign

Crew Purchases & Discount! ➔

4.12 Crew Purchases



Crew Purchases & Discount Policies

Natural Grocers Crew members receive a 15% discount on Cottage products. Cheers!

- Crew must show identification when making Cottage Purchases.
- Crew may only purchase Cottage products while they are off the clock during regular selling hours.
- If product from the Cottage is purchased before the start of a shift or on a lunch break, purchased product may be stored in the Crew member's locker, with receipt.
- Purchased product from the Cottage cannot be consumed on company property.



Continue ➔

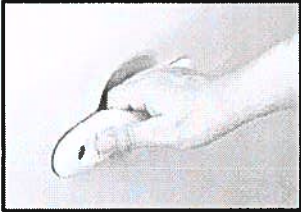
4.13 Driving Intoxicated



Next Steps and Incident Reporting

In addition, if you refuse a sale of alcohol to a customer because they are showing signs of being visibly intoxicated, *and* that customer leaves the store and gets into the driver's seat of a vehicle, you have a responsibility to call the police.

Provide them with a description of the vehicle (including license plate number) and customer so they can address this public safety issue.



Incident Reporting →

4.14 Additional Training Requirements



Additional Training Requirements

Each Crew member must follow local and state training and certification requirements.

Below, you are asked to click a link to review your store's unique training and certification requirements. To return to this course window after clicking the link, click the Chrome icon at the bottom of your screen and then select the course window thumbnail.

Click the green button now to watch a video example of this process.



After you've watched the video above, click the following link to review your training and certification requirements: [The Cottage – Employee Certification Requirements](#)

- Your Store Manager will assign the appropriate training as required. Ask your Store Manager for details.

More →

Additional Training Requirements2 (Slide Layer)



Additional Training Requirements

Eligible Crew must obtain their certifications by the state designated deadline as a part of their job requirement.

- Certification training and exams must be completed during a scheduled shift. Missing a scheduled training will result in disciplinary action.
- If a Crew member does not pass their certification exam on the first attempt, the Crew member will be required to pay for the retest. This may include paying to attend a live class.
- Failing a second time will result in termination of employment.

More →

Additional Training Requirements3 (Slide Layer)



Additional Training Requirements

All Crew who have obtained their applicable certification must keep their certification card in the store while on the clock, so they are able to present it if requested during an inspection.

The certification card must be kept in one of the following areas:

- On their person, such as in a wallet or work apron
- In the Crew member's locker



NOTE: Stores in Oregon and Oklahoma must keep a copy of each certified Crew member's certification in the R Serving Binder at the store.

Continue →

4.15 Tastings



Tastings

- Your store may occasionally have in-store demos/tastings for products from The Cottage set.
- Tastings are a great way to drive sales and increase customer knowledge of our products, but there are strict rules that must be followed whenever a tasting is occurring at your store.
- You must follow **The Cottage - In-Store Demos SOP** which includes a full list of instructions for conducting a successful tasting including how to set it up, write-off product, engage with customers, and clean up after the demo.
- GH store, tastings are not allowed at your store, so this information does not apply to you. Click the green button below.

[GH Store Crew ONLY: Click Here](#)

[Continue →](#)

Tastings2 (Slide Layer)



Tastings

Below are important policies to know about **CONDUCTING** tastings:

- All Crew facilitating an in-store demo/sampling event **must** have their certification card on their person during the demo/sampling.
- Any leftover product from the tasting must be disposed of/ poured out.
- Crew members and customers **CANNOT**:
 - Consume the product in the store once the tasting has ended
 - Take leftover product home
- It is company policy that vendors are not allowed to give samples to any Crew member to take home.



[Continue →](#)

Tastings3 (Slide Layer)



Tastings

Below are important policies to know about PARTICIPATING in tastings as a Crew member:

- ✓ Crew may participate in tastings if
 - The event is held during a day they are not scheduled to work or after their shift ends and they are clocked out.
- ✗ Crew CANNOT participate in tastings if
 - The event is held during their shift
 - They are going to be clocking in after the event. This means Crew may not participate if they are clocked out for lunch and will be clocking in again to resume a shift.

Continue →

4.16 Tastings Intro



Tastings

COLORADO (except for DT), KANSAS, OKLAHOMA & the GH store:

- Stores in Colorado (except for DT), Kansas, and Oklahoma are NOT allowed to conduct tastings/demos for alcoholic beverages per state law, and the GH store is not allowed per the landlord agreement.

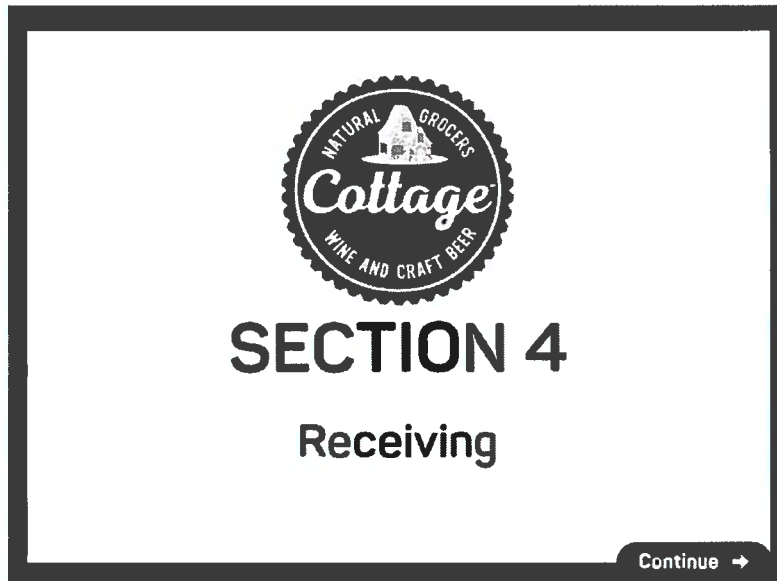
ARIZONA, LOUISIANA, MISSOURI, OREGON (except GH), TEXAS, & the DT store:

- At times, tastings/demos will be scheduled and held for your customers.
- You will learn more about tastings next.

Continue →

5. Receiving

5.1 Receiving Title



5.2 Receiver?

Choose One

Please select an option below:

I am a:

- Receiving Manager
- Receiving Assistant
- Store Manager
- Assistant Manager
- Department Manager who frequently assists with Receiving

I am not a Department Manager and do not assist in Receiving.

AM (Slide Layer)



Choose One

Please select an option below:

You said you were a Receiving Manager,
Receiving Assistant, Store Manager, Assistant
Store Manager or Department Manager who
frequently assists with Receiving.
Is this correct?

NOT (Slide Layer)



Choose One

Please select an option below:

You said you were NOT a Department Manager
and do not assist in Receiving.
Is this correct?

5.3 NonReceiving



Receiving Cottage Products

Please let your Receiving Manager, Assistant Store Manager, or Store Manager know if there is a delivery for alcoholic product.

- It is a legal requirement that someone at the store sign that they have received and taken control of the alcohol that has been delivered.
- If the Receiving Manager is not available to receive the delivery, you **MUST** page an MOD trained on receiving procedures to receive the alcohol delivery and sign for it.
- If you are not trained on receiving procedures, **DO NOT** sign the invoice. By signing you are confirming that the delivery is correct and complete, and you are committing the receiving entity to pay for the full amount of the invoice.

Closing →

5.4 Receiving



Receiving Cottage Products

- It is a legal requirement that someone at the store sign that they have received and taken control of the alcohol as soon as it is delivered.
- If the Receiving Manager is not available to receive the delivery, any other Crew member trained on receiving procedures and access to SAP must receive the alcohol delivery and sign for it.
- By signing the invoice, the Crew member is confirming that the delivery is correct and complete, and they are committing the receiving entity to pay for the full amount of the invoice.
- The signature of the person receiving the alcohol is mandated by state statute. Failure to comply will result in disciplinary action.

Continue →

DT Receiving (Slide Layer)



Receiving Cottage Products

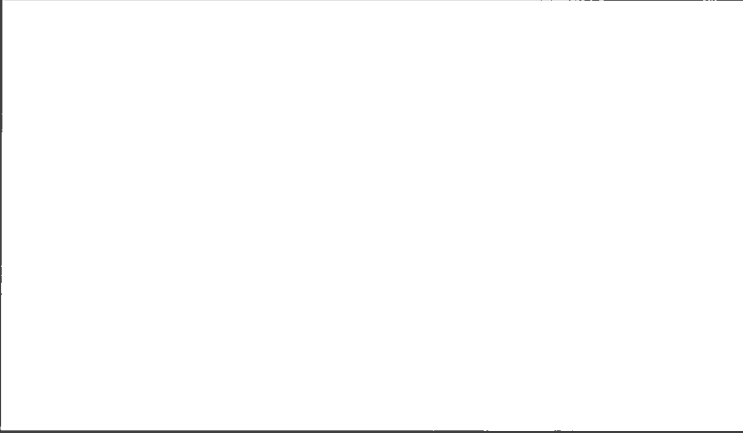
- Product containing alcohol must be received by Crew who is 18 or older.
- Once product is received, it must be taken to Cottage Wine and Craft Beer immediately by Crew.



- Beer, wine and other alcoholic beverages must only be stored in the designated storage areas in Cottage Wine and Craft Beer.

Continue →

5.5 Receiving Process



Notes:

1- Fintech (Slide Layer)



Receiving with Fintech

Your store is required to pay for alcohol purchase orders upon delivery. Fintech is a service that provides us a secure way to pay for these deliveries electronically without having to worry about having cash or checks on hand at the time of delivery.

Because we are paying upon delivery, it means that we cannot receive a credit or refund on items that were found to not have been delivered at a later time. Any discrepancies found at a later date will be cycle counted at the store level and have an impact on the store's All In Shrink.

Let's review the instructions for receiving alcohol POs with Fintech and how to accurately handle damages.

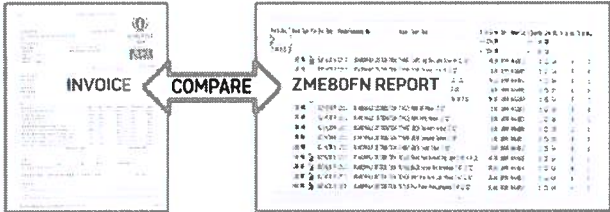
Continue →

2 (Slide Layer)



Receiving

1. Follow the QRG Receiving – GR with PO to receive alcohol Purchase Orders in SAP.
2. Print a copy of the ZME80FN report of the PO you're receiving to compare against the order's invoice.



The diagram illustrates the process of comparing an invoice with a ZME80FN report. On the left is a screenshot of an 'INVOICE' document. On the right is a screenshot of a 'ZME80FN REPORT' which contains a table of data. A large double-headed arrow labeled 'COMPARE' points between the two documents.

ITEM	QTY	UNIT	PRICE	TOTAL
1	12	DOZ	1.50	18.00
2	6	DOZ	2.50	15.00
3	12	DOZ	1.50	18.00
4	6	DOZ	2.50	15.00
5	12	DOZ	1.50	18.00
6	6	DOZ	2.50	15.00
7	12	DOZ	1.50	18.00
8	6	DOZ	2.50	15.00
9	12	DOZ	1.50	18.00
10	6	DOZ	2.50	15.00

Example images only. Click NEXT to continue.

Continue →

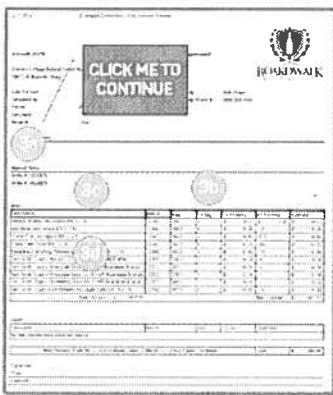
3 (Slide Layer)



Receiving

3. Receivers must note the following on the invoice:

- Make sure the PO is on the invoice.
 - If it isn't, look in SAP for a corresponding open PO and hand write the PO on the invoice (instructions on this process later in this course).
 - If there is no PO already created in SAP, either by the store or the SSC, refuse the product since alcohol cannot be received using the DSD process (GR without PO).
- Circle the quantity received of each item or write down what you actually received.
- Make notes on incorrect or damaged items.
- Note and circle any discrepancies.



Item	QTY	UNIT	PRICE	TOTAL
1	10	EA	1.25	12.50
2	5	EA	2.50	12.50
3	10	EA	1.25	12.50
4	5	EA	2.50	12.50
5	10	EA	1.25	12.50
6	5	EA	2.50	12.50
7	10	EA	1.25	12.50
8	5	EA	2.50	12.50
9	10	EA	1.25	12.50
10	5	EA	2.50	12.50

Continue →

3a (Slide Layer)



Special Notes

Order # 12345678 ✓

Order # 12345679 ✓

3b (Slide Layer)

				
Description	Item #	Size	CS Qty	
Hanson Brothers Minneaps 6.4 12 CN	12345	250.0	1	1
Iron Horse 5.8 12 Wheat 4 6 12 CN	12346	250.0	1	1
Phone Phantasmagoria 6.4 12 CN	12347	250.0	1	1
Phone Vape Traxx 6.4 12 CN <i>damaged</i>	12348	250.0	1	0
Roughball Everything Rhymes with Orange IPA 4.6 12 CN	12349	250.0	1	1
Sam Smith Organic Apple 12 12 7 NR Boardwalk Brands	12350	224.4	1	1
Sam Smith Organic Chocolate Stout 6.4 12 NR Boardwalk Brands	12351	250.0	1	1
Sam Smith Organic Chocolate Stout 12 12 7 NR Boardwalk Brands	12352	224.4	1	1
Sam Smith Organic Strawberry Stout 6.4 12 7 NR Boardwalk Brands	12353	250.0	1	1
Sam Smith Organic Pure Brewed Org Lager Cans 5.4 12 6 CN	12354	357.6	1	1
Beer Cans 1 3040.00				

3c (Slide Layer)

				
Description	Item #	Size	CS Qty	
Hanson Brothers Minneaps 6.4 12 CN	12345	250.0	1	1
Iron Horse 5.8 12 Wheat 4 6 12 CN	12346	250.0	1	1
Phone Phantasmagoria 6.4 12 CN	12347	250.0	1	1
Phone Vape Traxx 6.4 12 CN <i>damaged</i>	12348	250.0	1	0
Roughball Everything Rhymes with Orange IPA 4.6 12 CN	12349	250.0	1	1
Sam Smith Organic Apple 12 12 7 NR Boardwalk Brands	12350	224.4	1	1
Sam Smith Organic Chocolate Stout 6.4 12 NR Boardwalk Brands	12351	250.0	1	1
Sam Smith Organic Chocolate Stout 12 12 7 NR Boardwalk Brands	12352	224.4	1	1
Sam Smith Organic Strawberry Stout 6.4 12 7 NR Boardwalk Brands	12353	250.0	1	1
Sam Smith Organic Pure Brewed Org Lager Cans 5.4 12 6 CN	12354	357.6	1	1
Beer Cans 1 3040.00				

3d (Slide Layer)



Description	Item #	Size	CS Qty	U
Hudson Brothers Marmalade 6.4 FL OZ	12345	250 O	1	✓
Iron Monk Cider Vinegar 4 FL OZ	12346	250 O	1	8
Prune Champagne 6.4 FL OZ	12347	250 O	1	5
Prune Juice 6.4 FL OZ <i>ON ORDER</i>	12348	250 O	1	5
Rough Cut Everything Ketchup with Orange IPA 4.5 FL OZ	12349	250 O	1	5
Sam Smith Organic Apple Cider 12 FL OZ - Beardslee Brands	12350	250 O	1	5
Sam Smith Organic Chocolate Cider 6.4 FL OZ - Beardslee Brands	12351	250 O	1	1
Sam Smith Organic Chocolate Cider 12 FL OZ - Beardslee Brands	12352	250 O	1	5
Sam Smith Organic Strawberry Cider 6.4 FL OZ - Beardslee Brands	12353	250 O	1	5
Sam Smith Organic Pure Brewed 12g Lager Cans 6.4 FL OZ <i>DLA</i>				<i>not order</i>
Beer Curses 1 30413				

4 (Slide Layer)



Receiving

- The last piece of information the Receiver must record on the invoice is the **GR** number.
- Send the invoice by the end of the day to WineandBeerInvoices@naturalgrocers.com

IMPORTANT: If invoices aren't emailed by the end of the day, it can result in the vendor not being paid, which can lead to the store's account being put on hold until payment is made. While on hold, the vendor will not deliver product to the store leading to out of stocks and loss of sales.

Continue →

4 - Fintech (Slide Layer)



Receiving

3. The last piece of information the Receiver must record on the invoice is the **GR number**.

4. Send the invoice by the end of the day to FintechInvoices@naturalgrocers.com to ensure correct amounts are paid and documented in accounting.

Continue →

5 (Slide Layer)



Receiving

4. **DO NOT SIGN THE INVOICE UNTIL ALL DISCREPANCIES HAVE BEEN NOTED** - Ensure that all discrepancies have been noted on the invoice.

5. If all looks good, sign off on the invoice! Ask the driver to sign off on the invoice, as well.

No new credited items since last invoice		
Beer Ounces: 3,046.80 Out of Stock Liters: 2,084.30 11		
Signatures		
Driver:	IM Driver	
Customer:	DA Receiver	

Continue →

6 (Slide Layer)



Receiving

6. Log into SAP and close (DCI) the PO.

7. Keep all invoices and credits on file:

- ARIZONA, LOUISIANA, MISSOURI & OREGON stores: for 2 years, then shred
- KANSAS OKLAHOMA stores: for 3 years, then shred
- COLORADO, TEXAS stores: for 4 years, then shred



[Additional Receiving Scenarios →](#)

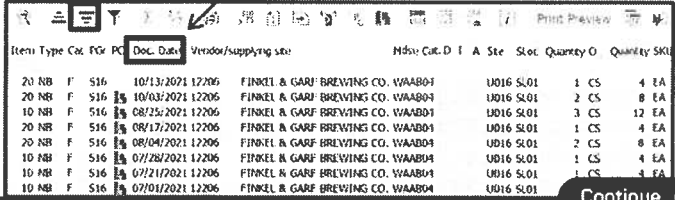
6b (Slide Layer)



How to Look Up a PO for Alcohol

If the PO is not on the invoice, you will need to complete the following steps to look it up in SAP:

1. Log into SAP
2. Use transaction ME2M
 - This transaction shows all POs for a specific article ordered for your store
3. Grab an item that was delivered. Type its UPC (using =n. formula) in the Article field
4. Ensure your site is correctly populated
5. Press Execute
6. Once the POs populate, click the Doc. Date column and sort it in Descending Order.



[Continue →](#)

6c (Slide Layer)



How to Look up PO for Alcohol

7. Look at the POH column.

- If it is empty this specific item has not been received on that PO.
- If the column has a multi-colored icon, it means it was received.

8. Find the line that has not been received. Click on the cell for that row in the Item column to open up the PO.

- Verify if the PO matches the rest of the items that are being delivered and/or if the other items on the PO have not yet been received. If they haven't and the PO corresponds to the delivery, write the PO number on the invoice and receive the product.

Remember, if there is no PO already created in SAP, either by the store or the SSC, refuse the product since alcohol cannot be received using the DSD process (GR without PO).

Items	Type	Cat	PO#	Doc.	Date	Vendor/supplying site	Hide	Cut	D	I	A	See	Sloc	Quantity O	Quantity SKU
20	NB		7a		10/13/2021	12206							UD16 SL01	1 CS	4 EA
20	NB		7b		10/03/2021	12206							UD16 SL01	2 CS	8 EA
10	NB				08/25/2021	12206							UD16 SL01	3 CS	12 EA
20	NB				08/17/2021	12206							UD16 SL01	1 CS	4 EA
20	NB	F	51		08/01/2021	12206							UD16 SL01	2 CS	8 EA
10	NB	F	51		07/28/2021	12206							UD16 SL01	1 CS	4 EA
10	NB	F	51		07/21/2021	12206							UD16 SL01	1 CS	4 EA
10	NB	F	51		07/01/2021	12206							UD16 SL01	1 CS	4 EA

Continue →

7 (Slide Layer)



What About Damages?

You may come across damaged items upon delivery. Click the buttons below to find out what to do in each scenario.

**FULL case
is damaged**

**PARTIAL case
is damaged**

Continue →

7a (Slide Layer)



Full Case is Damaged

If the full case is damaged, do NOT accept the case. Refuse the case and make a note on the invoice, so the delivery driver may subtract from the final invoice.

Iron Monk Sassy Wheat 4.5/12 CN	12345	255.0	1	\$
Prune Phantomagona 5.4/12 CN	12347	255.0	1	\$
Prune Vape Trunks 6.4/12 CN <i>DAVE DAVE</i>	12348	255.0	1	\$
Roughcut Everything Rhymes with Orange IPA 4.6/12 CN	12349	255.0	1	\$
Sam Smith Organic Apricot 12/16.7 NR - Boardwalk Brands	12350	224.4	1	\$
Sam Smith Organic Chocolate Stout 6.8/12 NR Boardwalk Brands	12351	255.0	1	\$

[← Back](#)

7b (Slide Layer)



Partial Case is Damaged

If only part of the case is damaged, do not receive a partial case. If a partial case is damaged, you have two options:

1. Receive the FULL case and note how many were damaged on the invoice. After closing the purchase order (DCI'ing), create an RPO to request credit.

Description	Item #	Price	CS Qty
Hudson Brothers Mermaid 5.4/12 CN	12343	255.0	1
Iron Monk Sassy Wheat 4.5/12 CN <i>DAVE DAVE</i>	12345	255.0	1
Prune Phantomagona 5.4/12 CN	12347	255.0	1
Prune Vape Trunks 6.4/12 CN	12348	255.0	1
Roughcut Everything Rhymes with Orange IPA 4.6/12 CN	12349	255.0	1
Sam Smith Organic Apricot 12/16.7 NR - Boardwalk Brands	12350	224.4	1

2. OR refuse the entire case and make sure to note it on the invoice.

Choose one of the options above, but do NOT receive a partial case.

[← Back](#)

8 (Slide Layer)



Non-Cottage Products?

- This may rarely occur, but you should know that stores **CANNOT** receive Cottage products and non-Cottage products on the same PO.
- If the vendor has combined both types of products on one invoice, you must choose to receive either the Cottage products or the non-Cottage products. Make sure you make a note on the invoice.

Continue →

8 - Fintech (Slide Layer)



Non-Cottage Products?

- This may rarely occur, but you should know that Fintech **CANNOT** receive non-Cottage products.
- If the vendor has combined both Cottage and non-Cottage products onto one invoice, you must either **REFUSE** the delivery or **ONLY** receive the alcoholic product. Make sure you make a note on the invoice.
- If a vendor is requesting to use Fintech to pay for only non-alcoholic product, **REFUSE** the delivery.

Continue →

9 (Slide Layer)



Receiving Resource

- All the information we just covered may be found in The Cottage – Receiving SOP.
- You will also find troubleshooting steps, in case you come across any issues while receiving Cottage products.
- If you're unfamiliar with this process, read through the document to familiarize yourself. Be sure to find and read the instructions pertinent to your store's location.

Closing →

5.6 Closing

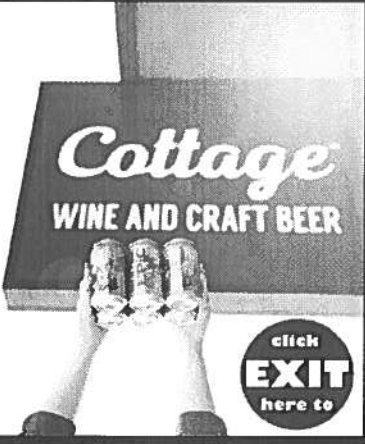


Thank You!

This concludes your introduction to the products, operations, and requirements of the Cottage Department of your store.

The Cottage area of SharePoint is linked in the course Resources and is where you'll find SOPs, signage, state-specific information and more.

Please complete any additional required training listed in The Cottage – Employee Required Certification SOP which is also linked in the Resources.



Notes:

6. Product Offerings

6.1 Section 1



Notes:

6.2 Beer Products List



Products in Your Cottage Set

Your store's Cottage section carries products from the following categories:

- Organic and/or local craft beer
- Gluten-free beer
- Hard/alcoholic kombucha
- Alcohol-containing seltzer
- Non-alcoholic beer



Continue →

Notes:

6.3 GF Beer variety



How Our Products Are Unique

We work with local breweries to provide a locally-focused selection of great craft beer, hard kombucha, and hard seltzer.

In addition, we have the greatest selection of certified gluten-free beer. Certified gluten-free means the beer is produced in a certified gluten-free facility which prevents cross-contamination.

Check out our Beer Customer Literature File (CLF) linked in the course Resources (upper right corner of this window).



Continue →

Notes:

6.4 Alcoholic Kombucha



A Note on Hard Kombucha

The Cottage carries hard kombucha that contains 0.5% alcohol or more. Hard kombucha must be treated like beer, and customers are legally required to be at least 21 years old to purchase it.

You must be aware of the hard kombucha brands your store carries, which may include GT's and Wild Tonic, to ensure legal compliance with ID checking.



[Continue →](#)

6.5 GTs 1



Differentiating GT's Products

Can you tell which of the GT's kombucha is hard and which one is non-alcoholic?

Look at the picture on the right and **click on the top or bottom row to choose which one is the hard kombucha.**



Correct (Slide Layer)



Differentiating GT's Products

You got it! The "black label" kombucha is the hard kombucha, and must be treated as if it were beer. The cap is black (normal GT's has a white cap) and the bottle is dark/black (normal has a clear bottle). The purchaser must present a valid ID and be 21 or older to purchase.



Continue →

Incorrect (Slide Layer)



Differentiating GT's Products

Not quite. The "black label" kombucha is the hard kombucha, and must be treated as if it were beer. The cap is black (normal GT's has a white cap) and the bottle is dark/black (normal has a clear bottle). The purchaser must present a valid ID and be 21 or older to purchase.



Continue →

6.6 GTs 2

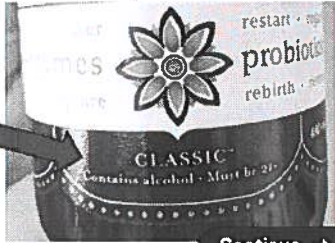
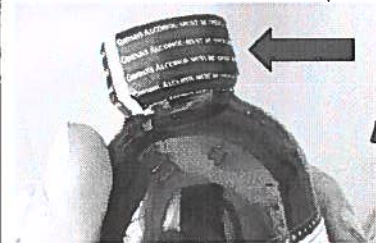


Differentiating GT's Products

GT's hard kombucha has two differences on the bottle:

1. The cap is wrapped in a black plastic seal that reads "CONTAINS ALCOHOL - MUST BE OVER 21."
2. The bottom of the label states "CLASSIC Contains alcohol - Must be 21+."

IDs must be checked for all GT's products that have either/both of these.



Continue →

6.7 Stickers



We Check ID Stickers

To make identification easier for cashiers, all hard kombucha singles must have a "WE CHECK ID" sticker placed on it before being stocked on the sales floor.

As a Crew member, you are responsible for knowing the difference between alcoholic and non-alcoholic products, even in the event the product does not have the "WE CHECK ID" sticker on it.



Your store uses these stickers as a tool to help identify hard kombucha singles.



Continue →

6.8 KansasNew



Sales Restrictions – Kansas Stores Only

Per Kansas state law, beer/malt beverages must be 6% or less ABV (alcohol by volume) to be sold at grocery stores.

- Keep this law in mind before promising special orders or bringing in new product.
- All Crew are responsible for checking each product's label before putting it on the shelf to make sure it meets the 6% or less ABV requirement.
- *Click the can to the right to check it's ABV.*



Kansas2 (Slide Layer)



Sales Restrictions – Kansas Stores Only

Per Kansas state law, beer/malt beverages must be 6% or less ABV (alcohol by volume) to be sold at grocery stores.

- Keep this law in mind before promising special orders or bringing in new product.
- All Crew are responsible for checking each product's label before putting it on the shelf to make sure it meets the 6% or less ABV requirement.
- *Click the can to the right to check it's ABV.*

Can this product be stocked at your store?

Yes No

PINEAPPLE & GINGER
6.5% ALC/VOL 16



Correct (Slide Layer)



Sales Restrictions – Kansas Stores Only

Per Kansas state law, beer/malt beverages must be 6% or less ABV (alcohol by volume) to be sold at grocery stores.

- Keep this law in mind before promising special orders or bringing in new product.
- All Crew are responsible for checking each product's label before putting it on the shelf to make sure it meets the 6% or less ABV requirement.
- *Click the can to the right to check it's ABV.*



CORRECT!
This product's ABV exceeds the maximum allowed for your store and cannot be stocked.

Continue →

Wrong (Slide Layer)



Sales Restrictions – Kansas Stores Only

Per Kansas state law, beer/malt beverages must be 6% or less ABV (alcohol by volume) to be sold at grocery stores.

- Keep this law in mind before promising special orders or bringing in new product.
- All Crew are responsible for checking each product's label before putting it on the shelf to make sure it meets the 6% or less ABV requirement.
- *Click the can to the right to check it's ABV.*



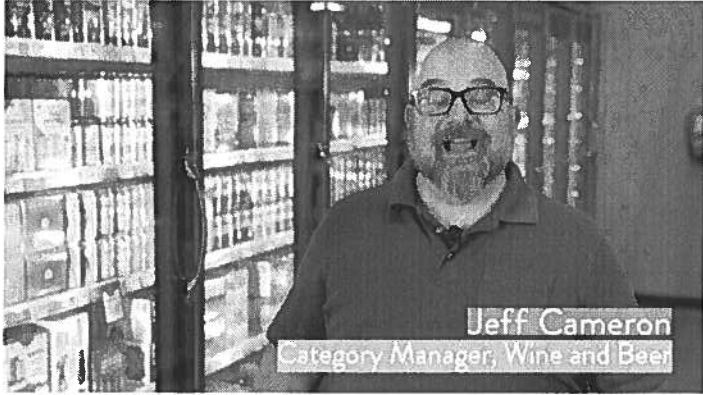
INCORRECT
This product's ABV exceeds the maximum allowed for your store and cannot be stocked.

Continue →

6.9 Cold Case Video



The Cottage Offerings



Jeff Cameron
Category Manager, Wine and Beer

00:00 / 01:47

Note: The mention of chilled rosé and sparkling wine does not apply to stores in Kansas or Colorado (except DT).

Continue →

Notes:

6.10 Wine & Beer Products



Products in Your Cottage Set

The Cottage stocks products from the following categories:

- Organic wine
- Biodynamic wine
- Organic and/or local craft beer
- Gluten-free beer
- Hard/alcoholic kombucha
- Alcohol-containing seltzer
- Non-alcoholic beer
- Non-alcoholic wine

Depending on local market availability, your store may also sell organic sake, organic and/or local hard cider, and mead!

Continue →

Notes:

6.11 Organic and Biodynamic Wine



Our Wine Quality Standards

- We only carry:
 - Certified Organic wine
 - Wine made with 100% organic grapes
 - Biodynamic wine
- Each type is overseen by a third-party certifier to guarantee that quality standards are met.
- Up next, you'll learn the answers to common questions about the wine we carry to help you assist customers in the aisles.



Continue →

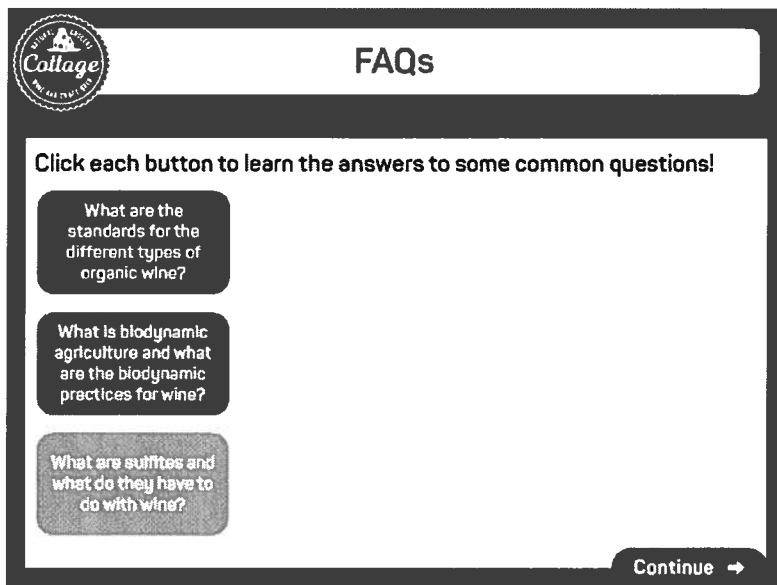
Notes:

6.12 Wine Video



Notes:

6.13 Organic and Biodynamic Wine



Notes:

OrganicWine (Slide Layer)



FAQs

Click each button to learn the answers to some common questions!

What are the standards for the different types of organic wine?

What is biodynamic agriculture and what are the biodynamic practices for wine?

What are sulfites and what do they have to do with wine?

- **Wine made with 100% organic grapes** may include yeast and other agricultural ingredients that are not organic but the grapes must be USDA Certified Organic.
- **USDA Certified Organic wine** must exclusively use organic ingredients.

Continue →

Biodynamic (Slide Layer)



FAQs

Click each button to learn the answers to some common questions!

What are the standards for the different types of organic wine?

What is biodynamic agriculture and what are the biodynamic practices for wine?

What are sulfites and what do they have to do with wine?

- Biodynamic farms are certified through the Demeter Association, Inc.
- Biodynamic farming practices are similar to organic with additional practices meant to create the healthiest environment possible that will allow the farm to be self-sustaining.
 - Example: There is suggested timing for sowing, weeding, and harvesting to use the influences of the moon and planets on plant growth.
- Common wine manipulations, such as yeast additions and acidity adjustments, are not allowed.

Continue →

Sulfites (Slide Layer)



FAQs

Click each button to learn the answers to some common questions!

What are the standards for the different types of organic wine?

What is biodynamic agriculture and what are the biodynamic practices for wine?

What are sulfites and what do they have to do with wine?

- Sulfites are naturally found from six to 6,000 parts per million (ppm) in wine and foods such as canned tuna, jams, gelatin, trail mix, cheese, and deli meats.
- Additional sulfites are added to conventional wine as a preservative to prevent browning.
- In the U.S., conventional wines may contain up to 350ppm of sulfites, but organic and biodynamic wine have stricter requirements (details on the next slide!).
- Sulfites may cause allergic reactions. They are often blamed when a person gets a headache, watery eyes, or runny nose after drinking wine.

Continue →

6.14 Comparison Chart



Comparison Chart

Click the magnifying glass icon to view the key similarities and differences between the wines we carry, including sulfite standards!

We also have an excellent Wine CLF linked in the course Resources.

	Organic Wine	Made with Organic Grapes	Biodynamic Wine
Overseen by a certifier	Yes	Yes	Yes
USDA organic seal or foreign equivalent allowed?	Yes	No	No
Organic claims allowed in addition to ingredient statement?	Yes	Yes	Yes
Synthetic pesticides allowed	No	No	No
May contain natural sulfites less than 10ppm	Yes -- up to 10ppm	Yes	Yes
Added sulfites allowed?	No, only naturally occurring*	Yes, sulfur dioxide only up to 100ppm. Added sulfites must be disclosed on the label.	Yes, sulfur dioxide only up to 100ppm. Added sulfites must be disclosed on the label.
Non-organic grapes allowed?	No	No	No
Ingredients produced using prohibited substances (such as herbicides, fungicides, insecticides)	No	No	No

Knowledge Check →

Notes:

If time permits, I will create this table in Storyline so that the fonts will be clearer.

6.15 TRUE or FALSE?

Biodynamic farming is similar to organic farming, but with the addition of biodynamic farming methods that maintain the farm as a holistic, self-sustaining organism.

(True/False, 10 points, 1 attempt permitted)



Knowledge Check

TRUE or FALSE?
Biodynamic farming is similar to organic farming, but with the addition of biodynamic farming methods that maintain the farm as a holistic, self-sustaining organism.

☒ True

☐ False

Click the button below to submit your answer!

Correct	Choice
X	True
	False

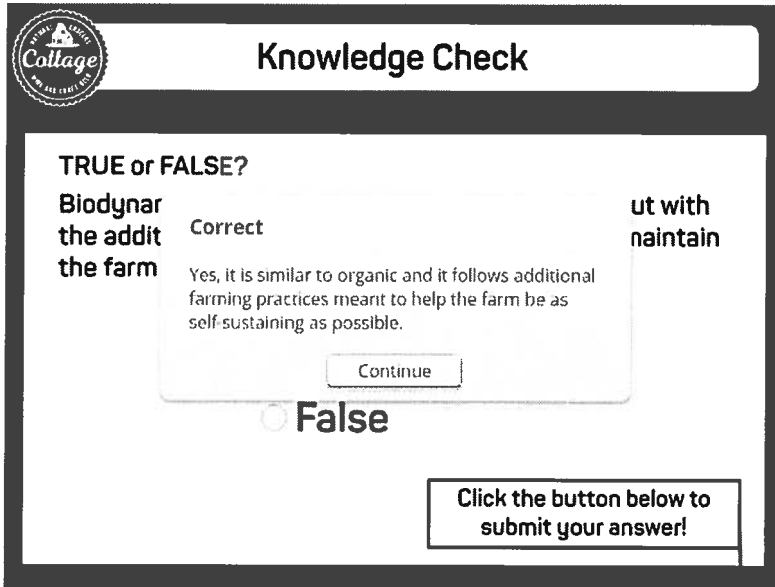
Feedback when correct:

Yes, it is similar to organic and it follows additional farming practices meant to help the farm be as self-sustaining as possible.

Feedback when incorrect:

Actually, it is similar to organic, and it follows additional farming practices meant to help the farm be as self-sustaining as possible.

Correct (Slide Layer)



Knowledge Check

TRUE or FALSE?

Biodynar the addit the farm

Correct

ut with naintain

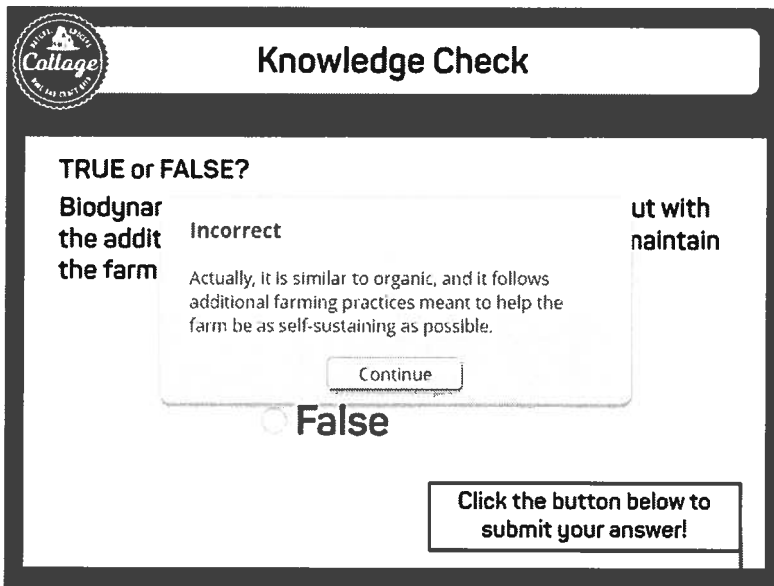
Yes, it is similar to organic and it follows additional farming practices meant to help the farm be as self-sustaining as possible.

Continue

☐ **False**

Click the button below to submit your answer!

Incorrect (Slide Layer)



Knowledge Check

TRUE or FALSE?

Biodynar the addit the farm

Incorrect

ut with naintain

Actually, it is similar to organic, and it follows additional farming practices meant to help the farm be as self-sustaining as possible.

Continue

☐ **False**

Click the button below to submit your answer!